

BLOCK 3
ESTABLISHING A NEW ENTERPRISE

BLOCK 3: ESTABLISHING A NEW ENTERPRISE

This block deals with various aspects of establishing a new enterprise. It deals with identification of a business idea/opportunity, explains various sources of finance, focuses on various analysis techniques of evaluating a business. Further it explains the role of various functional areas of management in managing a new enterprise.

Unit 6 explains the concept of identifying a business idea/opportunity. It discusses the sources and methods of generating new ideas for entrepreneurial ventures. Then, the ways of scanning and screening the collected ideas have been explained. Further, it focuses on selecting a suitable business idea and then market research is explained. Lastly, selection and validation of a business model has been looked upon.

Unit 7 discusses various aspects related to financing of an enterprise. Firstly, various internal and external sources of financing have been discussed. Then, various financing options for different stages of business development have been looked upon. Further, several bootstrapping techniques to minimize the need to seek outside financing by a start-up have been explained. Then, different concepts such as angel investors, venture capital investors debentures, term loan have been discussed.

Unit 8 focuses on the various aspects of evaluating and preparing business plan. It discusses technical, environment, market analysis & financial analysis in detail. Then, importance and writing skills of the Detailed Project Report (DPR) have been elaborated upon.

Unit 9 discusses different steps of implementing the business plan. It explains factors affecting location layout, deciding operations, planning & control, selecting financiers. Further, implementation schedule and various errors in business plan formulation have been focused upon so that future managers can avoid those.

Unit 10 elaborates upon various aspects of managing an enterprise. It discusses various functions of management such as finance, marketing, operations and human resource function. It explains the role of various functional areas of management in establishing a new enterprise as well as in managing the enterprise.

UNIT 6 IDENTIFICATION OF A BUSINESS IDEA/ OPPORTUNITY

Objectives

After going through this unit, you should be able to:

- identify the sources of new ideas
- understand the methods of generating ideas
- elaborate scanning and screening of business ideas
- discuss the selection of suitable business idea,
- explain the concept of market research
- discuss the selection and validation of a business model

Structure

- 6.1 Introduction
- 6.2 Sources of new ideas
- 6.3 Methods of generating ideas
- 6.4 Scanning and Screening of business ideas
- 6.5 Selection of suitable business idea
- 6.6 Market research
- 6.7 Selection and Validation of a Business Model
- 6.8 Summary
- 6.9 Keywords
- 6.10 Self-Assessment Questions
- 6.11 References/Further Readings

6.1 INTRODUCTION

There are two types of business enterprises which are called B2B (business to business) and B2C (business to consumers). One of the most important and very critical tasks for both types of enterprises is identifying the gap between requirement and availability in the market. It is relatively easier if you are planning in the B2B enterprises or in other words, planning to venture into the capital goods sector i.e. your product will be used as input by other sectors. However, production in the B2C sector or in other words, operations in consumer goods are relatively difficult. Again, even in the consumer goods sector, it is comparatively easier to enter the sector which already exists but difficult to enter the market with a new product. Estimating and evaluating a demand which does not exist in the market but there is demand for that product or service is quite a challenge. Theoretically, if you start thinking of a new product, there may be hundred and one such products. So, also start thinking about which segment of society you want to start the activity. Is it for male, female or children? Rural areas or people attract your attention or

interest in urban areas or city life. These are very basic questions before starting an entrepreneurial venture. However, equally important is evaluating your own capabilities also. All these issues have been discussed in this unit.

6.2 SOURCES OF NEW IDEAS

What people are looking for? Anticipating it may be the beginning of an entrepreneurial journey. Whether you are thinking of a new product or service which will improve the existing production process or improve the customer experience? Finding the gap is the most challenging. If close substitutes of the product are already available in the market, in which way you are going to provide a differentiated product? Why people will purchase your product? The best and may be first way to find out the gaps is Direct Observation and Communication.

Direct Observation

It is the first and basic method to visualise new ideas. Keep your eyes open and look around you:

- i. Travel- New ideas can emerge during travel as one gets the opportunity to see new things, places and meet new people.
- ii. Window shopping – Unintentional visit to the market plays a very important role in the process of the culmination of new ideas.
- iii. Reading- Reading is the traditional way to know about the product and people's lifestyles.
- iv. Web search- Now, a day's various advanced tools are available on social media which gives almost real-life experience and through which one can access demand for the new product.
- v. Social Listening- It is not necessary to talk to people face-to-face but you can interact, ask questions and get suggestions through social media such as Facebook, Instagram etc. also. Just find out what your target customer has to say regarding the idea that you have thought of.

Advantages:

- i. As there is nothing pre-decided, chances are high that a fresh, new and relevant idea will emerge.
- ii. It may be taken as the first step. The idea of being an entrepreneur germinates at this stage.

Precautions:

- i. The process from inception of an idea to finally selling the product in the market is hard, long and arduous.
- ii. It is difficult to get purchasing intention in a particular society or across societies.

Unstructured and Structured Oral Communication

Talk to family, friends, and people who are going to use it or maybe using similar products. Such casual talking gives a fair understanding of the

requirement or if already using a similar product, what kind of change they are looking for. Talking to people from the distribution channels or salesman about the positive and negative points of the available products gives an insight for the required changes in the proposed initiative.

Advantages:

- i. Based on the direct response of the prospective users.
- ii. Response can be known in a short period of time

Precautions:

- i. Prospective buyers may not have thought of or be ready or may not be able to clearly tell what exactly they want. So, at the time of taking decisions about the product or services, it is always advisable that before taking any decision for production, such opinions must be taken from two-three sources.
- ii. If possible, experts also must be consulted.

Search online for getting more information, experiences and what others in the same line have to share for beginners.

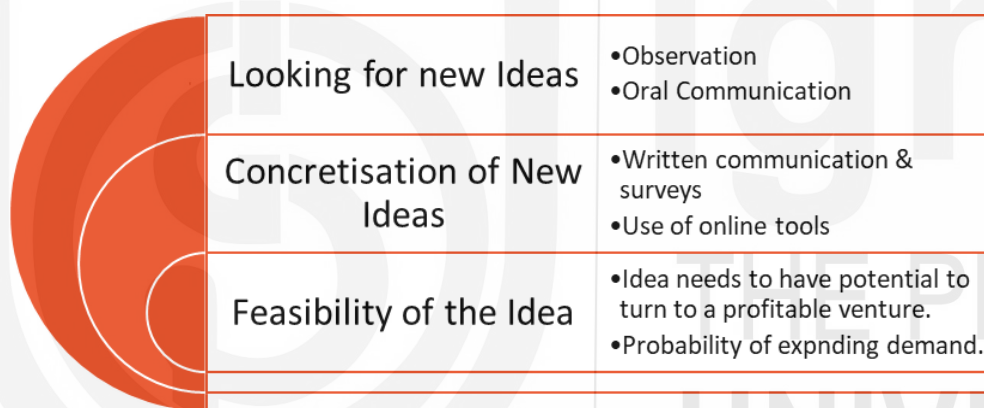


Figure 6.1: Stages of Establishing Sustainable Enterprise

Source: Author's own output

Activity 1

Consider Google meet, Google Team, and Zoom meetings - these three platforms for conducting meetings on the internet. Through observation and communication, discuss which one of them is better and why.

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6.3 METHODS OF GENERATING IDEAS

Through, 'Direct Observation' or 'Communication', you have been able to find the segment in which you will like to operate. The Internet is filled with interesting tools that can help you in identifying alternative ideas. You can

choose between various available options, but the final decision usually depends on the nature and peculiarities of your business idea. Some of the internet tools and a couple of such platforms have been suggested below:

- **E-survey** - Google Form- a Google product which is easy to handle and free of cost can be organised for an opinion poll on the question you seek to find out. Survey Monkey is a similar product for conducting opinion polls regarding products or to know their purchasing intentions.
- **Evernote** - There are chances that ideas come and go without you being able to note them down. Evernote may assist you in noting down every thought instantly.
- **Ninja Essays** - It's a team of incredibly creative authors who can help you to brainstorm and craft high-quality business plans for you or your team.
- Internet must be used for convenience as **cloud computing** may be used for the convenience of transportation or **Google slides** for sharing if it is group entrepreneurship.

Now, there is a need to concretise the idea. Steps for the concretisation of new ideas may be as below:

i. Pinpoint the identified gap through Brainstorming and Reverse Brainstorming

Write all the gaps which have been detected on a board. Then, consider both positive and negative points of all proposed products. Filter them and come to the most suited option. While the problem-solving methods are identified in case of the process of brainstorming, in case of reverse brainstorming, the causes of the problem are discussed. Like if you are planning to produce something for college-going students, start thinking of a product which will be disliked by the college students. From the answer, improve the product on those parameters for the college students.

ii. S.C.A.M.P.E.R.

It is the acronym for Substitute, Combine, Adapt, Modify, and Put to another use, Eliminate and Rearrange which is used to find out an out-of-box solution for the detected gaps between demand and supply. It starts with an examination of the existing products which may be under consideration and then, SCAMPER is applied to prepare a most effective substitute.

iii. Mind Mapping for product/ service, scale or location

Mind Mapping is a diagrammatical layout representing the gap between demand and supply and how it can be filled. What are the solutions in hand? Tasks, concepts, items, or words are arranged and linked through a non-linear graphical layout which provides the user with an intuitive framework upon which he can develop the central concept.

iv. Identify the segment of society for which you would like to enter the market

Entrepreneurship is a painful and tough struggle in the beginning. The product or service must be very near to your heart and you need to strongly feel for that. So, after evaluating the market, evaluate yourself also. Whether you are willing to spend your resources, time and energy in something where the return is not assured.

v. Scan the Government Policies

From time to time, the Government also encourages entrepreneurship or production of some products through fiscal policies as rebate on custom duties of the inputs or tax benefits on finished products. These policies must be studied well while taking final decision on which option to be pursued. Such incentives not only reduce the cost of production but the government wants it to be produced. There may be some comparative advantage for the country at the level of international trade or the government wants to be self-reliant. So you must study all possibilities for your product.

6.4 SCANNING AND SCREENING OF BUSINESS IDEAS

Business ideas may be scanned and screened in the following ways:

S.W.O.T. Analysis

All human beings are unique and they all are blessed with some qualities but at the same time, with some limitations too. So, they must examine and evaluate their strengths, weaknesses, opportunities and threats for a particular project while taking a decision to proceed with it. The S.W.O.T. analysis is an acronym which may be used for an entrepreneur or organisation to discuss Strengths, Weaknesses, Opportunities and Threats. On a board, make four blocks for all these four characteristics and clearly write what your Strengths, Weakness, Opportunities and Threats are. Conceptually you need to be very clear and at the same time very critical also.

Figure 6.2: SWOT Analysis

Strengths	Weakness
Opportunities	Threats

Source: Author's own output

These parameters have been discussed below:

- i. **Strengths** are the unique qualities, resources or competitive advantage that the individual or team may possess. It may be of two types:
 - a. Internal Strengths may be knowledge of the business or previous experience of working in a similar business. So, use previous experience to your advantage in course of building the present one.
 - b. External Strength- Business relationship with other players of the

industry or with the other players of the business eco-system which may benefit you in running the business.

ii. **Weaknesses** - The end result of weakness is inefficiency in the system. The weakness may be of two types which are as follow:

- a. Weakness of the entrepreneur –While selecting the activity, the entrepreneur has thought of doing something which may be very much in demand but he or the team is not equipped to handle it.
- b. Weakness of the production process- The production process has not been optimally designed due to a lack of knowledge, capital or other resources which is ultimately causing inefficiency and keeping you back.

You need to give special attention to the weaknesses which will ultimately improve the overall efficiency in turn. The weakness of the production process is easier to correct than the weakness of the entrepreneur. First, because it is difficult to find out and even if, you are able to pinpoint them, it is very difficult to address as being psychological in nature.

iii. **Opportunities** are avenues which you can explore. It is an external factor provided by the environment and the entrepreneur needs to have the capability to assess and exploit it.

iv. **Threats** may be anything that could negatively affect the business. It may be of two types:

- a. Anticipated Threats: The real world is full of uncertainty and unexpected situations. However, the entrepreneur may be mentally prepared to face some of these challenges as they are evident to appear but only time and magnitude in not known. You can usually get a sense of your business's threats or competition when you run a market analysis.
- b. Unexpected Threats – The situation that emerged due to COVID-19 was unexpected for the market or even the demonetization of the Indian currency in 2016.

Minimum Viable Product (MVP)

Frank Robinson introduced the term MVP in 2001 which was disseminated by Eric Ries from 2009 and Blank from 2010 onwards (Lenarduzzi & Taibi, 2022). Releasing an MVP in the market means releasing the product in the market with minimum characteristics and improving it further after getting responses and feedbacks from the early users. Generally, entrepreneurs of lean start-ups follow this. They float the product in the market after conducting a survey on the prospective buyers. So, they do not have to find users after launching the product in the market. Early users may be asked to provide feedback on which the product may be upgraded further in course of time. Following steps may be taken to develop a Minimum Viable Product (MVP):

- i. Take an existing substitute of the product you actually want to produce.
- ii. Consider the inputs, their amount used and the time of the gestation period. Try to improve the efficiency of inputs which means, the same output can be achieved with fewer inputs or try to shorten the gestation period.
- iii. Substitute any input which may be polluting the environment, from the input mix with a sustainable substitute of that input.
- iv. Add some additional features which may have become mandatory in the present market or may have pointed out in the market survey. Now, float it in the market.
- v. Invite early users to give their feedback and incorporate them into the product. However, while incorporating suggestions of the feedback always keep an eye on the market segment for which the product has been made or the incremental cost increase due to addition of any feature.

Break-Even Point

Most young enterprises die within five years of their birth because they may not have calculated their break-even point correctly. At the budget preparation level, they plan money for at most two- three years and believe that beyond that period, part of the present years the profit will be used as next year's required capital. However, it may not be the actual scenario. So, it is very important to calculate the breakeven correctly.

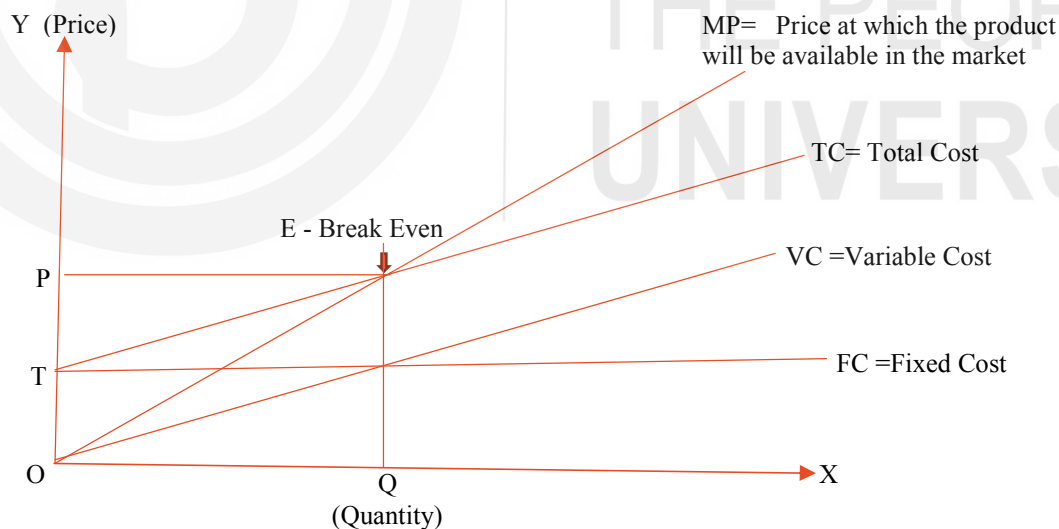


Figure 6.3: Break-Even Point

Source: Author's own output

At the Break-even point, Expenditure incurred = Revenue Earned

On the left of it, expenditure incurred > revenue earned and

on the right-hand side, Expenditure Incurred < Revenue earned.

In the figure-, Vertical line OY = Line of Price

Horizontal line OX = Line of Quantity.

OT (FC) = Fixed Cost

OVC (VC) = Variable Cost

Line TTC (Total Cost) = OT + OVC

Line OMP (MP) = Product sold at that price in the market

Line TTC and Line OMP cut each other at point E which is Break-even point.

There is a formula to calculate Break-Even point.

$$\text{BEP} = \frac{\text{FC}}{\text{MP / unit} - \text{VC / unit}}$$

Where,

BEP = Break-even Point

FC = Fixed Cost

MP/ unit= Price of one unit of the product is available in the market

VC/unit = Variable Cost of producing one unit of the product

Example

Find out the BEP if the Fixed Cost = Rs. 3620000; the market price/unit is Rs. 440 and the variable cost/ unit is Rs. 40. If the annual demand is 10,000, whether the entrepreneur should make it or not?

$$\begin{aligned}\text{Solution} = \text{BEP} &= \frac{\text{FC}}{\text{MP / unit} - \text{VC / unit}} \\ &= 3620000/400 = 9050\end{aligned}$$

So, the breakeven point = 9050 and as the annual demand is 10,000

It is a sustainable proposal.

Activity 2

Find out Fixed Costs and Variable Costs of a product which is being produced in your locality. Find out the market price of the product. Now, calculate the Break Even point for the enterprise.

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6.5 SELECTION OF SUITABLE BUSINESS IDEA

Selection of a suitable business idea for a product (including services), the entrepreneur will have to take following three steps as discussed in Figure 6.4. The direction of arrow in the figure is significant.

Step-1 – Selection of a product

Selection of the suitable business proposal must be based on market analysis and for the product whose demand is expected to grow in the future and preference is given to those products which have regular demand as any entrepreneur always wants to get the maximum regular return on the investment. However, at the same time, you need to have the required skills and interest in that field.

STEPS

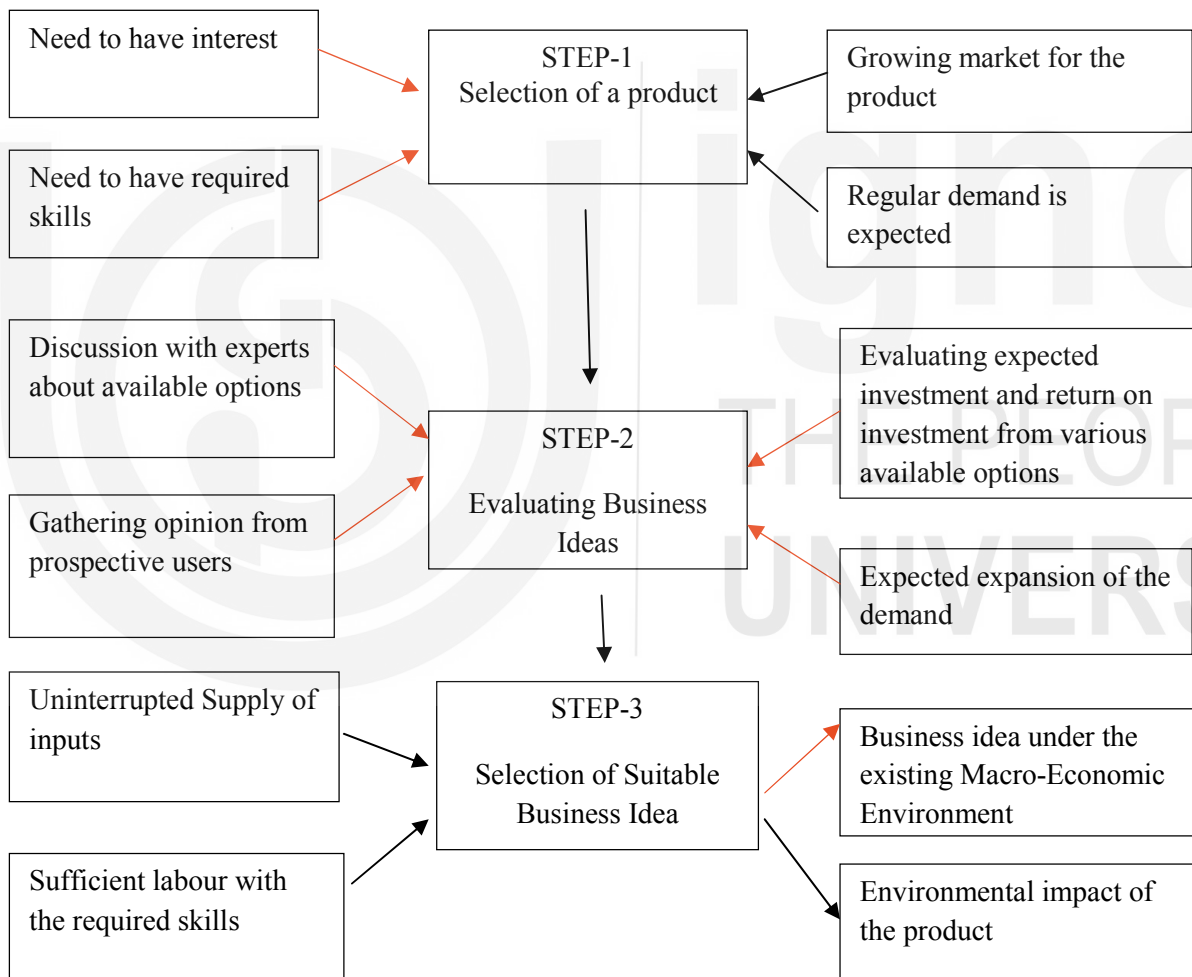


Figure 6.4: Steps in Selection of Suitable Business Idea

Source: Author's own output

Very often, a first generation entrepreneur selects a product which may be very much in demand but they could not run it sustainably due to a lack of knowledge or interest in the area. They just opted it by looking at the huge demand.

Step 2- Evaluating Business Ideas

You have come up with a list of products including services which qualifies your check list from a demand and supply perspective. Now, you have to conduct a comparative analysis from all selected options. Ask experts as well as users and compare the initial investment of all selected options. Expected return, continuity of the demand and expected expansion of demand are some of the criteria on which business ideas need to be evaluated.

Step 3- Selection of Suitable Business Idea

The ultimate objective of any entrepreneur is maximisation of profit which can only be achieved by increasing revenue earned from selling the product in the market (amount of product sold x price of the product) or minimising of cost of production. Increasing the price of the product may be wishful thinking for all enterprises but it may not be possible in many cases due to prices of other substitutes in the market. So, efforts need to be made to control the cost of production.

Activity 3

List ten factors (Five internal and five external) which affect a car manufacturing firm.

SN	Internal Factors	External Factors
1.		
2.		
3.		
4		
5		

6.6 MARKET RESEARCH

Market research is defined as the process of evaluating the feasibility of a new product or service, through research conducted directly with potential consumers. This method allows business organisations to reach to the target market, collect and document opinions to make informed decisions (Question Pro, 2022). The stage of market research is one of the most important stages of taking decision for an entrepreneur as it is very crucial to finding the gap between market demand and available supplies. It can be done through the following two methods:

1) Asking buyers indirectly

People dealing with buyers can give very pragmatic suggestions in the following way:

- i) **Opinion of the salesmen or people working in the distribution channel:** In this method of market research, estimation of future demand is made on the basis of salesmen or people who are working in the distribution channel as they have a very close association with an

existing product. On the basis of their close and regular association with the user, their views about positive or negative aspects of the product and which feature may be added or subtracted to enhance the utility of the product may be very useful as a first estimate which certainly undergoes very rigorous analysis before taking the final decision.

Advantages

- The method is very simple.
- It saves time and money.
- No statistical tool is needed (Singh, 2009).
- As the opinions are given by experienced people, these are almost correct.

Disadvantages

- The method may be useful for only a short period but cannot be used for long-run market research.
- In the dynamic environment, people may give opinions about the existing good but cannot give very dependable opinions on what kind of product they are looking for to using in future.
- As salesmen are not trained for making estimations, they can give users' opinions but are not able to give changes under dynamic economic environment.

- ii) **Delphi Method:** The opinion of a panel of experts is used in this method of market research. They are given as a series of questions and are asked to give their opinion. Their opinions are fed into the computer for further analysis. In case of contradiction, they are asked to create a consensus on their views. Sometimes experts do not have an equal level of knowledge for all questions which have been asked to assign weight for their familiarity with the topic (Singh, 2009).

Advantage

- Expert' view, suggestions and recommendations are more reliable.

Disadvantages

- There is a possibility that experts could not reach a consensus.
- Expert's opinion may be sometimes biased.

2) Directly asking buyer

The most reliable method may be a census, where each and every user is asked about the expectation from the product but it may not be feasible most often due to the high cost or time involved or may not be required to have such a detailed viewpoint as the product may be new and an open field for everyone to guess. So, it is advisable to ask from a sample of users.

i) Ethnographic Method

The people are studied in their cultural background with the objective of preparing a pen sketch of people in a particular culture against a

theoretical background which is developed through grounded theory. For the ethnographic study, purposive sampling is adopted for who so ever may be interested to participate in the study. There is no fixed sample size (Thomson, 2011). It may vary from 5 to 30. Data gathering and analysis go simultaneously. Along with researchers' observation and unstructured interaction and semi-structured questionnaires, researcher may also use photo albums, diaries, reports of local committees and memoirs to understand and get the answer to the research question.

Advantages

- It provides very rich data.
- It is appropriate to study a new aspect of human behaviour or people in a new place where a hypothesis cannot be made for the situation.
- It does not rely solely on what the respondents report but is based on researchers' observations also.

Disadvantages

- Observation takes a lot of time.
- As based on the researchers' observation also, it is difficult to maintain the required objectivity.

ii) Statistical Methods

Statistical Methods may be of two types:

- **Directly asking from the prospective consumers (Cross-Sectional Study)**

You have already decided conceptually the statement which is called a hypothesis and now, it has to be verified whether to accept or reject the hypothesis. A stratified random sample is the most common method in which members of the population are first divided into strata and then are randomly selected to be a part of the sample. The SPSS software may be used for the analysis. The sample size can be calculated in the following manner:

a) Sample size for known population

Let known population size $N = 5708$

Assuming that you use a 95% confidence interval, the error level is 0.05. The minimum sample size is calculated by using the Yamane method (margin of error = 0.05):

$$n_{yamane} = \frac{N}{1 + Ne^2} \quad (\text{Israel, 1992})$$

where,

n = sample size

N = Population size

e = margin of error

The calculation follows:

$$= 5708 / (1 + 5708(0.0025))$$

$$= 5708 / 1 + 14.27$$

$$= 5708 / 15.27$$

$$= 373.80$$

The required sample size is about 374.

b) Sample size for unknown population

Where the population is unknown, the sample size can be derived by computing the minimum sample size required for accuracy in estimating proportions by considering the standard normal deviation set at 95% confidence level (1.96), percentage picking a choice or response (50% = 0.5) and the confidence interval (0.05 = ±5). The formula is:

For the unknown populations at the 95% confidence level and 5% of the confidence interval,

$$n = \frac{z^2 (p)(1-p)}{e^2} \quad (\text{Pourhoseingholi et. al., 2013})$$

Where:

- e = the desired level of precision (i.e. the margin of error),
- p = the (estimated) proportion of the population which has the attribute in question,
- q = 1 – p.

The z= standard normal deviation (value is found in a Z table).

Here is how the math works assuming you chose a 95% confidence level, .5 standard deviation, and a margin of error (confidence interval) of +/- 5%.

$$((1.96)^2 \times .5(.5)) / (.05)^2$$

$$(3.8416 \times .25) / .0025$$

$$.9604 / .0025$$

$$384.16$$

385 respondents are needed

Advantages

- a. As all measurement is done at one point in time, there is good control over the measurement process.
- b. Since follow-up is not required, this is one of the most effective methods of demand analysis.

Disadvantages

- a. Time is a very important dimension but it is neglected in this method.
- b. Accuracy of the result depends on the accuracy of the sample size and its constituents.

- **Calculating Trends through Regression (Time Series Analysis)**

From time series data, trend fitting is a very common method to estimate demand in market research. The most common is visually fitting the line. However, calculating through regression is most scientific. The following steps are taken:

- Find out independent variables on which dependent variables depend from the literature available.
- Through, the method of least square, derive the regression equation.

$$Y=a+bX \text{ (b is the slope of the line and a is the y-intercept)}$$

Once the regression equation is derived, Y (demand for the product for which the market survey is being done, can be calculated for any value of X (Singh, 2009). The Software Stata may be used to find the trend.

Advantages

- It provides the most scientifically calculated values.
- It gives an accurate trend.

Disadvantages

- Forecasting for the future on the basis of past data has limited acceptability as the dynamic macroeconomic variables effects the micro level data differently for the product which is being forecasted.
- Accuracy in measuring independent variables affects the accuracy of the dependent variable significantly.
- If there is very low demand in the time series due to unexpected circumstances as happened during COVID-19, values of 'a' and 'b' will decrease substantially.

Example

The annual sales of a company are as follows:

Year	2015	2016	2017	2018	2019
Sales in Rs	36000	38000	40000	42000	44000

Estimate the demand for the product in 2025.

Solution

Year	Sales (in '000 Rs.) Y	X*	X ²	XY
2015	36	1	1	36
2016	38	2	4	76
2017	40	3	9	120
2018	42	4	16	168
2019	44	5	25	220
N=5	ΣY =200	ΣX= 15	ΣX ² = 55	ΣXY = 620

Note: *start counting first year as 1, second year as 2 and so on

Substituting, the value in the least square equations, we get

$$\sum Y = na + b \sum X \text{-----} (1)$$

$$\sum XY = a \sum X + b \sum X^2 \text{-----} (2)$$

Putting the values from the above table in equation (1) and (2), we get

$$200 = 5a + 15b \text{-----} (3)$$

$$620 = 15a + 55b \text{-----} (4)$$

Solve equation (3) and (4)) by multiplying equation (3) by 3.

$$a = 34 \text{ and } b = 2$$

If 2015 is 1 and 2016 is 2 then 2025=11

$$Y = 34 + 2 \times 11$$

$$= 56 \text{ Ans.}$$

6.7 SELECTION AND VALIDATION OF A BUSINESS MODEL

Though the concept of a business model does not have a theoretical grounding in business studies or in economics, but a business enterprise must employ it either explicitly or implicitly to describe the design or architecture of the value creation, delivery, and capture mechanisms (Teece, 2010). In simple words, a business model is a representation of the movement of money, materials and their direction around the production and distribution of any product with help of symbols as well as mathematical and statistical tools. It is developed to get an understanding of the cause and effect relationship between variables and to measure the phenomenon more accurately. It is similar to the professional behaviour of an automobile engineer who makes a model of an automobile before making the actual automobile. The model may be similar to an actual automobile, but certainly, simpler than the actual automobile. The model is made for doing many testing and if the machine fails in any test, the engineer can quickly locate the fault and rectify it. Similarly, the business models are very helpful in planning, implementing and validating any change.

Since the growth of the digital economy during the 1990s, the term “business model” has emerged as a buzzword in the business arena. The entrance of Information Technology (IT) into business has changed the traditional framework as for now; even small start-ups can manage to compete with large and well established-companies (Scott & Scott, 2018). According to Afuah & Tucci (2001, p. 45), companies with well-formulated and innovative business models are able to manage higher profit margins and have competitive advantages over their competitors who may not have given the emphasis on designing their own business model.

Selection of a Business Model

The most appropriate Business Model may be a framework in which all resources are optimally utilised leading to profit maximization and users are getting value for their money. To achieve this, the following factors must be known or given while selecting the model:

- i. Which sector the enterprise belongs to?
- ii. What will be the scale of production?
- iii. Are resources available or it has to be generated?
- iv. Which section of society does the enterprise target?

When the above factors are given, a model needs to consider the profile of the buyer such as the age of the customer, place of residence, and staying in an urban or rural area, and whether the prospective buyer is a male or female, their income level. These are very important questions to reply. Similarly, knowledge about the nature of the demand is also very significant for selecting a business model. After obtaining such information, an ideal business model decides how optimally the resources can be combined to get maximum return.

Selection of a business model is a challenging task for an entrepreneur as the business operates in a dynamic world. Thus, the model also needs to be capable of constantly reengineered so that the business model accommodates the changing market situation and operates at the optimal level.

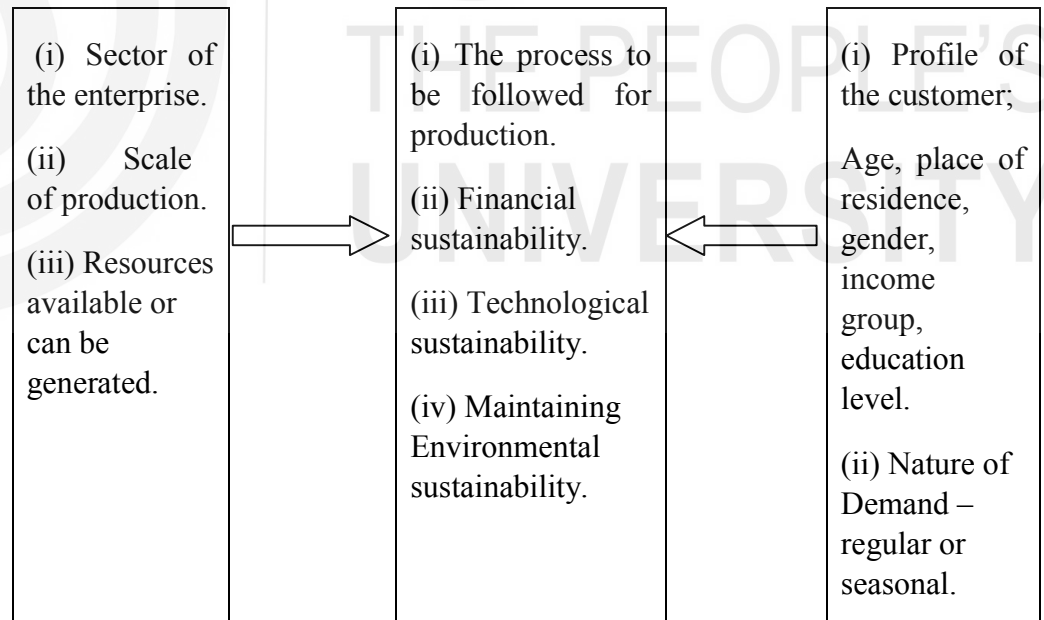


Figure 6.5 -Factors for Selecting and Validating a Business Model

Source: Author's own output

Validation of a Business Model

Model validation is the process through which it is systematically evaluated to see whether the business model has been able to create value for the stakeholders of the business ecosystem.

First on the list of ecosystems is the firm itself. It is very important to recheck the whole production process and be sure of the following:

- i. Financial Aspect - The production is being done in the most cost-effective way which will deliver the product of pre-decided quality at the lowest cost. Whether the firm achieves financial stability which refers to its ability to generate attractive profits and whether the firms would be able to avoid the heavy cost of maintenance and have a better chance of long-term success (Luenendonk, 2017). Whether the firm is able to take all benefits being given by the government and business associations.
- ii. Technological Aspect – Whether the firm has been able to acquire non-polluting technology because this is very important. In some of the sectors it is mandatory but even if it is not mandatory, they opt for the non-polluting one for two reasons. In future, it can become mandatory and second, pollution has a huge social cost.

The customer comes next in the ecosystem. Whether the customer is getting value for his money? Some of the indicators to judge value for money are as below:

- i. Design of the product is very important from the point of convenience and comfort.
- ii. Price of the product needs to be comparative with other substitutes available in the market, especially if the product is catering to the middle class. For the costly products, there should be facilities for loans and payment facilities in easy installments.

Sources of External Help and Assistance

The firm needs to have a proper plan for all payments and it needs to abide by it also. But at the same time, it should not sit back. Entrepreneurship is a continuous race towards perfection. So, further plans for loans and assistance needs to be ready for improvement and up gradation.

Larger Society

At the present time, Corporate Social Responsibilities (CSR) have become very important and some studies have shown that it has a positive impact on customers' preferences and firms' profitability. Not immediately, but a CSR plan must be in-line and needs to be implemented as soon as possible.

Activity 4

Develop a business model for an enterprise working in the small sector that has been adversely affected by the lockdown during COVID-19.

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6.8 SUMMARY

Sources of new ideas are direct observation and communication with user of the product as well as the salesman or representative of the firm as he has experience of meeting and talking to the users. The opportunity for direct observation is experienced during travel, window shopping, web searching, etc. Some other methods of generating ideas are market surveys or doing S.C.A.M.P.E.R. Elimination and rearranging are done to come out with an out-of-box solution. Mind mapping is a diagrammatical layout representation to find the gap in the market which can be filled by the entrepreneur.

Scanning and Screening of business ideas - S.W.O.T. is one of the best methods for evaluation. It is an acronym which may be used for an entrepreneur or his teams to discuss their strengths, weaknesses, opportunities and threats. Human beings are unique and they all are blessed with some qualities but at the same time with some limitations. So, they must examine and evaluate their strengths, weaknesses, opportunities and threats for a particular project while taking a decision to proceed with it. Launching a Minimum Viable Product (MVP) in the market and later on, adding features on the basis of feedback is a good option for lean start-ups.

Knowledge of the break-even point for any enterprise tells the level beyond which an entrepreneur will earn profit. The ultimate objective of any entrepreneur is the maximisation of profit which can only be achieved by increasing revenue (amount of product sold x price of the product) earned from selling the product in the market or minimising of cost of production.

There are ethnographic and statistical methods for doing market research through which important insights are gathered for developing a product. Customers' views can be gathered directly from them or indirectly through Delphi Method. The demand trend for a product can be calculated through a regression line.

A model provides a framework for the production system. Depending on the capability and market demand, a model is selected. Through the process of validation, it is systematically evaluated to see whether it has been able to create value for the stakeholders.

6.9 KEYWORDS

Business Model: Business models are simpler and smaller representation of the business framework which helps in visualising the business.

Social Cost: The cost which may not be in monetary terms but may be creating lots of pain and suffering due to problems and disturbances in the life of people and societies.

Minimum Viable Product (MVP): MVP is a version of a new product, which allows a team to introduce a product in the market and collect the feedbacks from the early users.

Lean Start-up: A lean start-up introduces a new product for an existing

company. After collecting customers expectation for new product, the company is aware that product will be demanded as it will enter the market in contrast of developing a product and then, expecting that demand will emerge.

Incremental Cost: Incremental cost is the increase in total cost due to a complemented change in the policy or change in the nature or level of business activity. While taking decision, the incremental revenue must exceed the incremental cost ($IR > IC$).

6.10 SELF ASSESSMENT QUESTIONS

1. What are different sources of generating new ideas? Which one of them you consider best? Discuss reasons.
2. What do you mean by SWOT Analysis? Write its significance for an entrepreneur.
3. Discuss steps taken in selection of a suitable business idea.
4. Discuss direct and indirect methods of conducting market research. Also discuss their advantages and disadvantages.
5. What do you mean by a Business Model? How to validate a Business Model? Discuss with suitable example.

6.11 REFERENCES / FURTHER READINGS

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UNIT 7 FINANCING AN ENTERPRISE

Objectives

After going through this unit, you should be able to:

- understand the need and various forms of financing the business
- appraise equity and debt financing options
- realize the challenges faced by the enterprise for financing at initial stage
- analyse the current scenario with respect to various sources of financing

Structure

- 7.1 Introduction
- 7.2 Sources of Finance
- 7.3 Stage of Business Development and Source of Funding
- 7.4 Bootstrapping Techniques
- 7.5 Angel Investors
- 7.6 Venture Capital Investors
- 7.7 Term Loan
- 7.8 Debentures
- 7.9 Summary
- 7.10 Key Words
- 7.11 Self-Assessment Questions
- 7.12 References/Further Readings

7.1 INTRODUCTION

Having checked the feasibility of business idea and prepared the project report, it is the time for an entrepreneur to look for the options for financing the project.

There are many challenges related to finance, that the entrepreneur has to face at initial stage of business development.

- In the seed or start up stage, the entrepreneur may not have sufficient collateral to be offered to the bank for availing the traditional term finance.
- Moreover, in the initial stage, the funding requirement will be small and the risk will be high. So, investors may not be interested to invest their money.
- If the entrepreneur is starting something new for the first time, there will be no proven commercial success of his or her business idea so it will be very difficult to attract the external investment and the internal funding may not be sufficient to execute the business idea.

- At initial stage, the entrepreneur may not have reputation or credibility in the market to attract the external investors.
- Initial Public Offering (IPO) is not viable option for raising the funds at this stage as the new ventures may not be eligible for IPO as per Securities and Exchange Board of India (SEBI) guidelines (NSE India, n.d.).

However, funding ecosystem for entrepreneurship has evolved over a period of time. Government of India has taken number of initiatives to promote the start-up culture in the country. By learning this unit, you will be able to understand various sources of finance and their applicability according to the stage of business development.

7.2 SOURCES OF FINANCE

In every business, capital can be arranged broadly from two sources. i.e.,

1. Internal Sources
2. External Sources

Internal Sources:

When the entrepreneur manages the funds from within the enterprise, it is known as using internal sources. This refers to the owner's own money known as equity capital. It also includes the deposits and loans given by the promoters or directors as the case may be. Sometimes, the promoters raise the personal loan on their investments in life insurance policy, provident funds, fixed assets or any other form of investments. If the business is already running, the entrepreneurs retain a part of earnings and plough back in the business for expansion. These retained earnings may not be very huge amount for small enterprises, however, it forms a part of internal sources.

External Sources:

External sources include all other sources which are not internal. External sources of funds may be further divided in to two parts.

1. Debt financing
2. Equity financing

Debt financing includes the borrowings from banks and financial institutions for meeting the short term (working capital) and long term (Term Loan) capital requirements. It also includes issue of debentures. While angel investment, venture capital investment, private placement, private equity; form the part of equity financing.

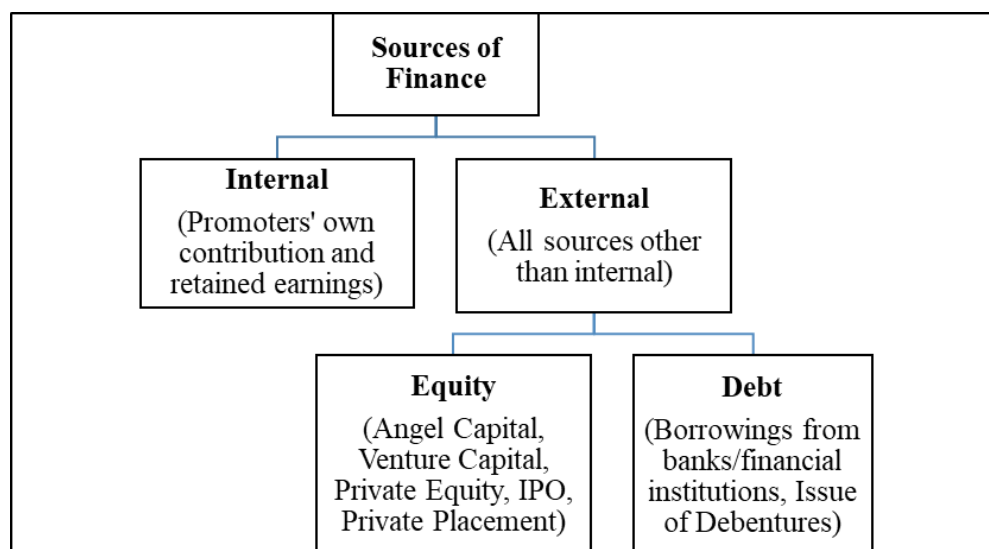


Figure 7.1 Sources of Finance

Source: Author's own output

The entrepreneur may face a dilemma here. He or she may be confused whether to use equity financing or debt financing option. It is essential to understand at this point of time that neither 100% debt nor 100% equity financing is desirable. If the entrepreneur funds the entire business with the use of debt capital, then there is always an obligation to repay the debt along with the interest. Here, equity financing has an advantage as equity capital is never repaid. Alternatively, if the entrepreneur funds the entire business with equity capital, it will result into total dilution of ownership and control. Further, the shareholders will not get the advantage of trading on equity. Trading on equity means use of debt products leads to higher earnings per share for the shareholders of companies (Groww, n.d.).

Hence, a business enterprise needs to maintain a proper balance between the use of equity and debt in its capital structure. This is known as Optimal Capital Structure. It has following characteristics:

- Optimal capital structure yields maximum return with minimum cost.
- Such capital structure should be flexible to accommodate the future requirement of capital for expansion.
- Use of debt should always be within the repaying capacity of the firm.
- The capital structure should ensure proper control to the promoter and should not result in complete dilution of control.

In fact, following factors should be considered by the entrepreneurs while deciding the mix of equity and debt financing.

Table 7.1: Factors Determining The Capital Structure

Nature of Business and Cash flows	If the business is operating in a sector where the sales are subject to fluctuations or where the cash flows are unpredictable, such businesses should rely less on debt capital. On the other hand, if the demand for the product is inelastic, cash flows
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	are certain and can be predicted, such businesses can apply more of debt and less of equity capital.
Size of Enterprise	Investors consider safe to lend to large enterprises as compared to smaller ones. So, the small enterprises will have to rely more on owners' capital (equity) and less on borrowed funds.
Trading on Equity	If the rate of return on capital employed is higher as compared to interest on borrowed capital, the shareholders get the advantage of trading on equity. In such situation, there is greater application of debt capital.
Purpose of Financing	For the productive purpose of financing, higher reliance on debt capital is justified. For example, if a term loan of 5 years is taken to buy a machinery with the useful life of 5 years, the interest on term loan can be paid out of the cash flows generated with the use of such machinery. However, if the purpose of financing is not productive, use of owners' capital is justified.
Provision for future	As business expands its operations, it will need more funds. Hence, it is advisable to use the best securities at the last. All the financing options should not be applied simultaneously so that there is always a scope of modifying the capital structure in future.

Source: Author's own output

According to the Pecking order theory of finance, preferences are given to the sources of finance in some order. The entrepreneurs should first prefer internal funding option over external funding. In external funding also, the preference should be given to debt financing over equity financing. This is because as we move from internal funding to debt funding to equity funding, the risk of financing increases and so as the cost of financing.

7.3 STAGE OF BUSINESS DEVELOPMENT AND SOURCE OF FUNDING

The funding needs do not remain constant over a life of the business. At different stages of business development, the requirement of funding changes. Hence, the entrepreneurs should be aware about the source of funding as per the stage of business development.

The first stage of any business is **Pre-seed funding stage**. Here, the entrepreneurs just have an idea. Here, the funding is needed to test the

feasibility of the idea and conducting the market research. Here, there are no customers or market. During the **seed stage**, the businesses can rely upon use of bootstrapping techniques. This concept is explained in detail in the next section. Once the idea seems feasible through market research, business moves to the next stage i.e. **start-up stage**. Here, the prototype of the product or the service is ready. According to the findings of the market research and pilot testing, changes are made in the product or the service concept. Seed and start-up stage; both are preliminary stage of venture development. Hence, the businesses in these stages, rely upon their own money (personal savings) or borrow from their family or friends. One can also think of availing government grants at this stage. These days, the entrepreneurs can approach angel investors or crowd funding platforms to fund the business needs at this stage.

In the next phase, now the customer base is ready. The entrepreneur wants to expand his business with new product or service, expand customer base and management team. This is an **early expansion stage**. Here, the venture capital investors help the entrepreneurs in raising the funds and expanding the business through a series of funding. Once the start-up is matured and at the advance stage, it can also think of raising the debt capital from the banks and financial institutions as discussed earlier.

In the last stage, when the start-up wants to grow further and diversify, the option of offering the shares to public i.e. IPO, private equity, private placement etc. can be considered. This is the last stage of the start-up funding stages.

Activity 1

Conduct an Interview with three entrepreneurs, Identify the stage of venture development and also list down various sources of funding used by them at these stages.

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7.4 BOOTSTRAPPING TECHNIQUES

Bootstrapping techniques work on the principle of “A penny saved is penny earned”. These techniques are a collection of methods to minimize the need to seek outside financing by a start-up. Every successful company would have applied bootstrapping at the initial stage of their venture development. At this stage, where the investors are not willing to risk their money, it is a good option to bootstrap the ventures and bring them on self-sustaining mode. These techniques also bring a discipline on the pattern of cash outflow. Some of the examples of such techniques are illustrated below.

- Buying used equipment instead of investing in new ones.
- Renting the physical space instead of buying the land and building.
- Working from home to save upon the infrastructure cost.
- Availing discount from the suppliers.
- Use of credit cards to pay for expenses and earning credit time for delaying the payments.
- Partnering instead of employing to save upon salary.
- Easy loan from family and friends to save upon the interest cost.
- Sharing of equipment-employees and office space for cost saving.
- Employing the relatives and friends at below market salaries.
- Obtain advance payment from customers.

Advantages

- Since the entrepreneurs do not raise equity or debt funding while bootstrapping their ventures, it gives a complete freedom and flexibility to them to implement their strategies. There is no interference of investors in the operations of the business.
- They can retain the complete ownership of the business as there is no involvement of external investors.
- Building a business from a scratch without the support of the investors, gives a sense of achievement and accomplishment to the entrepreneurs.

Limitations

- Too much of bootstrapping can prove to be risky. There can be liquidity crunch. Sometimes, it limits the ability of the start-up to scale up and reaches its full potential without the support of investors.
- While bootstrapping, the entrepreneurs might be multi-tasking which at times may be stressful and time consuming.
- The entrepreneurs might have to work meticulously to keep the records of cash flows and needs more organized and systematic.
- The risk of failure can be higher for bootstrapped business as the entrepreneur bears the entire risk without sharing it with other investors.

Activity 2

Interact with entrepreneurs who have established successful businesses and ask them which bootstrapping techniques they have applied at the initial stages of venture development.

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7.5 ANGEL INVESTORS

Angel investors, also known as seed investors, are high net worth individuals who invest directly into promising entrepreneurial businesses in return for equity shares in the companies at initial stage of venture development. Angel investment is also known as informal risk capital as their investment approach is not very professional or formal such as venture capital investors. This term actually originated with funding of Broadway plays in the early 1920s and 30s for getting productions “off the ground”.

Following are the features of angel investment:

- Unlike traditional investors, angel investors invest in unconventional and highly risky investments.
- Angel investors bridge the gap between (a) early founders, friends and family financing and (b) later institutional financing.
- Many angel investors are entrepreneurs themselves, as well as corporate leaders and business professionals. They have a very good knowledge of technology and business acumen.
- Angel investor not only provide capital but also support the investee in non-financial way. They mentor and coach their portfolio companies, often leading to healthy and stable growth. They also introduce entrepreneurs to potential customers, suppliers and investors. They provide solution to potential problem areas and help the start-up firms gain credibility in the market.
- They mostly invest locally. This is because they believe in hands on approach. They regularly visit the investees and are involved in the strategic decisions of the companies. This can be done better when they invest locally.
- As noted earlier, they are informal investors and their decision to invest in the start-up is mostly driven by referrals. When a start-up is referred by the past investees, friends or consultants; it becomes easier for them to rely and invest in such referred enterprises.

Reasons for Angel Investment

Besides the financial motive i.e., return on investment (ROI), there are multiple reasons for investment by angel investors. They are explained as below:

- As many of the angel investors are entrepreneurs themselves, they know the common problems faced by many of the budding entrepreneurs. Hence, they want to come forward and help them.
- Sometimes angel investors want to support the entrepreneurs from their home ground/native place.
- Angel investors have entrepreneurial spirit and are always moved by their hunch for innovation and creativity. By investing in new business ideas, they would always stay connected with new inventions and stay involved.

- Angel investors are successful entrepreneurs and business leaders. Society has given enough name, fame and wealth to them. They feel that now it is time to give back to the society by investing in the start-ups.
- Beyond all these reasons, by investing in emerging business ideas, they want to contribute their personal skills and contacts to the entrepreneurs.

Angel Investment Networks in India

Earlier, it was very difficult for the entrepreneurs to find relevant angel investors in India. However, since last decade, the angel investors are organised into groups and they mostly invest through networks. There are reasons for angel investors to form groups such as together they can get access to more investment opportunities and make more meaningful investments, limiting the risk in investing through higher diversification, and conducting better due diligence.

Angel Networks is a formal association of angel investors and provide a platform to the entrepreneurs to raise seed funding. These networks basically connect the entrepreneurs with the interested investors. There are many such networks active in India such as Indian Angel Network, Chennai Network, Rajasthan Network, Hyderabad Network, Chandigarh Network, Bengaluru Network, Mumbai Angel Network and many more etc. All these networks have different objectives and governing structures regarding sourcing of investment deals, evaluating them, involvement with investee and finally exiting from portfolio companies.

Angel Investment Scenario in India

According to the India Venture Capital Report 2021, India is one of the leading start-up hubs globally. Indeed, this development is reflected in growth of angel investments in Indian start-ups. The report shows that investments by angel investors increased 24 %, to 341 deals in 2020 from 275 in 2019. This trend is visible in the following figure 7.2:

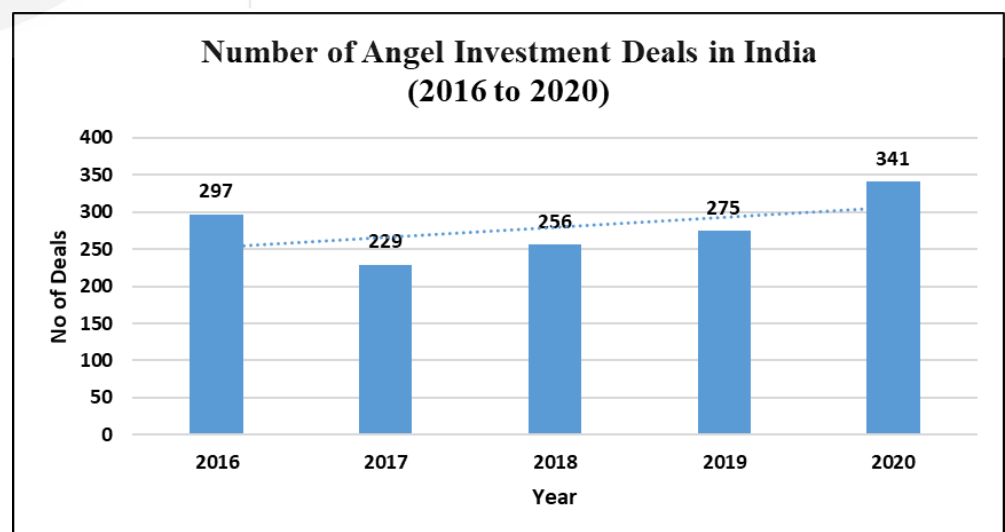


Figure 7.2: Angel Investment Deals

Source: Adopted from Statista (2021), <https://www.statista.com/statistics/1233096/india-number-of-angel-investment-deals/>

Activity 3

Visit the website of any angel investment network operating in India and write a note on the process followed by them in helping the investors and entrepreneurs for fund raising. Also, make a list of ten popular angel investors in India.

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7.6 VENTURE CAPITAL INVESTORS

Venture capital investors are also equity investors such as angel investors. They invest in high risk, high reward business ideas. While the traditional investors prefer to invest in businesses with proven technologies, Venture Capitalists (VCs) are eager to fund the projects where the entrepreneurs are pursuing new and unexplored areas. Venture capital funding is raised to scale the existing operations or to develop a new product or service.

Venture capital is a formal risk capital as the approach of VCs is more professional and formal as compared to angel investors. VCs invest at early expansion and expansion stage for equity in the venture. As they share ownership with the promoters, they are active investors and provide hands on approach to the management.

The concept of venture capital originated in 1946 when General Doritos set up the American Research and Development Fund at Massachusetts Institute of Technology (MIT). General Doritos is known as father of the concept of venture capital. In India, government issued a set of guidelines for venture capital industry in 1988 and the culture of venture capitalism began during the period of liberalisation in India. Venture capital industry in India is regulated by SEBI. Indian Venture Capital Association (IVCA) is the apex body, set up by leading industry professional in India. The primary purpose of IVCA is to promote the Private Equity and Venture Capital (PE/VC) industry in India.

Structure of Venture Capital Fund

VCs invest in the ventures through a fund. This fund is usually in the form of partnership. VCs serve as General Partners. The investors who provide money to set up the fund are known as limited partners. Insurance companies, university endowment and pension funds can serve as limited partners. Limited partners only provide funds so they are known as passive investors. While general partners are active investors as they assist and advise the portfolio companies. Thus, general partners invest the money contributed by limited partners in the promising entrepreneurial opportunities. The general

partners usually get 20% of the capital gain earned from making the venture capital investment while the remaining 80% will be shared among the limited partners according to their investment contribution in the fund. General partners also get annual management fees of up to 2% of the capital invested. Thus, general partners are accountable for the performance of the portfolio companies and tend to be stricter in the due diligence.

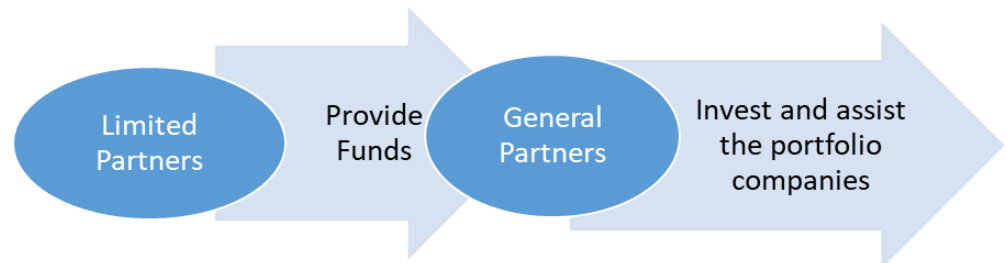


Figure 7.3: Structure of Venture Capital Fund

Source: Author's own output

Features of Venture Capital Investment

From the above discussion, the following characteristics of venture capital investment can be identified:

- VCs tend to invest in high risk, unconventional ventures. These kinds of ventures find it difficult to access traditional finance for the lack of collateral and uncertainty about earnings/cash flow. Such ventures also cannot raise money from the capital market at the initial stage.
- VCs invest funds in the companies for long term horizon. They stay invested in the company for a period of two to ten years.
- There is a defined exit for venture capital investment which is planned at the time of structuring the deal. When they sell their equity stake to other investors, corporate or public, they can exit from their portfolio company.
- VCs not only provide funds but take an active part in the management of the firms. They work along with the founders and assist them in running and growing the business.
- As VCs actively involve and assist the investee companies, the valuation of such companies grows in future. Hence, when they sell their equity stake, they realize very high returns in the form of capital gains.

Venture Capital Investment Process

VC investment process is a five-step investment process defined by Tyebjee & Bruno (1984). These steps are explained as below.

1. Deal Origination

The VC investment process begins with this first step. Here, the sources are identified through which VCs generate the deals for investment. The most preferred source of deal for VCs is referral system. Here, the investment deals may be referred to the VCs by past investee companies, friends, industry association, trade partners or their parent organization.

VCs also actively search for promising investment opportunities through participation in trade fair, business plan competitions, seminars, trade fairs, conferences, exposure visits etc. And finally, the intermediaries can also play an active role here. The entrepreneurs may approach intermediaries and such intermediaries can connect the VCs with the entrepreneurs.

2. Screening

On the basis of some broad criteria such as industry, size of investment, stage of financing, market scope, geographic location etc; the VCs conduct the preliminary screening of the proposals before the in-depth analysis. VCs receive so many business proposals for investment. It is not feasible to conduct detailed analysis for all of them. Hence, primary screening of the submitted proposals will help them to save their time and resources. The entrepreneurs may be called or on the basis of brief profile submitted by them, screening can be carried out.

3. Evaluation (Due Diligence)

Once the business proposal looks promising *prima facie* in the screening stage, it goes for detailed evaluation i.e. Due Diligence. The viability of the business idea is examined thoroughly here. Technical feasibility, marketing feasibility, financial feasibility, human resource feasibility, legal feasibility etc. are considered here. Besides the feasibility aspect, VCs also give importance to the management team of the venture. They assess whether the entrepreneur has the right skills, education, experience and vision (long term plan) required for the scalability of the venture.

This stage may require significant time and resources. VCs will engage a multi-disciplinary team of experts belonging to different areas such as legal, infrastructure, management, information technology etc. for conducting the due diligence.

As VCs are accountable and answerable to limited partners for the returns on the invested capital, they give higher weightage to the step of conducting the due diligence.

4. Deal Structuring

Once the due diligence is completed and the proposal qualifies for investment, the deal is negotiated between the VCs and the entrepreneurs. At this stage, the terms and conditions of the investment such as size of the investment, type of security, ownership proportion, duration of investment, type of exit, covenants i.e., restrictive conditions by the VCs such as change in the management etc, are decided. These terms should be mutually beneficial to VCs and the entrepreneurs; as well as flexible to accommodate any changes in future.

5. Post-Investment Activity

Once the deal is negotiated and the investment is made by the VCs, the investors become a part of ownership and actively involve themselves in the management of the investee company. They may not interfere in the

day-to-day operations. However, they would definitely advise on the strategic matters and decision making. VCs can influence the decision of the management through their representation in the board of the company.

6. Exits Plans

This is the final stage in the investment process. VCs stay involved in the company for long term and work along with the management for its growth. Their exit is planned at the early stage of deal negotiation itself. Once that time period is reached, VCs may sell their stake for exiting, from the venture. There are few alternatives for the exit. VCs may sell their stake back to the promoters (management buyout), to other investors, to competitors or to the public i.e. through IPO. IPO is the most preferred way for exit of the VCs.

Venture Capital Investment: Indian Scenario

As the start-up trend is rising in India, the support ecosystem is also developing. As it can be seen from figure 7.4, there is a substantial growth of venture capital investment in terms of value as well as number of deals. In the year 2021, the number of deals almost doubled from 1,106 in 2020 to 2,067 in 2021 reflecting a growth of 87%. Contribution of deal value is observed to be around 12% during this growth period. Hence, it can be interpreted that as compared to deal size, the number of deals has increased considerably.

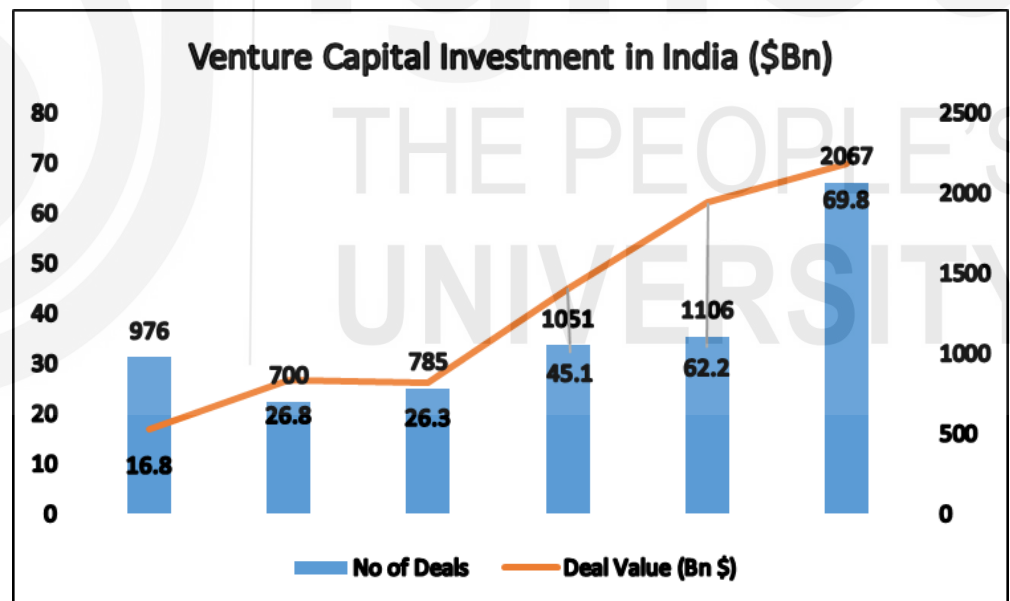


Figure 7.4: Venture Capital Investment in India

Source: Adopted from India Venture Capital Report (2021), https://ivca.in/wp-content/uploads/2021/03/bain_report_india_venture_capital_2021.pdf

Difference between Angel Investors and Venture Capital investors

Though angel investors and venture capital investors both are equity investors and play an active role in the management of the company, there are certain differences in their investment approach. They are explained as below:

Meaning: Angel investors are high net worth individuals who invest their own money in the seed or early stage ventures. While VCs are professionally managed firms and invest limited partners' money in the early expansion or expansion stage ventures.

Investment Size: Since angel investors invest their own money at seed stage, the amount invested by them is less while the VCs pool funds from large investors and invest at expansion stage so the funds invested by them is higher.

Due Diligence: Angel investors evaluate the investment opportunity as per their own expertise and experience while the VCs have a multi-disciplinary team to conduct the detailed evaluation. In addition to this, angel investors invest their own money while VCs invest others money as noted before. Hence, the angel investors are informal while assessing the investment deal and the VCs are more formal and have strict approach for conducting the due diligence.

Post Investment Involvement: Both are active investors but since angel investors invest at early stage, their involvement with the investee companies will be more as compared to VCs. At the early stage, entrepreneurs need more hand holding. At later stage, the entrepreneurs would already have learnt the skills, established the contacts and developed the network to succeed.

Motivation for Investment: Angel investors provide informal risk capital and their motives for investment are not purely financial. They want to contribute their personal skills/contacts and give back to the society by supporting the budding entrepreneurs. Besides, by investing in seed stage ventures, they always stay involved with the emerging technologies and innovation. While VCs supply formal risk capital and their motivation for investment is mainly driven by returns on investment.

Activity 4

Select any venture capital funded company and evaluate that investment deal in detail including the year of investment, deal size, stage of funding, role of venture capital fund, exit mechanism etc.

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7.7 TERM LOAN

Till now, various sources of finance falling under the category of equity capital have been explained. Debt capital can also be availed by the enterprises through raising term loan or issue of debentures. Primarily, term loans from any bank or financial institution; are the long-term sources of debt availed by the enterprises.

As the name suggests, term loan is a loan for a particular term. This term can be short term or long term. Short term is up to one year and loan of any duration beyond one year is considered to be long term. Short term bank loans are availed to meet the working capital requirement of any firm. Normally, term loan refers to long term loans which can range up to 5 years, 10 years, 15 years etc. based upon the nature of the project.

Following are the features of term loan.

- **Purpose:** The purpose of raising the term loan can be expansion, diversification, modernization (replacing the old machine), renovation etc.
- **Currency:** Term loan can be availed in Indian Rupees as well as foreign currency. Foreign currency term loan can be availed for import of machinery, technical know-how etc.
- **Security:** Term loans are always secured. The assets which are financed through term loan become the primary security against the loan. Other assets and guarantee can serve as the collateral security.
- **Repayment:** Term loans are to be repaid along with interest. Bank or financial institution will conduct the credit assessment before granting the term loan and the interest rate will be charged according to the credit risk. As the loan is repaid every year, the interest burden will decrease and the principal repayment component remains constant. Term loans are usually repaid in quarterly or semi-annual installments.
- **Moratorium Period:** Some banks or financial institutions grant moratorium period to the enterprises. This works like a grace period and during this period, the borrowers are not required to repay any amount under Equated Monthly Installments (EMIs). This can be for a period of 1 to 2 years depending upon the policy of the banks. It gives a cushion to the entrepreneurs as during the initial years of starting the business, they may not have sufficient cash flows to repay the EMIs.
- **Restrictive covenants:** Some banks or financial institutions put restrictive covenants on the borrowers to protect themselves from any default or credit risk. These covenants are restrictive conditions on the borrowers. According to them, borrowing firms cannot take few decision independently. These covenants can be related to assets, liabilities, cash flows or management. They have to take the approval of the existing lenders for making any fresh investment, borrowing any additional loan, buying or selling of major assets, repaying the existing loan, dividend payment, organizational changes etc.

7.8 DEBENTURES

Like term loan, debentures are also debt instruments for raising medium to long term capital. Those who invest in issue of debentures are known as debenture holders and they are the creditors of the firm. Guidelines for issuing the debentures are mentioned in Companies Act, 2013.

Following are the features of debentures:

- **Trustees:** Normally, there are three parties to the debenture issue; Issuer, Trustees and Debenture Holders. To protect the interest of the debenture holders, trustees are appointed through Trust Deed. Trustees supervise the obligation of the borrowing firm.
- **Security:** Debentures can be secured or unsecured. Secured debentures are known as Bonds. If the company issues, secured debentures, a charge on fixed assets of the company is created and the company issuing such debentures will have to follow the guidelines mentioned in Section 71(3), Companies Act, 2013. If the debentures are unsecured and the company defaults in payment of interest or principal, the debenture holders' condition will be similar to unsecured creditors.
- **Convertibility:** Debentures can be convertible or non-convertible. Convertible debentures can be converted in to specific number of equity shares in future as mentioned in the trust deed.
- **Interest:** Debenture holders get interest regularly either quarterly, semi-annually or annually on debentures. This interest is known as coupon rate. It can be fixed, floating according to the market rate or zero-coupon. Zero-Coupon debentures do not carry any coupon and are traded at discount to the face value.
- **Issue Price:** Companies can issue debentures for cash. Further, they can be issued at par (value equal to the face value), at discount (value less than the face value) or at premium (value more than the face value).
- **Redemption:** Debentures can be Redeemable or Irredeemable. Redeemable debentures are redeemed on the maturity (not exceeding 10 years from the issue date) while in case of non-redeemable debentures, interest is paid to the debenture holders till the company wants to redeem or cancel the debentures.
- **Voting Rights:** Since, debentures are a part of debt capital and not equity capital, debenture holders do not have any voting rights.
- **Debenture Redemption Reserve (DPR):** On maturity, debentures are redeemed. To ensure the safety of the debenture holders, companies issuing debentures are required to create Debenture Redemption Reserve out of the profits, as per Section 71(4) of the Companies Act, 2013. This fund can be utilized only for redemption of debenture obligation.

7.9 SUMMARY

This unit discusses various sources of financing used by the entrepreneurs at different stages of venture development. There are many challenges that an entrepreneur has to face while starting the business. Arranging fund for the business is one of the critical ones. At initial stage, when the entrepreneur is exploring something new, the investor shy away from such projects. As the risk of losing money is very high at this stage, the traditional funding options are not suitable. Despite many challenges, there are enormous opportunities

for entrepreneurs in India. To match the requirement of funding at this stage, the ecosystem of entrepreneurship provides the option of risk capital which mainly includes angel investment and venture capital investment. Both are in the form of equity investment and these investors play an active role in the management of the start-ups. As the risk is very high at this stage, these investors expect higher returns as well. Although, angel investors are informal investors and do not invest in the venture just for the monetary gain.

Once the venture reaches to a stage where no further handholding by the investors is required and there is no uncertainty about the cash flow, the entrepreneurs can explore the option of raising debt capital in the form of term loan from the banks/financial institutions or through issue of debentures. These debt funds help in expansion of existing line of business, diversifying in to new businesses or buyout of small companies.

Overall, with many sustained government initiatives such as Make in India, Skill India, Digital India; the number of start-ups have started scaling up. According to the Ministry of Commerce and Industry the recognised start-ups in India have increased from 726 in 2016-17 to 65,861 in 2021-22. These entrepreneurs are creating jobs in the economy at the unprecedented rate. India has become third largest start-up ecosystem in the world after US and China. And to cater to the funding requirement of the start-ups, there is a positive trend in angel and venture capital investing in India as noted in the respective sections. Thus, with favourable ecosystem in place, the entrepreneurial trend will keep rising and making India one of the prominent place for investors to park their funds.

7.10 KEY WORDS

Angel Investors: Angel investors are high net worth individuals who invest in the seed stage ventures in return for equity. They are entrepreneurs and corporate leaders. Their motive for investment is not driven by return on investment only. They not only provide capital but also assist the entrepreneurs in running the business in all possible ways and that is why they are known as active investors

Bootstrapping Techniques: Bootstrapping techniques are such techniques through which the need to seek outside (external) funding is minimised. For example, renting and leasing instead of buying.

Earning Per Share (EPS): EPS is calculated by dividing the profit after tax by the number of equity shares. This is an indicator of the profitability of the companies. Higher the EPS, higher is the profitability of the company and vice-versa.

Term Loan: These are primarily long-term loans raised from bank or financial institutions. It is a part of debt capital. The company who raises term loan is required to repay interest as well as the principal amount over the term of the loan.

Venture Capital: Venture capital is a formal risk capital. Venture capitalists are general partners. They set up a venture capital fund with the help of

limited partners' money and invest in ventures at early expansion and expansion stage. They are equity investors and provide assistance to the venture in their growth and development.

7.11 SELF ASSESSMENT QUESTIONS

1. Identify the problems faced by the entrepreneurs at the initial stage of venture development. Also explain the reasons why the investors are not ready to invest in ventures at very initial stage.
2. Explain the possible sources of finance and relate them with the stage of venture development.
3. Evaluate the equity vs debt financing options.
4. Discuss the concept of bootstrapping techniques with examples.
5. Explain the meaning of angel investment and discuss the investment approach of angel investors.
6. Define venture capital and explain the structure of venture capital funds.
7. Discuss various stages of venture capital investment process in India.
8. Differentiate between angel investment and venture capital investment.
9. Discuss salient features of term loan financing.
10. Explain the use of Debentures by companies for raising debt capital along with its features.

7.12 REFERENCES/FURTHER READINGS

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UNIT 8 EVALUATING AND PREPARING BUSINESS PLAN

Objectives

After going through this unit, you should be able to:

- Understand the contents of Technical Analysis, Market Analysis, and Environmental Analysis
- Identify the components of Financial Analysis in a Business Plan
- Learn the skills of writing a Detailed Project Report (DPR)

Structure

- 8.1 Introduction
- 8.2 Technical Analysis
- 8.3 Environmental Analysis
- 8.4 Market Analysis
- 8.5 Organizational, Legal and Human Resource Plan
- 8.6 Financial Analysis
- 8.7 Contents of Detailed Project Report (DPR)
- 8.8 Summary
- 8.9 Keywords
- 8.10 Self-Assessment Questions
- 8.11 References/Further Readings

8.1 INTRODUCTION

An entrepreneur often starts with a crude idea generation or ideation stage to the commercialization of the product or service. Commercialization is a crucial decision that involves an investment of a lot of funds accompanied by a risk of whether the business venture would succeed or not. Thus, before making the decision on the commercialization of the product or service, one needs to check the viability of the idea. A feasibility study concludes on the workability and profitability of the venture. It is always carried out before the investment of the funds, to get a broad idea on the return on investments.

Often business plan and feasibility studies are used interchangeably, but there exists a difference between the two. A feasibility study resembles a research project which determines the viability of the business idea. Whereas the business plan is strategic in nature and discusses the tactics of implementation of the business idea. Business plan makes necessary projections for the future. In other words, the preparation of a business plan starts only when the feasibility report provides a green signal to move ahead with the idea. The fundamental goal of the business plan is to seek finance from the investors such as venture capitalists, angel investors, or banks and

also decide on the course of action to achieve the underlined goals. Thus, a feasibility study validates the idea and the business plan strategically and operationally executes the idea.

8.2 TECHNICAL ANALYSIS

Technical feasibility consists of analyzing the technical and technological aspects of the proposed idea. It consists of six sub-parts such as Location Selection, Technology Selection, Capacity Planning, Production Planning, and Operational Planning.

Location Selection

It refers to the selection of the place for setting up the manufacturing unit or service centre. Location selection is dependent on the following parameters:

- 1) **Proximity of Suppliers:** If the suppliers are nearby, the company can easily avail the raw material, consumables, spares and parts etc, and avoid delay in production. Whereever the raw material is needed in bulk quantity, it is advisable to locate the unit near the suppliers of raw materials. Example: The majority of the sugar mills are located in South Gujarat (Valsad, Navsari, Bharuch and Surat), where the production of sugarcane is the highest. Availability of raw-material in the vicinity is not important for those which either requires less quantity or very costly raw material such as pharmaceutical companies or jewellery making companies.
- 2) **Proximity to Customers:** Being close to prospective customers is an essential aspect of the service industry and also when perishable items are being sold. Example: Dining hotels are located in urban areas near to the customer and 'Dhabas' are located on highways to target tourists. With the advent of the online purchase trend and web aggregators, this limitation has been overcome to a large extent.
- 3) **Infrastructure Facilities:** Before selecting the site, the companies must also check the availability of necessary infrastructure facilities such as good connecting roads, rail transport, air transport, and water transport. Utilities such as the availability of water, electricity, and banking services are also to be seen. Example: There are many industries in Gujarat because it has good state of art infrastructure facilities, an uninterrupted power supply, and water supply.
- 4) **Availability of Labour:** Based on the requirement for skilled, semi-skilled or unskilled labour, the companies decide to base their location. Example: Many Information Technology (IT) firms are located in Bangalore, due to the huge availability of skilled IT Professionals.
- 5) **Government Support:** Before commencing the venture the political stability of the state is assessed. The industrial policy framed by the state is entrepreneur-friendly or not is also checked. Example: The Tata Nano Project shifted from Singur to Sanand due to political pressure and law & order problems at Singur. The Nano project was protested in Singur and

the same project was welcomed in Gujarat.

- 6) **Environmental Regulation:** Stringent environmental regulations often create a hindrance setting up of the company. Example: Gandhinagar, the capital city of Gujarat does not permit industries which emit smoke. Thus, in Gandhinagar, there are many electronic estates but not those companies which use chimneys and emit smoke.
- 7) **Incentives from Government:** To promote foreign direct investment (FDI), exports and socio-economic development of the region, the government provides tax incentives to the companies, if they locate in certain designated zones. Special Economic Zone, Export Oriented Units (EOUs), and Export Processing Units (EPUs) are the best examples of incentives provided by the government to companies. If the units are located in SEZ notified areas, it enjoys 100% income-tax exemption for a block of five years, does not need a license for import, it is allowed 100% FDI, full reimbursement of taxes, etc.

Technology Selection

Technology selection is an important facet to handle routine business operations, maintaining records, order processing, inventory management, database management of customers, database management of suppliers, internal communication, cost tracking, human resource management, and staying connected with the customers and suppliers. The choice of technology should be based on functions that are required to be performed in the business, ease of use, cost, security, and flexibility of technology to change as and when the company grows. Technology may be availed via licensing, turnkey projects, or joint ventures.

Capacity Planning

Capacity refers to the maximum output that a business can produce with available resources in a given period of time. The number of units is a standard tool for capacity measurement. Example: 100 shirts per day or 200 dishes per day. A company must assess capacity utilization. If there is over-capacity utilization it leads to lower operating efficiency and if it is under-capacity utilization the company may lose the earning opportunity. A company should not produce more than the market requirement. Input resources such as raw material, labour, power and money impose a constraint on capacity. Thus, the general rule for capacity utilization is that it should be equal to or minimum of market potential or input potential and it should be greater than or equal to two times the break-even quantity. The break-even quantity varies with the initial investment.

Production Planning

It is applicable to the business organizations involved in manufacturing activities. The entire manufacturing process may be depicted in the form of a flow chart or process chart. The machinery and equipment needed to perform the manufacturing process should also be listed. As a ready reckoner, a table indicating the name of the asset, price of the asset, the life of the asset, and

the tentative name of the machinery supplier may be incorporated at the end of the production process. Details of raw materials such as quantity, price per unit, and names and addresses of the supplier should also be stated. In case the company decides to subcontract the manufacturing process then details regarding the subcontractor (name and address), their location, cost of the subcontracted manufacturing and reasons for selection must be mentioned. The cost of manufacturing or the cost of outsourcing the product must be stated in the report. A pictorial representation of the arrangement of different types of machines or equipment, work areas, and service areas within the factory represents the plant layout, which needs to be described in the report. A good plant layout is one that promotes an efficient manufacturing process. The different types of plant layout are discussed further. The most popular type of plant layout is either Line Layout or Functional Layout.

- 1) **Line Layout:** The machines and equipment are arranged as per the sequence of the product. Also known as product layout. Most suitable for the standardized and voluminous quantity of the product. Example: Car Manufacturing.
- 2) **Functional Layout:** The arrangement of machines is as per the type of operation and not as per the sequence of operation. Also known as Process Layout. Preferred for low-volume customized products. Example: Apparel Manufacturing and Service Industries such as Banks, Hospitals etc.
- 3) **Fixed Position Layout:** In this type of layout the men, materials, machinery, and other tools move to the key component which remains fixed. Due to bulky size or heavy weight, the body does not move. Example: Manufacturing of boilers, steam turbines etc.
- 4) **Combined Layout:** It refers to the combination of the above layouts. Companies choose such layout for the flexibility and ease of work purpose.

For the retail store's outlet, different types of layouts are discussed below. The store layout is dependent firstly on the store design in which proper space management is done so that displays, signage, fixtures, and, lighting are made for a better customer experience. The second factor is customer flow in which it is understood how the customer moves in the store and has a look at the aisles.

- 1) **Forced-Path Layout:** The customers walk on a pre-determined set route, viewing all items. Such a layout attracts customers and promotes impulsive buying. It is used more in malls.
- 2) **Straight Layout:** The merchandise is placed on one main aisle, which is connected to various sections on the floor. Right signage, product displays, and all merchandise are neatly placed to attract customers. Also known as spine layout. More used by local vendors in which the store walls, corner spaces, and shelves are optimally utilized.
- 3) **Angular Layout:** The shape of the store fixtures is in winding and

curved product displays. The free-standing product displays creates a perception of high-quality merchandizing. It is best suited for stores selling luxury items.

- 4) **Geometric Layout:** All sort of shapes and sizes such as square, ovals, rectangles, circle etc are used for display of products. Mostly popular for selecting the different branded products on one shelf.
- 5) **Grid Layout:** The store has many long aisles. It is the most traditional form of layout often used by pharmacy stores, convenience stores and grocery stores. The impulse buying items are kept in front to lure the customers.
- 6) **Loop Layout:** The purpose of this closed loop layout is to navigate the customers to all available product assortments in the store right from the entrance point to the exit point. It provides good customer experience and higher sales of the product. It controls the customer traffic, and store does not look crowded. Also known as racetrack layout.
- 7) **Free-Flow Layout:** The customer is allowed to wander freely without following any pre-determined traffic signs. Proper signage, window displays and merchandize placements is made for customers to pick up items he or she needs as well as prompt for impulse buying. Also known as free-form layout.

Operational Planning

A sequential step describing the flow of goods and services right from production to customers must be stated. The company must also highlight what quantity of raw material or manufactured goods would be stored. Inventory control procedures must also be highlighted. A stock register is an effective tool of inventory control, that may be prepared using the most popular method such as the Last-In-First-Out (LIFO), or First-In-First-Out (FIFO) method. The storage needs and the cost of the same are also to be mentioned in the operational planning. A service organization is able to provide service quality if its operation's manual is well-defined. A brief on which technology will be utilized to service the customers should also be discussed in the operational plan.

Activity 1

Visit any manufacturing unit or service organization and discuss with the entrepreneur why did s/he locate his/her venture at a particular place. Support the location selection with the points discussed in the theory. Try to pen down the technology selection, capacity planning, and production planning decision taken by the entrepreneur. Identify the type of layout used by the entrepreneur. Also, narrate its operational planning modus operandi.

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8.3 ENVIRONMENTAL ANALYSIS

The environmental analysis consists of two things viz., Industry Analysis and Competitor Analysis, which are further described in Figure 8.1.

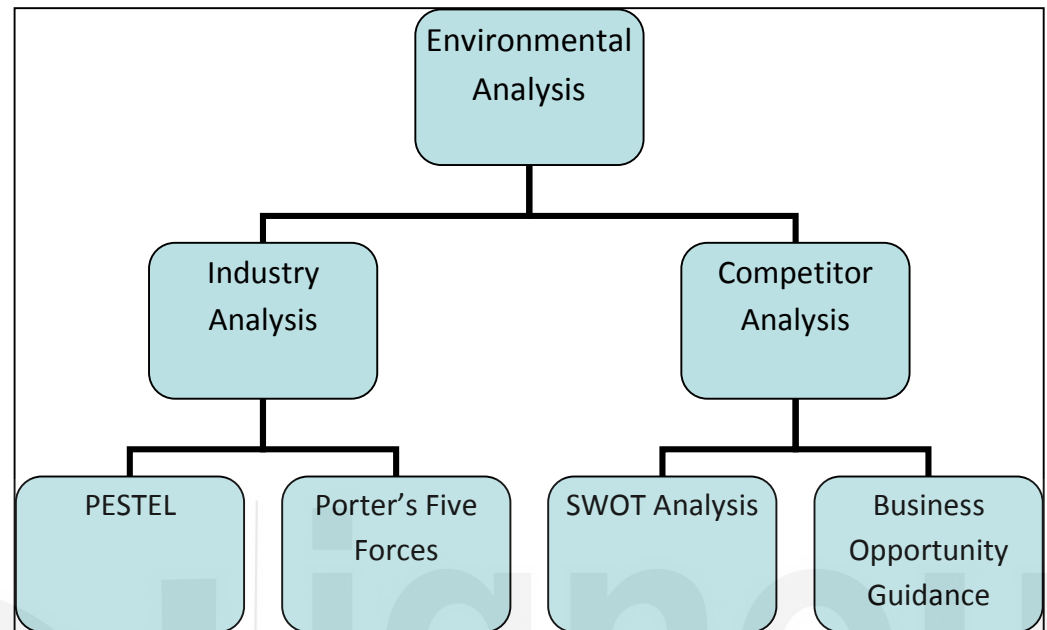


Figure 8.1: Environmental Analysis Components

Source: Author's own output

PESTEL Model

Similar firms constitute an industry. The framework for the industry analysis is PESTEL Model template and Michael Porter's Five Forces Model. PESTEL stands for Political, Economic, Social, Technological, Environmental, and Legal factors, which are external in nature. Each factor has certain items. Practically, the potential impact of each item may be evaluated as High (H), Medium (M), Low (L), and Undetermined (U). 0-6 months, 6-12 months, 12-24 months, and 24+months can be taken as the lasting duration of the impact. The type of impact may be further considered as positive (+), negative (-), and unknown (0). The intensity of the impact may be evaluated as Increasing (>), Unchanged (=), and Decreasing/Unknown (<). The final conclusion of the impact may be figured as Critical, Important, Unimportant, and Unknown. Evaluation of each parameter on the grounds of potential, time frame, type, impact, and relative importance is very subjective in nature. One should try to explore the impact of PESTEL items on his or her business idea.

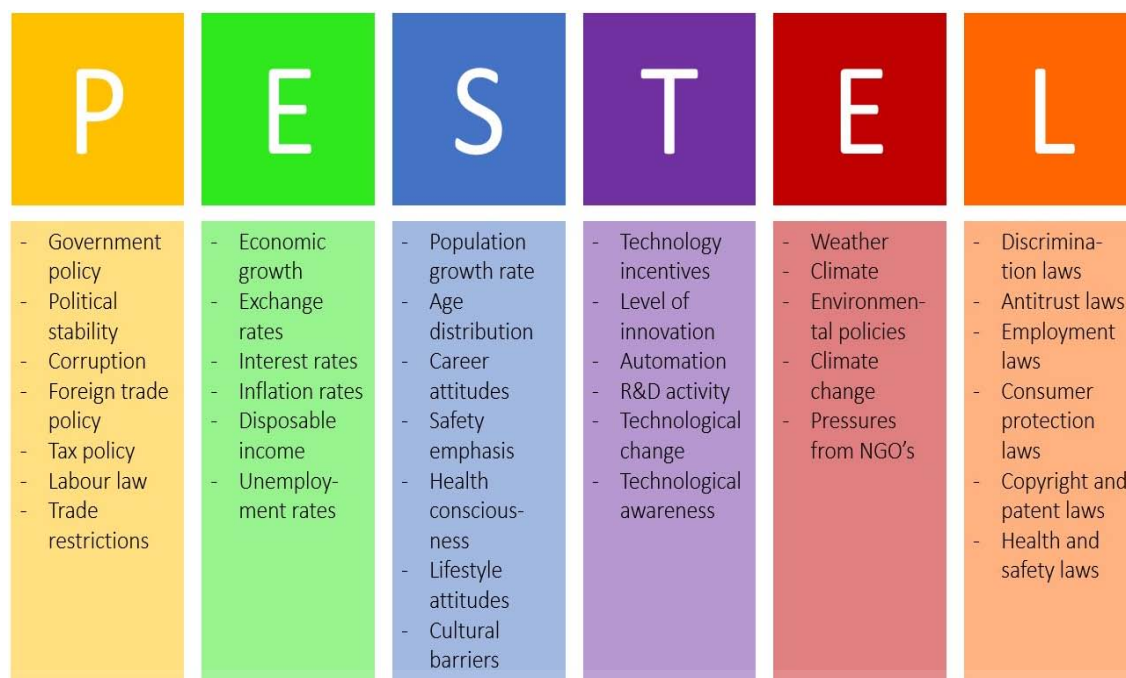


Figure 8.2: Items of PESTEL Factors

Source: Adopted from Bruin (2016), <https://www.business-to-you.com/scanning-the-environment-pestel-analysis/>

PESTEL Model helps to scan the external environment very minutely. The items of each component are depicted in Figure 8.2. The template of PESTEL Model is shown in Table 8.1.

Table 8.1: Template of PESTEL Model

Analysis Factors	Potential Impact (H, M, L, U)	Implication and Importance			
		Time Frame	Type	Impact	Relative Importance
Political					
Item 1					
Item 2					
Economic					
Item 1					
Item 2					
Social					
Item 1					
Item 2					
Technological					
Item 1					
Item 2					

Legal factors					
Item 1					
Item 2					
Environmental					
Item 1					
Item 2					

Source: Author's own output

Five Forces Model

The Five Forces Model allows the firm to determine industry attractiveness in terms of the potential to earn adequate or superior returns by comparing its business idea with the components of the model. The five components of the model are discussed in Table 8.2. The same is matched to exemplify with the opportunity of organic fruits and vegetable (F&V) selling.

Table 8.2: Components of Five Force's Model

Components	Description	Relation to the Vending of Organic F&V Sales
Rivalry Among Competing Firms	It is the degree to which the competition exists in a marketplace. Competition is intense when there are few players, industry is expanding and when the customers can easily switch to the rivals. Regular price wars and hefty advertisement expenses are common feature of intense rivalry.	The existing market is unorganized and it sells fresh F&V and not organic, so intensity of rivalry is low.
The Threat of New Entrant	It represents the convenience with which the new entrant can enter the industry. With low entry barriers new firms may easily enter the market and fight for the market share. Absolute Cost advantage, economies of scale, strong brand name and difficult access to inputs acts as a barrier to entry.	Capital requirement is low, switching costs are low, access to distribution channel is high, the market is open for all, so threat of new entrant is high.
Bargaining Power of Suppliers	If the suppliers of raw material, work-in-process, finished goods and other items are bulk suppliers, then they exercise the	It is high, because only a few farmers cultivate organic F&V.

	control on the firm, and they easily do not lower down the prices.	
Bargaining Power of Buyers	A handful of consumers buying from many suppliers exert high power on price and can easily exhibit switch to rival firm. The power is low when the consumers buy the products in small amount from a seller, who sells differentiated products.	It is low, because, there are few sellers selling the organic F&V, moreover, the buyers are highly scattered and are retail buyers.
Threat of Substitutes	If the number of substitutes available is more than the main product sold by the firm, then the firm cannot easily increase the price, because the consumer would satisfy his or her want by purchasing the substitute products. If the number of substitutes is less, than firm can easily increase the price and thereby increase its profits.	Substitute of organic products are not readily available, so its threat is low. But as the product differentiation is low, new entrant may easily enter, creating potential substitutes.

Source: Author's own output

A fair idea about the external environment may be understood by comparing the potential business idea to the Five Forces Model.

SWOT Analysis

The acronym SWOT stands for Strength, Weakness, Opportunities and Threats. Strength is something a firm does well or an attribute that enhances its competitiveness. Weakness is something a firm lacks, does poorly or a condition placing it at a disadvantage. Opportunities are most relevant to company offerings and Threats are hindrances that firm may face in the future. Strength and Weakness are internal, whereas Opportunities and Threats are external. It is a company specific framework used to evaluate its competitive position vis-à-vis other firms and develops a strategic plan. For a organic vegetables and fruits vendor strength may be direct procurement from farmers, weakness may be the commodities are costlier than regular ones. Huge potential for exports of organic commodities and value-added products, is an opportunity for the organic vendor. Existence of substitute commodities and no entry barrier is a threat for the organic vendor. For an eye-catchy view, it is shown in a squared four quadrants format.

Business Opportunity Guidance (BOG)

The potential business idea may be horizontally cross compared with the unorganized market, private label brands and organized markets. It may be

vertically compared on various parameters such as ownership, sale of, type of goods sold, pack size (minimum and maximum), prices and discounts, outlet, brand name, Unique Selling Proposition (USP), target customers etc. Based on the type of product or service one may increase or decrease the number of parameters for comparison. This comparison would help the entrepreneur to identify the gap in the matrix and also guide him/her to pitch the product, decide the USP and segment the market.

8.4 MARKET ANALYSIS

It would describe the market conditions and market mix of the potential business opportunity. The market potential analysis may be carried out, for demand forecasting purposes. Many methods are available for demand forecasting, an entrepreneur based on his discretion may select a method. The description of the methods is mentioned in Table 8.3.

Table 8.3: Methods of Demand Forecasting

Method	Description
Qualitative Method	
Opinion of Jury	The field experts based on their experience help in conducting the demand forecasting.
Delphi Technique	A group of experts is sent a questionnaire to forecast the demand. On receipt of the response in the first round, a questionnaire is sent for the second round to elicit the response. The moderator summarizes the response and reasons provided by the experts and finally, the opinion of the experts converges in demand forecasting.
Statistical Method	
Moving Average	A mean value pertaining to the few time intervals is used to forecast the future demand.
Regression	By taking the past consumption trend as a base, extrapolation is done to predict the future consumption forecast.
Other Method	
Survey	It is the market research in which, the potential customers are directly asked through a questionnaire, about their willingness to purchase a product. The response is also elicited on the nitty-gritty pertaining to product features, price, place, etc. It helps in also identifying the target market and also the quantity of demand forecast.
Secondary Sources	Information from trade journals or industrial extension bureau or newspapers or magazines may refer to get a fair idea on demand forecasting.

Source: Author's own output

An entrepreneur may either choose one of the methods or a combination of methods to forecast the demand. The entrepreneur has to decide the marketing mix of this product or service. It is believed that a product will have 4Ps and service will have 7Ps. The marketing mix is discussed in Table 8.4.

Table 8.4: Marketing Mix

Elements	Description	Decision Variables
Product	It refers to the want-satisfying power of a thing.	Fixing a brand name, packaging, product features, product variant, delivery time, service availability and warranties etc.
Price	It refers to the cost of the goods or the cost of the service.	Fixing the list price, discount strategies, credit policy, payment period, choosing the price fixing strategy based on cost-plus, market skimming etc.
Place	It refers to the adoption of a mechanism of how to reach the customers for the sale of products or services.	Deciding the segment of distribution such as Business to Customers (B2C) or any other, level of distribution channel such as zero level, one-level, two-level etc. The number of wholesalers and retailers, geographic coverage, inventory level, logistic decision, uses of electronic channels such as websites, affiliate marketing, social media platforms etc.
Promotion	It refers to attracting customers to purchase a product.	Decision on selecting the medium of advertising such as visual, audio-visual, hoardings, leaflets, etc., allocation of budget, sales promotion plans (coupons, displays etc), website design, and social media sales.
Physical Evidence	It refers to the things used in providing the services i.e. to identify the tangibles to justify the intangible service.	Highlighting the logo, infrastructure, equipment, location, flyers etc to show the presence of service provider.
Process	It refers to the modus operandi used for providing the services. The emphasis is on providing experience	Decision on establishing a standard operating process (SOP), directional guidance to customers, right from the entrance till the exit. Decision on tokenization, use of Artificial Intelligence, Robotics, and Augmented

Elements	Description	Decision Variables
	to the customers.	Reality etc. is also to be taken.
People	It refers to the employees of the organization who are involved in providing the services.	Employees are trained for equipping themselves with the organization's culture, soft-skill training, dress code etc. Training budgets are also to be planned.

Source: Author's own output

An entrepreneur in the business plan has to relate the marketing mix with his product or service. Once there is clarity on the marketing mix the entrepreneur has to decide the Segmentation, Targeting, and Positioning (STP) of his or her product or service. The STP Process refers to dividing the total market of goods or services into several smaller groups to identify the distinct groups of buyers who can be pitched for sales. Marketing segmentation is done on the basis of geography, demography, behaviour, and psychography. Targeting decision are based on the identified segment that has good size, is profitable, and is easily reachable. Under positioning an attempt is made to create a unique identity of the product or service in the minds of the selected prospective customers to identify the niche. Symbolic (connecting the product to the self-esteem), Functional (solving the customer's problem), or Experiential (fixing the emotional connect) positioning are the tools that may be applied. The entrepreneur who wishes to sell organic fruits and vegetables may have STP such as: Fruits and Vegetables will be organic in nature, which will be targeted to the upper middle class who are willing to pay prices above the normal market prices.

Activity 2

Meet an entrepreneur and try to learn how s/he conducted environmental analysis and market analysis for his/her business. Try to think of a business idea and relate with each item of PESTEL Model and Five Forces Model. Pen down in detail, the PESTEL, Five Forces, SWOT, BOG and market analysis pertaining to the business idea of your choice.

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Activity 3

If an entrepreneur wishes to start manufacturing paper bags, conduct market research for the business idea, forecast the demand, and also identify the relevant marketing mix and describe the STP too.

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8.5 ORGANIZATIONAL, LEGAL AND HUMAN RESOURCE PLAN

It refers to the form of organization as well as lines of authority and responsibility of employees in the organization. Before the commencement of the business, the entrepreneur has to adhere to the following points:

- Decide the type of organization such as Sole Proprietorship (one person managing the entire affairs of the business); Partnership (two or more people setting up the business); Limited Liability Partnership (a partnership firm, where the liability of the partners are limited to the capital contribution by them), and Company (a separate legal entity formed by a group of people to carry out the commercial activity).
- Once the legal structure of the operation is decided, based on it, various legal formalities such as opening a current bank account, obtaining a Permanent Account Number (PAN), Registration for Goods and Service Tax (GST), if applicable, registration for excise duty, registration under Shop and Establishment Act, Customs Duty, Tax Deduction Account Number (TAN), Registration for Employee's Provident Fund, Employee State Insurance Scheme (ESI), State specific guidelines and procedures are to be adhered. Certificate for Incorporation and Certificate for commencement of business is also required by companies. Legal documentation is dependent on the type of legal entity of the business created by the entrepreneur.
- Based on the type of legal structure chosen for operation, the taxability will be applicable. Thus, before going for legal registration, it is important to seek the professional advice of lawyer and tax consultants to choose the right form of organization, based on the size of the business and complexity involved in the same.
- For operational ease a well-defined hierarchical structure with lines of authority, communications, rights and duties pertaining to the organization is also to be described. An organogram may be prepared for ease of demarcation of authorities and levels of reporting.
- In the business plan, the employment opportunity generated by the business and which type of skill set is needed from the employee are clearly spelt out. For this reason, a job analysis is an important aspect. It refers to collecting job related data and it is divided into two parts viz., Job Description and Job Specification. The job description and job specification of each employee must be stated. The entrepreneur needs to clearly highlight the number of people who would be employed and what kind of skill set is required to absorb them in the company, should also be revealed in the business plan.

8.6 FINANCIAL ANALYSIS

It is the most crucial part of the report. All the numerical calculations in finance are always based on a certain set of assumptions, which are to be mentioned as notes to calculations, so that the computations are easily understood. Before starting the work on finance it is imperative to understand the process, which will give the idea of various costs of machines and materials. In other words, value addition at each stage leads to transformation of basic raw material into finished products, which involves cost. How much of the quantity to be produced can be identified from the demand estimation process which can be done from the primary data collected through questionnaire or based on certain assumption or based on the guidance of expert in the field or based on the authentic sources of secondary information. All indirect cost like administration, sales and distribution must be based on certain assumptions. Following statements are prepared in the report:

Cost of Project and Means of Finance

Cost of project is the capital expenditure or investment needed to be made by the firm for the purchase of capital assets. It also includes early expenditure such as fictitious assets. Means of finance are the sources of funds that firm must arrange to buy the assets. The cost of project must always be equal to the means of finance. Working Capital margin which is to be funded by the entrepreneur from his own funds must also be included in this statement. Suppose an entrepreneur wishes to start a Car Spa Service on 1st April, 2024, his estimation of Cost of Project and Means of Finance is illustrated in the Table 8.5.

Table 8.5: Cost of Project and Means of Finance

Cost of Project	₹	Means of Finance	₹
Land and Building (Infrastructure)	80,000	Promoter's Equity (40%)	2,14,496
Plant, Machinery and Equipment	2,55,500	Bank Loan (60%)	3,21,745
Furniture and Fixtures	47,000		
Vehicles	90,000		
Contingency (2%)	9,450		
Preliminary and Pre-Operative Expense (P&P)	31,000		
Working Capital Margin	23,291		
Total Cost of Project	5,36,241	Total Means of Finance	5,36,241

It is imperative to base the calculations on appropriate working notes and also highlight the assumption for every number mentioned in table 8.5. There may be different types of equipment used by the service provider, which is

clubbed together and shown under one head only. Contingency expense is assumed to be two percent of the total of the first four items. Preliminary and pre-operative expenses may include those expenses that are incurred before the commercialization of the service such as manpower training costs, rent for open space, internet charges, electricity charges, and telephone deposit etc. The entrepreneur has availed a term loan of ₹ 3,21,745 at the interest rate of 10.90% per annum. The loan is for five years and it is payable quarterly. Working Capital Margin (WCM) is computed from the computation of working capital requirement.

Working Capital Estimation

The difference between the Current Assets (CA) and Current Liabilities (CL) is called working capital. Working Capital Requirement is estimated using the formula= Debtors (Accounts Receivable) + Inventory (Stock) - Creditors (Account Payable). Table 8.6 highlights the computation of the Working Capital Requirement and WCM of the car spa services for two years is stated below.

Table 8.6: Estimation of Working Capital Requirement and WCM

Particulars	Credit Allowed	Credit Month (30 Days/ Month)	Formula	Assumed Numbers	2024-2025	2025-2026
Current Assets (CA)						
Debtors-Type 1	15 days	0.5	$0.5 * \text{Sales} / 12$	16,20,000; 18,63,000	67,500	77,625
Debtors-Type 2	15 days	0.5	$0.5 * \text{Sales} / 12$	9,00,000; 10,35,000	37,500	43,125
Total Debtors (A)					1,05,000	1,20,750
Inventory-1	10 days	0.33	$0.33 * \text{Inventory} / 12$	1,20,000; 1,23,600	3,300	3,399
Inventory-2	10 days	0.33	$0.33 * \text{Inventory} / 12$	3,000; 3,090	83	85
Inventory-3	10 days	0.33	$0.33 * \text{Inventory} / 12$	16,200; 16,686	446	459
Inventory-4	20 days	0.67	$0.67 * \text{Inventory} / 12$	33,000; 33,990	1,843	1,898
Inventory-5	20 days	0.67	$0.67 * \text{Inventory} / 12$	21,000; 21,630	1,173	1,208

Inventory-6	20 days	0.67	$0.67 \times \text{Inventory}/12$	4,800; 4,944	268	276
Total Inventory (B)					7,113	7,325
Total Current Assets (C) (A+B)					1,12,113	1,28,075
Current Liabilities (CL)						
Creditors-1	1 Month	1 Month	$1 \times \text{Creditors}/12$	1,20,000; 1,23,600	10,000	10,300
Creditors-2	1 Month	1 Month	$1 \times \text{Creditors}/12$	3,000; 3,090	250	258
Creditors-3	1 Month	1 Month	$1 \times \text{Creditors}/12$	16,200; 16,686	1,350	1,391
Creditors-4	1.5 Month	1.5 Month	$1.5 \times \text{Creditors}/12$	33,000; 33,990	4,125	4,249
Creditors-5	1.5 Month	1.5 Month	$1.5 \times \text{Creditors}/12$	21,000; 21,630	2,625	2,704
Creditors-6	1.5 Month	1.5 Month	$1.5 \times \text{Creditors}/12$	4,800; 4,944	600	618
Total Creditors (D)					18,950	19,520
Net-Assets or WC [CA-CL] (C-D)					93,163	1,08,556
Working Capital Requirement					93,163	1,08,556
Margin (25%)					23,291	27,139
Bank Finance (75%)					69,872	81,417
Interest on WC Loan (5%)					3,494	4,071

It is assumed that the bank once sanctions the working capital loan to the business, the entrepreneur uses the fund to buy the raw material, s/he makes the produce or provide the services, earns the revenue, which is then used for making payments for working capital loan. As and when s/he receives the money, repayment of the outstanding loan is done and a new working capital loan is further taken, this way the cycle continues. In the car spa services example, it is assumed that the entrepreneur avails the working capital loan at the interest rate of 5% per annum.

Projected Income Statement

An income statement is broadly divided into two parts viz., the Income and the Expenses. Income statement helps to ascertain the profit generated by the venture. Income is the inflow of money on a regular basis and it is not required to be paid back. Expenses are the outflow of money on a regular basis. The projections are made for at least five years. The computation of the Projected Income Statement for car spa services is described in Table 8.7 for two years.

Table 8.7: Projected Income Statement for the year ending 31st March

Particulars	2024-2025	2025-2026
Revenue from Services	25,20,000	28,98,000
Total Revenue (A)	25,20,000	28,98,000
Less: Expenses		
Rent	2,40,000	2,64,000
Raw Material	1,98,000	2,03,940
Utilities	54,000	57,480
Salaries	6,84,000	7,27,200
Taxes	6,000	6,600
Other Expenses	42,000	44,100
P&P Expense (including Contingency) W/o	8,090	8,090
Total Expense (B)	12,32,090	13,11,410
Profit Before Interest, Depreciation and Taxes (PBIDT/GP)	12,87,910	15,86,590
Less: Interest Expense	37,277	30,132
Less: Depreciation	1,58,525	98,981
Profit from Operations	10,92,108	14,57,477
Less: Taxes (Provision)	1,45,740	2,59,730
Profit After Tax	9,46,368	11,97,747

Assume that the car spa services washes car as well as two-wheeler. The working note of revenue and expense for one item is shown below:

Particulars	Car Washing Service	Two-Wheeler Washing Service
	Revenue	
Number of vehicles that will be washed per day	30	50
Number of working days in a month	30	30
Rate Per Vehicle	₹150	₹50
Monthly Revenue	₹16,20,000	₹75,000
Yearly Revenue: For Year 1	₹16,20,000	₹9,00,00

Yearly Revenue from Services: ₹25,20,000		
Increase (% Assumed)	15%	15%
Yearly Revenue: For Year 2	18,63,000	10,35,000
Yearly Revenue from Services: ₹ 28,98,000		
Expense		
Monthly Rent for open space	₹20,000	
Number of Months	12	
Yearly Rent	₹2,40,000	
Increase (% Assumed)	10%	
Yearly Rent for Year-2	₹2,64,000	

Note: Explaining the computation of every item, with the assumption is beyond the scope of this unit. For detailed step-by-step understanding of computation and assumptions, one may refer the book titled-New Paradigms of Business Plan for Selected Horticulture Crops.

For items such as revenue and expenses mentioned in the Income Statement, an assumption on the percentage increase on yearly basis is done. For P&P expenses it is assumed to be written off in five years. Interest expense has to be computed based on the schedule received from the bank. The method of depreciation is either the Straight Line Method (SLM) or the Written Down Value Method (WDV) and the rate of depreciation used has to be stated. In the computation above, the depreciation method followed is WDV. The rate of depreciation for infrastructure and vehicles is 40%, equipment is 15%, and furniture 10%. Based on the type of legal structure chosen by the entrepreneur the tax structure will be applicable. The tax rates will be applicable based on the assessment year (AY). In the above illustration, the legal structure chosen by the entrepreneur is Sole Proprietorship, and the age of the individual is below 60 years, the AY is 2025-2026. Thus, the tax slab for an individual below 60 years and tax rates applicable for AY 2025-2026 would be the bases for the computation of tax.

Projected Balance-Sheet

It refers to the prediction of the assets and liabilities of the business for the forthcoming years (at least 5 years) for ascertaining the financial health of the business. A firm's solvency position can be easily identified from the Balance-Sheet. Liabilities refer to the money that the business collectively owes to the entrepreneur and the outsiders. Assets refer to those items which help the entrepreneur to execute the business. Assets are unconsumed items of the business. A business owns the assets. The computation of the Projected Income Statement for car spa services is described in Table 8.8 for two years.

Table 8.8: Projected Balance Sheet as on 31st March

Particulars	2024-2025	2025-2026
Liabilities		
Promoter's Equity (Own Funds)	2,14,496	2,14,496
Cumulative Reserves & Surplus	9,46,368	21,44,115
Term Loan (Outstanding)	2,57,397	1,93,049
Working Capital (Outstanding)	69,872	81,417
Creditors	18,950	19,520
Total Liabilities	15,07,083	26,52,597
Assets		
Gross Block (Fixed Assets)	4,72,500	4,72,500
<i>Less: Accumulated Depreciation</i>	1,58,525	2,57,506
Net Fixed Assets	3,13,975	2,14,994
Current Assets		
Debtors	1,05,000	1,20,750
Inventory	7,113	7,325
Cash Balance	10,48,635	22,85,258
Total Current Assets	11,60,748	24,13,333
P&P (not written off)	32,360	24,270
Total Assets	15,07,083	26,52,597

Cumulative R&S is obtained by adding the profits of current year with the previous year's profit. A loan amortization schedule is prepared for the term loan and working capital loan and based on it the outstanding loan amount is to be found. The loan amortization schedule can be asked from the bank or prepared by the entrepreneur after taking into account the rate of interest, tenure of loan and number of instalments. Fixed assets include infrastructure, equipment, furniture fixtures, and vehicles. The cash balance figure has to be validated by preparing the cash-flow statements.

Projected Cash-Flow Statement (CFS)

The profits and cash balance can be never identical in the business, if the business follows the mercantile system of accounting. So, in order to find out the realistic cash balance, a cash flow statement is prepared. It provides the cash generated or used by the firm in a given period of time. CFS statement is also prepared for the projected period of at least five years. For the illustration purpose, the car spa cash flow statement is prepared in Table 8.9, using the Indirect Method as specified by Accounting Standard-3.

Table 8.9: Projected Cash Flow Statement for the year ended on 31st March

Particulars	2024-2025	2025-2026
Operating Activity		
Profit After Tax (PAT)	9,46,368	11,97,747
Add: Depreciation	1,58,525	98,981
Add: P&P	8,090	8,090
Add: Provision for Taxation	1,45,740	2,59,730
Add: Increase in Creditors	18,950	570
Add: Increase in WC	69,872	11,545
Less: Increase in Debtors	1,05,000	15,750
Less: Increase in Inventory	7,113	212
Less: Taxes Paid	1,45,740	2,59,730
Cash Flow from Operations (A)	10,89,692	13,00,971
Investing Activity		
Less: Purchase of Fixed Assets	4,72,500	0
Cash Flow from Investments (B)	-4,72,500	0
Financing Activity		
Add: Issue of Promoters Funds	2,14,496	0
Add: Term Loan	3,21,745	0
Less: Repayment of Term Loan	64,348	64,348
Less: Payment of P&P Expenses	40,450	0
Cash Flow from Financing (C)	4,31,443	-64,348
Net Cash Flow (A+B+C)=(D)	10,48,635	12,36,623
Add: Opening Cash Balance (E)	0	10,48,635
Closing Cash Balance (D+E)=(F)	10,48,635	22,85,258

In order to find out the correct operating profit, all the non-cash expenses such as depreciation, P&P; provisions, increase in CL added back. Increase in CA and taxes paid are to be subtracted. It is assumed that provision for tax and payment of tax are same in numbers. Under investment activity, any purchase of fixed assets or (sale of fixed asset), indicates cash outflow (cash inflow) and hence it is respectively either deducted or added. In the financing activity, any inflow of funds by way of equity or loans is added; and any outflow of funds (repayment of bank loan etc) is subtracted. The closing cash balance from CFS statement is transferred to the balance-sheet.

Capital Budgeting Techniques

Capital Budgeting guides whether the project is financially viable and worth pursuing. The techniques applied for analysis are discussed in Table 8.10.

Table 8.10: Crux of Capital Budgeting Techniques

Name of the Technique	Description	Formula	Decision Rule
Discounted Method: The present value of the cash flow are taken.			
Net-Present Value (NPV)	It is the total present value of all the cash flows occurring over the useful life of the project.	$NPV = \sum_{t=1}^T \frac{C_t}{(1+r)^t} - C_0$	+ve= Accept, 0=Indifferent, -ve=Reject
Benefit Cost Ratio (BCR)	The proposed relationship between cost and benefit of the project is studied.	BCR= NPV ÷ Investments	>1= Accept, 1=Indifferent
Net-Benefit Cost Ratio (NBCR)		NBCR= BCR-1	>0= Accept. <0= Reject
Internal Rate of Return (IRR)	It is the discount rate which makes its NPV equal to zero.	$Investment = \sum_{t=1}^n \frac{C_t}{(1+r)^t}$	r>cost of capital, Accept or else, reject
Modified Internal Rate of Return (MIRR)	It assumes that project cash flows are reinvested at the cost of capital and reflects true profitability of a project.	Investments= Total Cumulative FVIF till project life ÷ (1+MIRR) ⁿ	Accept if, r>Cost of capital
Discounted Pay-Back Period (DPB)	The cashflows are discounted to find the present value and then added to ascertain the period of time required to recover the initial outlay on the project.	Finding the year from the Discounted Cumulative Cash flow column to ascertain the time, which will help to recover the initial investments.	Lower is better.
Non-Discounted Method: The absolute value of the cash flow are taken, present value is ignored.			
Pay Back Period (PB)	It is the length of time required to recover the initial cash outlay on the project.	Finding the year from the Cumulative Cash flow column to ascertain the time, which will help to recover the initial investments.	Lower is better.

The discount rate or the cost of capital is taken at 10.90% (the rate of interest on which the term loan is availed). If the company has equity and debt in its capital structure then it may use Weighted Average Cost of Capital (WACC) as discount rate. The cost of project or the means of finance is nothing but the initial investment in the project. Manual computation and excel output of NPV is indicated in Table 8.11. A five years period is used for computation purpose.

Table 8.11: Computation of NPV, BCR, NBCR, IRR, MIRR

Year	PAT	Depreciation	P&P	Correct Cash Flow	Present Value Discount Factor @ 10.90%	PV
1	9,46,368	1,58,525	8,090	11,12,983	0.902	10,03,911
2	11,97,747	98,981	8,090	13,04,818	0.813	10,60,817
3	14,67,825	62,746	8,090	15,38,661	0.733	11,27,839
4	17,68,476	40,564	8,090	18,17,130	0.661	12,01,123
5	21,09,837	26,875	8,090	21,44,802	0.596	12,78,302
Initial Investment (Cash Outflow)						-5,36,241
NPV						+51,35,751

1	A	B	C	D	E	F	G
2	Year	0	1	2	3	4	
3	Cash Flow	-536241	1112983	1304818	1538661	1817130	2144802
4	Cost of Capital	10.90%					
5	NPV INR 51,36,290 Excel Function for NPV=NPV(B4,C3:G3)+B3						
6	Decision: As the NPV is positive, the project is accepted.						
7	BCR=51,35,751÷ 5,36,241= 9.58>1, so the project is accepted.						
8	NBCR=9.58-1=8.58>0, so the project is accepted.						
9	IRR as computed in Excel= 224%, which is greater than the cost of capital, so the project is accepted. Excel Function for IRR=IRR(B3:G3)						
10	MIRR as computed in Excel=78%, which is greater than the cost of capital, so the project is accepted. Excel Function for MIRR=MIRR (B3:G3,10.9%, 10.9%).						

Thus, the project is financially viable. The computation of Discounted Pay-Back Period and Pay-Back Period is indicated in table 8.12.

Table 8.12: Computation of DPB and PB

Year	Cumulative Discounted Cash Flow	Cumulative Cash Flow
1	10,03,911	11,12,983
2	20,64,728	24,17,801
3	31,92,567	39,56,462
4	43,93,690	57,73,592
5	56,71,992	79,18,394
Step	DPB If ₹10,03,911 can be recovered in 12 Months Then ₹5,36,241 can be recovered in ? Months 6 Months The period is lower, therefore, the project can be accepted.	PB If ₹11,12,983 can be recovered in 12 Months Then ₹5,36,241 can be recovered in ? Months 5.78 Months The period is lower, therefore, the project can be accepted.

Thus, it may be noted that after applying all the capital budgeting technique, the project appears viable on all fronts, so it is advisable to execute the project.

Activity 4

Visit a micro business unit and interact with the entrepreneur to collect the data on expenses, income, assets and liabilities of his/her venture. Try to gather data on rate on interest that s/he paid to avail the loan, corpus that s/he contributed to the venture. Make a projection for 5 years for Income Statement, Balance-Sheet, Working Capital, Cash Flow Statement. In order to check the viability of the business idea, apply the Capital Budgeting Technique manually and using excel.

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8.7 CONTENTS OF DETAILED PROJECT REPORT (DPR)

The contents of the DPR are described in Table 8.13.

Table 8.13: Outline of DPR

Chapterization	Topic	Coverage
	Title Page	Name of the business Name of the Entrepreneur Address for Communication Email Address Contact Details (Landline, Mobile, WhatsApp)
	Executive Summary	Glimpse of the entire feasibility report
	Confidential Report	Statement of Confidentiality of the report
I	Introduction	Brief Sector Snapshot Sectoral Trend Vital Gap identification Secondary Data on Industry Forecast Nature of the business Socio-Economic Benefits
II	Venture Details	Name of the Entrepreneur Demographic Snapshot of the Entrepreneur Educational, Experience, Skills of Entrepreneur Name of the Venture Details of Product or Service Offered Brand Name Punch Line Sector Category
III	Environmental Analysis	PESTEL Analysis Porter's Five Forces SWOT Analysis BOG Analysis
IV	Marketing Plan	Demand Forecasting

Chapterization	Topic	Coverage
		Primary Market Research Report (if any) Marketing Mix (4 Ps or 7 Ps) STP Analysis
V	Technical Plan	Location Selection Technology Selection Capacity Planning List of Machines Production Planning Layout Description Process Flow Chart Operational Planning SOP Details of Suppliers
VI	Legal Analysis	Legal Structure of the Business Details of Certificate Requirement Snapshot of List of Certificates Availed
VII	Organizational and Human Resource Plan	Organization Structure Background of Management Team Authority and Responsibility of the Head Organogram Job Analysis Job Description of each employee Job Specification of each employee Statistical Employment Details (Skill-wise and Cadre-wise)
VIII	Financial Plan	Cost of Project and Means of Finance Projected Working Capital Estimation Projected Income Statement Projected Balance Sheet Projected Cash Flow Statement Capital Budgeting Techniques List of Assumptions
IX	Assessment of Risk and Strategies	Contingency Plans Technology Exit in case of Exit

Chapterization	Topic	Coverage
		Future Strategies for: Raw Material Sourcing Expansion Marketing Financial Organization Structure Transformation etc
	Appendix	Market Research Data Contact Details of Suppliers Quotation from Suppliers Copy of Certificates Google Map Location of Site Photos of Location Site Photos of Infrastructure Photos of Products Photos of Advertisement and Promotion Photos of Management Team

The outline of DPR stated above has also incorporated the point of Business Plan -Assessment of Risk and Strategies, to give a holistic view on the preparation of report. Funders would like to know the exit strategy if the business fails and expansion strategy if the business progresses.

8.8 SUMMARY

Preparation of DPR or Business Plan provides a clear-cut understanding of the journey of moving from feasible idea to commercialization of the product. The document helps to procure funds from the investors. The DPR constitutes details of Technical feasibility, which strives to justify the location, layout planning, technology selection, capacity planning, operations planning and production planning. Environmental analysis scans the organization's internal as well as external environment. The industry analysis is performed through PESTEL and Porter's Five Forces. The Competitor Analysis is performed using SWOT and BOG. The market analysis starts with demand forecasting, marketing mix decision, and STP is also decided. The legal structure of the organization needs to be decided and the legal formalities of applicable certification also need to be completed by the entrepreneur. Organizational structure, reporting lines, roles and responsibilities of management and job analysis of employees are an integral part of the DPR. The financial plan incorporates the Cost of the Project and the means of finance estimation. It also includes the estimation of working capital requirements, preparation of projected income statement, balance sheet, and cash-flow statement. The financial viability of the business idea is assessed by applying various capital budgeting techniques such as NPV,

BCR, NBCR, IRR, MIRR, DPB, and PB. If the project is accepted if the NPV is positive, its return is exceeding the cost of capital and has a short payback period. Essentially, a chapter on the assessment of risk and strategies needs to be incorporated into a business plan, so that the funders get a holistic idea in two scenarios viz, if the business takes off and if the business fails.

8.9 KEY WORDS

First-in-First-Out (FIFO): The first stock is sold first. For perishable items, it is the most favoured method.

Installed Capacity: It refers to the maximum production capacity as suggested by the manufacturers' specification of machines.

Joint Ventures: An association of two firms that join hands to form a new venture, wherein one firm provides technical support and the other firm provides the infrastructure or other resources.

Last-in-First-Out (LIFO): The last stock is sold first. It is best suited for non-perishable items such as apparel, electronics etc.

Turn-Key Projects: It is a built-in end-to-end project which is ready for immediate implementation, is sold to the customer for a specific price.

8.10 SELF ASSESSMENT QUESTIONS

- 1) Write a short note on technical analysis.
- 2) Which are the factors for location selection?
- 3) What is capacity planning?
- 4) Discuss the different types of plant layouts and stores layout.
- 5) Discuss the operational planning process in a mall.
- 6) Write a short note on Environmental Analysis.
- 7) Describe Porter's Five Forces Model.
- 8) Explain the PESTEL Analysis with an appropriate example.
- 9) Write a note on Organizational, Legal and Human Resources.

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UNIT 9 IMPLEMENTING BUSINESS PLAN

Objectives

After studying this unit, you should be able to:

- discuss the designing of business process
- explain the meaning of location layout
- describe the factors affecting selection of a plant location
- explain the concept of business process
- decide about operations, planning, control and financing
- prepare a business plan; and
- understand the concept of implementation schedule.

Structure

- 9.1 Introduction
- 9.2 What is Location Layout?
- 9.3 Factors Affecting the Location Decisions
- 9.4 Business Process
- 9.5 Deciding about operation, planning and control
- 9.6 Selection of Financers
- 9.7 Implementation Schedule
- 9.8 Common Errors in Business Plan Formulation
- 9.9 Summary
- 9.10 Keywords
- 9.11 Self-Assessment Questions
- 9.12 References/Further Readings

9.1 INTRODUCTION

Once you are done with your Business Plan preparation and evaluation, you need to focus on implementation part such as location decision/choice, designing business process, organization and management planning and selection of investors/financers. Let us now dig deeper and discuss the implementation part one by one. Location decisions are the strategic decisions that require large financial investments and they are irreversible in nature. A number of factors like market related factors, tangible or cost factors and intangible or qualitative factors affect and are affected by the location choice. The choice is made only after considering cost and benefits of different alternative sites. It is a strategic decision that cannot be changed once taken. If at all changed only at considerable loss, the location should be selected as per its own requirements and circumstances. Similarly, the other

decisions (mentioned above) while planning the implementation part are a tricky affair.

9.2 WHAT IS LOCATION LAYOUT?

Plant location refers to the choice of region and the selection of a particular site for setting up a business or factory. Entrepreneurs who choose their locations wisely with their customers' preferences and their companies' needs in mind establish an important competitive advantage over rivals who choose their locations haphazardly. And the physical disposition of the facilities of a plant is referred to as the plant layout. The basic types of layouts are: process layout, product layout, fixed-position layout, cellular manufacturing layout and hybrid layout. A process layout is the layout in which similar machinery are grouped together. In product layout the machines are arranged according to the progressive steps by which a product is made. In a group technology layout, dissimilar machines are grouped into cells, and each cell functions like a product layout within a larger job shop or process layout. In a fixed layout, all the necessary inputs men, materials, and equipment are brought to a fixed location where the product is actually manufactured. A hybrid or combination layout constitutes combination of two or three types of layouts.

You have to consider a gamut of points while deciding upon a plant location. There is, in addition, the task of choosing a site-the specific piece of land, in a given town, where the enterprise will be located. Sometimes, the location-selection and site selection are intertwined in so far as you may drop a location for want of a good site.

9.3 FACTORS AFFECTING THE LOCATION DECISIONS

One of the most important steps in the critical path of the establishment of a business is the selection of adequate location for the business as this can be irreversible in nature. The old axiom from marketing is that the three keys to business success is Location, Location, Location. Location is thus, a critical item for the successful operations of a new business. Therefore, the entrepreneur must identify and select the location site very carefully. The success of a business to a large extent depends on ideal selection of location site. The important considerations for selecting a suitable location are given as follows:

- 1) **Market proximity:** Production has no value without consumption. All business comes into existence to serve its customers. Locating business close to markets, the entrepreneurs plan to serve is extremely critical to manufacturers especially when the cost of transportation of finished goods is high relative to their value. Locating near customers can also give competitive advantage. The more the need for after sale services, more the cost of transportation and lower the shelf life of the finished goods, the more proximity towards the market will be required. Nearness to the market ensures a consistent supply of goods to customers and

reduces the cost of transportation.

- 2) **Supply of required raw material:** When the raw materials required by the business are either heavy or bulky and involves huge transportation cost then it is suggested to keep the location of the business near to the sources of raw material. It is essential for the organization to get raw materials in right quantities and time in order to have an uninterrupted production. Selecting the location near to the raw material source can also reduce the cost of holding inventory as the suppliers can make quick deliveries. However, when the raw material is easily available, then one should strategize to keep the location near to the market and not to the source of raw material.
- 3) **Availability of labour and skills:** For labour intensive organizations, especially, the availability of labour supply and required skills becomes a critical factor while selecting the location of the business. Entrepreneurs must consider the number of workers available in the area and their levels of education, training, adaptability and experience and the number of workers qualified to the required work of the entrepreneur in the area.
- 4) **Infrastructural facilities:** For any business, adequate infrastructural facilities are a must. However, the degree of dependency upon infrastructural facilities may vary from industry to industry, yet there is no denying of the fact that availability of infrastructural facilities plays a deciding role in the location selection of an industry. The infrastructural facilities include: power, transport and communication, water, banking, etc.
- 5) **Transportation networks:** Business owners must investigate the quality of the local transportation network. He should consider the availability of nearby airports, ports or railways to connect to required cities. Is the area feasible to connect to major highways? How much would be the travel distance of the customers? How much time will it take to deliver the shipment to them from that location? The rates of transportation are also an important consideration. The loading and unloading space is also required to be considered for a retail business.
- 6) **Government policies:** Government policies play a very significant role in the selection of a business location as these affect many aspects of business operations from acquiring business licenses and building permits to dumping trash. In order to promote the balanced regional development, the government also offers several incentives, concessions, tax holidays for number of years, cheaper power supply, factory shed, etc., to attract the entrepreneurs to set up industries in less developed and backward areas. Then, other factors being comparative, these factors become the most significant in deciding the location of an industry. For example, government of India has established various zones known as special economic zone and provides subsidies and various tax advantages to the enterprises established in these locations.

- 7) **Competition:** For some retailers, it is advantageous to open the business in the location where the competitors are already available because locating business near to one another may serve to increase traffic flow to both. This strategy is mainly beneficial for those where the customers feel the need of need comparisons amongst the products/shops. However, this strategy has its limitations; too many businesses of same type in the area can create an undesirable impact on the profitability of all the firms.
- 8) **Climate conditions:** Climatic conditions vary from place to place in any country including India. The climatic conditions affect both people and manufacturing activity. It affects human efficiency and behaviour to a great extent. Certain industries require specific type of climatic conditions to produce their goods. For example, jute and textiles manufacturing industries require high humidity. As such, these can be established in high humid areas such as Maharashtra, Gujarat, and Andhra Pradesh. On the other hand, industrial units manufacturing precision goods like watches require cold climate and hence, will be established in the locations having cold climate like Kashmir and Himachal Pradesh.
- 9) **Internet access:** With the increasing growth of e-commerce businesses, high speed internet availability has become one of the critical factors in the selection of the location of the business. High tech and e-business requires speedy and reliable and cost-effective internet connections so that their business activities do not get hampered.
- 10) **Political conditions:** Political stability is essential for industrial growth. The political stability fosters industrial activity and political upheaval derails industrial initiatives. This has been experienced by analyzing the political situations across the countries and regions within the same country. The reason is not difficult to seek. The political stability builds confidence and political instability causes lack of confidence among the prospective and present entrepreneurs to venture into industry which is filled with risks.

9.4 BUSINESS PROCESS

After selecting the location for the business, the next step is to identify the sequence of activities that need to be carried out and their process. Business process chart presents a bird eye view of those activities. A business process or business method is a collection of related, structured activities or tasks by people or equipment which in a specific sequence produce a service or product for customers. A business process has also been defined as a set of activities and tasks that, once completed, will accomplish an organizational goal. The process must involve clearly defined inputs and a single output. These inputs are made up of all of the factors which contribute (either directly or indirectly) to the added value of a service or product. These factors can be categorized into management processes, operational processes and supporting business processes. A business process may often be visualized as a flowchart of a sequence of activities with interleaving decision points or as a process matrix of a sequence of activities with relevance rules

based on data in the process. The benefits of using business processes include improved customer satisfaction and improved agility for reacting to rapid market change. Process-oriented organizations break down the barriers of structural departments and try to avoid functional issues.

Designing the Business Process

A business process is a building block of any kind of business. By definition, it is a series of repeatable steps that are critical for achieving some sort of a business goal. It is something the business does on a regular basis. The more efficient the business processes, the better the business will perform.

Business processes have always played a vital role in the proper functioning of an organization and in its structure. A well planned and strategized business process will help a business in reducing the expenditure, risks, resources and duplication of work; improvising efficiency, reduce human error, ensuring time management, etc. The example of a business process of a pizza business is explained below:

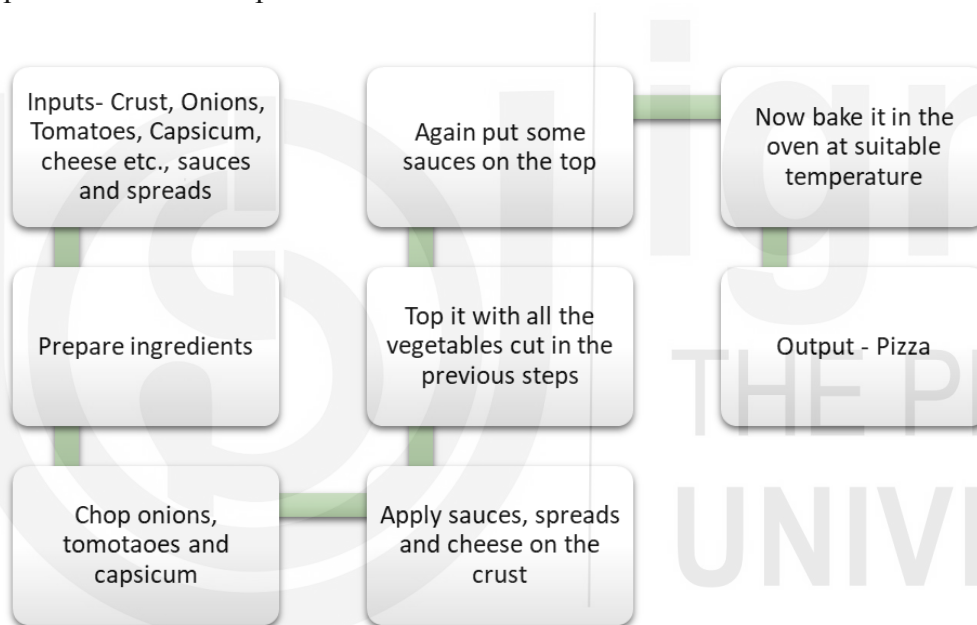


Figure 9.1 Business process of a Pizza joint

Source: Author's own output

Steps in Business Process Design

For designing the business process, following steps must be taken care of:

- Write down the inputs, outputs, and steps needed to achieve the business goal, each one on a separate note.
- Create the process on the whiteboard (virtual or real) with post-its, each note containing the finest, most granular steps you can get down to.
- Draw the links between the different steps and how do the process flow from one to the next.
- Once the initial process mapping has been done, carry out several workshops to identify any gaps in the design.

Key Elements of Business Process

- **Business Process Automation:** It is a technology-driven strategy to automate a business process in order to accomplish it with minimum cost and in a shorter time. It is extremely useful for both simple and complex business processes and is used to execute recurring tasks or processes in a business where manual effort can be replaced. It can streamline a business for simplicity, achieve digital transformation, increase service quality, improve service delivery or contain costs.

For example, Purchase Order (PO) requests are recurring processes in most organizations. The requesting team fills out a form and sends it to the purchasing team. The approving authority then examines the request and rejects the request in case information is inadequate or if there are budgetary constraints. It is then sent back to the requesting team. If approved, a purchase order is created and copies are sent to the supplier as well as the inventory team.

Without automation, the issues like delayed PO approval; impacted productivity; incomplete records; errors in the PO; errors while taking delivery of the supplies could crop up.

Business process automation can help improve accountability, transparency and enable accurate data recording, which can be accessed by relevant stakeholders when necessary. It will also retain all process-related communication within the workflow to make execution easier and faster.

- **Business Process Improvement:** It is a strategic planning initiative that aims at reshaping business processes based on operations, complexity levels, employee skills, etc. in order to make the entire process more meaningful, efficient, and contribute to overall business growth. It is a rather drastic way to rediscover more efficient ways to run a business process rather than taking small incremental steps.

The example of business process improvement involved the merger of two companies in the waste handling equipment industry having a common set of customers. They analysed significant value in a merger. When joining the two companies, they found disparate systems and processes, and operational redundancies.

Following Ultra's tried-and-true methodology, the ERP (Enterprise Resource Planning) consultant team conducted a current state analysis, identified change management processes to align the two companies, and defined the desired future state. Finally, they set the foundation for selecting and implementing a new ERP solution that would scale for their expected growth.

Among the values realized by the project, the company reduced costs, improved customer response times, reduced manual efforts, improved IT management, and upgraded its vendor management.

- **Business Process Modelling:** It is a diagrammatic/structural representation of flow of business activities in an organization or function within an organization. Its primary use is to document and baseline the current flow of activities in order to identify improvements and enhancements for speedy accomplishment of tasks. This is usually done through different graphing methods, such as the flowchart, data-flow diagram, etc. Look at Figure 9.2 which shows the diagrammatic presentation of business process modeling.

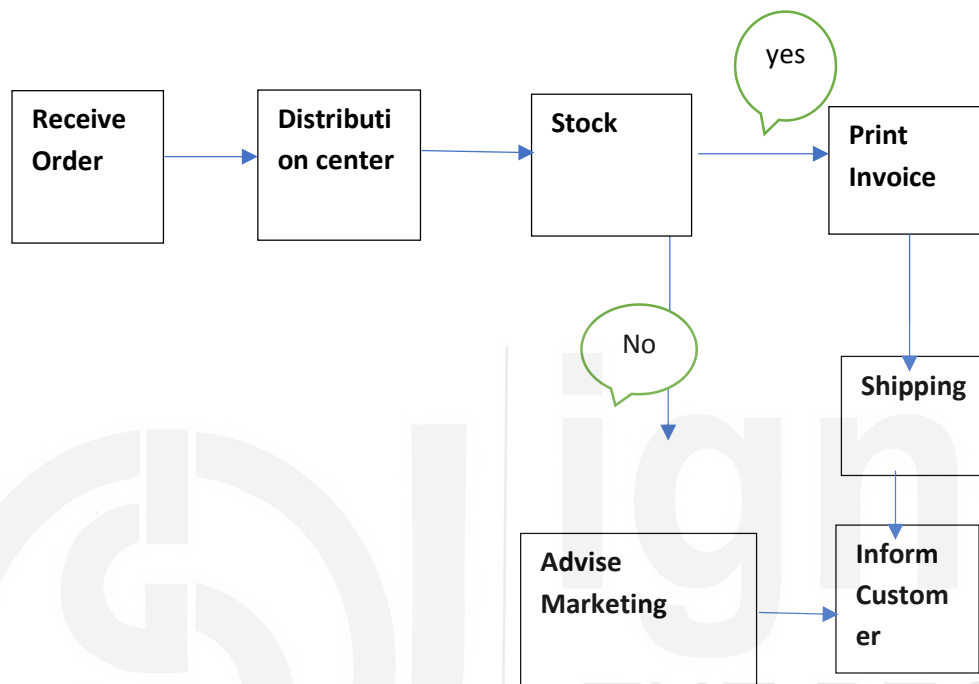


Figure 9.2: Business Process Modeling

Source: Author's own output

- **Business Process Reengineering:** It is a complete redesign of business processes after thorough analysis in order to bring drastic impact. It involves identifying the core of inefficiency, culling out tasks that do not add any value, and even implementing a top-to-bottom change in the way a process is designed in order to bring about an overall transformation.

An example of business process reengineering is that of a fast-food company. Sometimes completely redesigning the delivery of products can give unexpected results. In this type of restaurant, the process goes like all others, the customer orders, the order goes to the kitchen, which prepares the meal and then delivers to the consumer. Business process analysts realized that it would be more advantageous if the meal portions were previously prepared in a separate center, and delivered to the restaurants daily. When the customer orders, staff place everything together and deliver it. This is a complete change in the process, resulting in greater control, fewer accidents, greater employee satisfaction, and increased ability to focus on customer needs, all without losing quality.

- **Business process optimization:** It takes an existing process and uses analytics and business process mining tools to weed out bottlenecks and other significant inefficiencies in a process.

Another business process optimization example is the social networking marketing. Let us assume a company wants to post something on Facebook three times a day. They assign someone to take care of that, the employee thinks about the posts, and three times a day takes time to log in to Facebook, write everything and publish it. Note that like this we are spending time, preventing the employee to focus on other tasks and spending resources three times a day. Optimizing this process, we would get the employee to plan the posts for a week or two weeks, and get a software that publishes it automatically. Thus, the posts will go up punctually, daily and consistently. No matter if there is someone to do it or not.

- **Business process mapping:** It is a procedure to document, clarify, and break down process sequences into logical steps. Business process mapping is a way to visualize what a business does by taking into account roles, responsibilities and standards. The mapping is either done in written format or visualized using flow charts. Choose a process mapping software that empowers business users to map all the processes based on logical steps with an intuitive visual interface.

Activity 1

Discuss the concepts of Business Process Reengineering and Optimization.

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9.5 DECIDING ABOUT OPERATION, PLANNING AND CONTROL

Operations planning and control follows operations design because once a product/service has been designed, it needs to be produced. Operations planning and control is concerned with ensuring that the day-to-day production process proceeds smoothly. The operations and management plan is designed to describe just how does the business functions on a continuing basis. The operations plan will highlight the logistics of the organization such as the various responsibilities of the management team, the tasks assigned to each division within the company, and capital and expense requirements related to the operations of the business. Operational planning is an estimation of what needs to be done to ensure operational processes are efficient and effective-that supply always meets demand. Operational control is to ensure that operations conform with this estimation, and if they do not conform adjustments can be made.

Maximum production, highest quality and minimum cost are the guiding principle of production management. Production implies a process of converting raw materials into finished products which is directly associated with customers' satisfaction. Thus, production management plays a significant role in providing satisfaction to the customers.

Typical activities in the planning and control process include:

- Setting objectives-so that you know what is to be achieved by your plans and by when.
- Allocating tasks and responsibilities-who is to be involved with the new product and service and how are they to be involved.
- Scheduling-work patterns, process scheduling, supply and demand scheduling
- Assessing resource requirements-people and their skills, money (budgets), time, raw materials, plant and equipment, capacity.
- Monitoring and evaluating performance-the control part, involving control activities, measures and control techniques.

The major thrust areas of operations, planning and control are:

- 1) **Selection of Technique of Production:** The success of the business depends upon the selection of an appropriate technique for production of products and services. The requirements of plant and machinery, equipment and instruments and labour requirements also vary with the techniques of production. There are mainly two techniques of production. First is **Labour-Intensive technique** in which most part of production is done by using labour force and the use of machinery is avoided. Second is the **Capital-Intensive technique** in which most of the production is done using machinery and the requirement of labour force is less. The selection of appropriate technique depends on many factors like availability of resources, nature of product, scale of operations, etc.
- 2) **Selection, Utilization and Maintenance of Machinery:** It concerns with the decision regarding which machinery to choose amongst different alternatives available. The factors like price of machinery, availability of financing, maintenance and repairs requirements and availability of spare parts, availability of skilled personnel etc. are important to consider while selecting the machinery.
- 3) **Workplace Layout:** Workplace layout means the internal arrangement of the machines and equipment, storage of raw materials, moving space, restroom, work space, packing space, storage of finished product etc. of an enterprise. It basically means the optimum utilization of the available space. Good layout results in maximum utilization which facilitates easy handling, safety, time and energy saving work and ultimately ensures higher productivity.
- 4) **Working Conditions:** In order to ensure complete efficiency of employees, the entrepreneur must ensure the proper working conditions.

Important areas that should be focused are: proper lighting, sanitation, good ventilation, cleanliness, medical facilities, availability of safety equipment, firefighting equipment etc.

- 5) **Production, Planning and Scheduling:** It is concerned with the flow of material from each phase of production. Production, Planning and Scheduling basically involves the functioning of operating cycle from operations to delivery of finished product. Time slots required for each phase of production including material handling, loading and unloading from machines, actual production operation, packaging and transportation, etc. is required to be calculated. The time at each work phase is thus, can be scheduled in such a way that the machine and the worker do not remain idle or under-utilised or overburdened.
- 6) **Flow of Materials:** High rate of production depends upon the easy availability of the materials. An entrepreneur has to ensure timely supply of all materials required in the production process. Depending upon the nature of business, the stock of raw materials, spare parts and accessories should be made available well before their requirement. It saves time and the cost of obtaining money for these supplies. It is always beneficial to purchase the stock of raw material from a known source and caution must be taken about the adulteration and supply of materials of an inferior quality.
- 7) **Inventory/ Stock Control:** An inventory control system is a system which encompasses all aspects of managing a company's inventories; purchasing, shipping, receiving, tracking, warehousing and storage, turnover, and reordering. It is an important area in production management. Inventory is the stock of either the materials required for production or the stock of finished products. Both the types increase financial burden of an entrepreneur. Inventory of raw material should be carefully planned so that production does not stop and the men and machineries do not remain idle. This involves planning of how much raw material should be stored, re-order level, the quantity to be re-ordered, the time required to deliver etc.
- 8) **Cutting and Controlling the Material Cost:** As a manufacturer, there is always a hope to be able to reduce the manufacturing costs without having to lessen the quantity and quality of the products. However, one should not be reckless while choosing cost-saving ideas, because they may ruin the business instead of growth. Cost of raw materials constitutes a major share of production cost. Sometimes, the materials are so scarce and valuable that an entrepreneur cannot afford to waste it. Therefore, measures should be taken to control the cost of materials. This can be done by carefully buying the quality raw material as the cheap material may hamper the quality leading to rejections by the customers; cutting down the waste materials or by making good use of waste materials (by products) resulting from production; waste recycling etc.
- 9) **Skilled Workers:** In order to increase efficiency and productivity and quality, the entrepreneur has to carefully adopt a professional outlook

while recruiting skilled workers as skilled workers have the necessary skills and expertise to do specific jobs. They can achieve quality standards and complete a job within a stipulated time. The entrepreneur might have to pay high charges for these workers but the efficiency they provide is worth spending for.

- 10) **Material Handling:** Essentially, material handling is a process that includes short distance movement inside the scope of a building, or between the transportation vehicle and the building. It uses various types of equipment such as manual, automated, and semi-automated. In addition, the material handling process involves the movement, protection, storage, and control of materials. This handling process occurs in manufacturing shop floors, warehousing, distribution, and even in material disposal. This is why material handling is an important process in every facility.
- 11) **Quality Control:** Quality control is a process through which a business seeks to ensure that product quality is maintained or improved. Quality control requires the business to create an environment in which both management and employees strive for perfection. This is done by training personnel, creating benchmarks for product quality and testing products to check for statistically significant variations. A major aspect of quality control is the establishment of well-defined controls. These controls help standardize both production and reactions to quality issues. Limiting room for error by specifying which production activities are to be completed by which personnel reduces the chance that employees will be involved in tasks for which they do not have adequate training.

9.6 SELECTION OF FINANCERS

Dun & Bradstreet stated that, “Almost half of all new ventures fail because of poor financial management”. One of the most difficult problems in the new venture creation process is obtaining finance. For the entrepreneur, financing for the private firm should be considered from the perspective of debt versus equity and using internal versus external funds. The various alternatives for raising money for a new venture are: Personal Financing, Debt Financing, Equity Capital & Creative Sources. Let us learn them in detail:

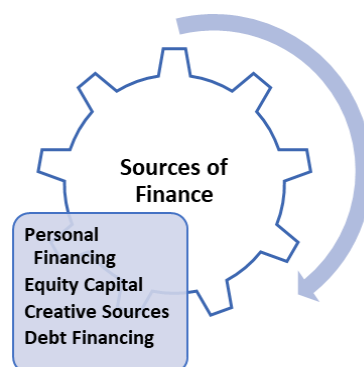


Figure 9.3: Sources of Finance

- 1) **Personal Financing:** The main sources for start-up money for entrepreneurs include: friends, family and other resources, such as savings, credit cards, loans, and investments.
 - i. The vast majority of founders contribute personal funds, along with **sweat equity (the value of work performed in lieu of payment)**, to their ventures. Sweat equity represents the value of the time and effort that a founder puts into a new venture.
 - ii. **Friends and family** are the second source of funds for many new ventures. Taking help from near and dear ones for financing the new business venture is a commonly used method. While borrowing money from family and friends may seem an easy alternative to deal with bankers, it can actually be a much more delicate situation and it is important to be as disciplined as you would be in dealing with a professional investor.
 - iii. **Bootstrapping:** A third source of seed money for a new venture is referred to as bootstrapping. Most people who engage in bootstrap financing want to avoid taking out loans. Bootstrapping is finding ways to avoid the need for external financing or funding through creativity, ingenuity, thriftiness, cost-cutting, or any means necessary. Many entrepreneurs bootstrap out of necessity. For example: operating with vendors through letters of credit without actually providing cash; buying used instead of new equipment; leasing instead of buying; obtaining payments in advance from customers; sharing office space with other businesses; hiring interns; avoiding unnecessary expenses etc.
- 2) **Equity Financing:** Equity financing means exchanging partial ownership in a firm, usually in the form of stock, for funding. It offers the investor some form of ownership position in the venture. The investor shares in the profits of the venture, as well as any disposition of its assets on a pro rata basis based on the percentage of the business owned. It can be of three types: Venture Capitalists; Angel investors and Initial Public Offerings.
 - i. **Angel Investors:** An angel investor is a private, non-professional investor, such as a friend, a relative, or a business associate, who funds start-up companies. They are individuals who invest their personal capital directly in start-ups. The prototypical business angel is about 50 years old, has high income and wealth, is well educated, has succeeded as an entrepreneur, and is interested in the startup process.

“Angels” are wealthy individuals who invest personal capital in startups in exchange for equity or sometimes a seat on the board of directors.

It is critical for the entrepreneur to develop a network of individuals within the industry to gain introductions to potential financiers because “angels” seldom look at unsolicited business plans.

Business plans are evaluated based on the quality of the management team, market potential for the business idea, and the track record of the entrepreneur. “Angels” tend to be more involved in the day-to-day operations of startups.

- ii. **Venture Capital:** Venture capital is capital/money provided by investors to boost up the venture/ concept/idea of the entrepreneur. This is a start-up firm and small businesses with perceived long-term growth potential but not having any asset to get bank finance or not having past track record or having limited operating history to justify the venture revenue. Venture capital funds are investment funds that manage the money of investors who seek private equity stakes in start-up and small-to-medium-sized enterprises with strong growth potential. These investments are generally characterized as high-risk/high-return opportunities. **Venture capitalists** often provide managerial and technical expertise to small businesses.

Stages of Venture Capital Financing:

Seed Stage: Seed funding takes place at this stage. It is considered as the setup stage where a person approaches an angel investor or an investor in a venture capital firm for funding for their idea/product. During this stage, the person or venture has to convince the investor why is the idea/product worthwhile. The investor will investigate the technical and economic feasibility (feasibility study) of the idea and will invest if he finds the idea of the product is worth investing in.

Start-up Stage: At this stage, the idea has been transformed into a product and is being produced and sold. The venture is trying to squeeze between the rest and it tries to get some market share from the competitors. If at this stage the management team has proven their capability of standing hold against the competition, the venture capital firm will probably give a go for the next stage. However, if the management team is not competent enough then the venture capitalists may suggest modifications and improvements or restructuring.

Expansion Stage: This stage is seen as the expansion/maturity phase of the previous stage. The venture tries to expand the market share they gained in the previous stage. This can be done by selling more of the product and having a good marketing campaign. The venture capitalist will continue evaluating the product and the venture and may give additional funds for expansion if the firm has required potential for growth.

Bridge/Pre IPO stage: In general, this is the last stage of the venture capital financing process. The main goal of this stage is for the venture to go public so that investors can exit the venture with a profit commensurate with the risk they have taken. VC firm sells stock once company matures.

Initial Public Offerings (IPOs): Initial public offering is the process by which a private company can go public by sale of its stocks to general public. It could be a new, young company or an old company which decides to be listed on an exchange and hence goes public. It is an act of offering the stock of a company on a public stock exchange for the first time. There are five steps to become a public company with stock for sale on a public exchange.

*Choose an underwriter or investment banker.

*Draw up a letter of intent.

*File a registration statement with the SEC.

*Announce the offering in the financial press.

*Do a road show.

- 3) **Debt Financing:** Debt financing involves borrowing a fixed sum from a lender, which is then paid back with interest. When a company borrows money to be paid back at a future date with interest it is known as **debt financing**. It could be in the form of a secured as well as an unsecured loan. A start-up firm may take up a loan in order to start its operations if the outside institutions are convinced with the idea of the business. Bonds, debentures, leases, certificates, bills of exchange and promissory notes are examples of debt instruments. Sources of **debt capital** are far more numerous than sources of equity capital, but the entrepreneur must be certain that the business can generate enough cash flow to repay the loan.

Banks were once the primary source of **operating capital**, but today they are much more conservative in their lending practices.

An established business can usually get a **line of credit** from a bank. The business can borrow against this credit. **Line of credit** is an arrangement whereby a lender agrees to lend up to a specific amount of money at a certain interest rate for a specific period of time.

Some businesses may seek **trade credit** from other companies in their industry as a form of debt financing. **Trade credit** is a credit one business grants to another business for the purchase of goods or services. This is a source of short-term financing provided by one business within another business, industry or trade.

Businesses can borrow money by pledging as collateral otherwise idle assets – **accounts receivable**, inventory, and others.

Leasing: It is a contract between the leasing company, the lessor, and the customer (the lessee). The leasing company buys and owns the asset that the lessee requires. The customer hires the asset from the leasing company and pays rental over a pre-determined period for the use of the asset.

4) **Creative Sources:** Some other creative sources of finance are:

Business incubators: These generally focus on the high-tech sector by providing support for new businesses in various stages of development. However, there are also local economic development incubators, which are focused on areas such as job creation, revitalization and hosting and sharing services. Commonly, incubators will invite future businesses and other fledgling companies to share their premises, as well as their administrative, logistical and technical resources. For example, an incubator might share the use of its laboratories so that a new business can develop and test its products more cheaply before beginning production. Generally, the incubation phase can last up to two years. Once the product is ready, the business usually leaves the incubator's premises to enter its industrial production phase and is on its own.

Government grants and subsidies: Government agencies provide financing such as grants and subsidies that may be available to the business. There are other grants available to the entrepreneur at the central, state, and local levels. These take many different forms and vary greatly depending on the objectives of the level of government involved and the geographic area. Sometimes the federal and some state governments provide training grants to companies particularly to those locating in and/or hiring in what has been determined to be a labour surplus area.

Crowdfunding: It presents an opportunity to overcome the challenges of traditional access to finance. According to Bi et al., (2017), crowdfunding is an emerging approach for entrepreneurs to implement their ideas despite not having traditional monetary resources such as banks and venture capital. It is a method of collecting many small contributions, by means of an online funding platform, to finance or capitalize a popular enterprise. Through crowdfunding platforms, the crowd can invest in business ideas and projects, and entrepreneurs can raise funds via the Internet.

Activity 2

What do you mean by Business Plan?

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9.7 IMPLEMENTATION SCHEDULE

It is essential to draw an Implementation Schedule or a time-table for your business. The task of preparing such a schedule forces you:

- To enumerate the various steps which you will have to take prior to commencement of commercial production.
- To appreciate the inter-dependence among these steps and hence the chain effect of delay in carrying out one step on overall implementation schedule.
- To work out a calendar for bringing in your own funds for implementation.

Implementation schedule is an aid to ensure timely implementation of your plan. Timely implementation is important because if there is a delay, it causes, among other things, a project cost overrun. A project meant to be implemented in 12 months at a cost of `15 lacs may entail an expenditure of `20 lacs, if there is a delay in implementation and this may jeopardize the financial viability of the project itself. Hence, the need to draw up a schedule and more importantly, adhere to it.

You will recall that project cost computation includes interest during construction period. The amount of such interest depends on your schedule for withdrawal of term-loan funds which in turn is tied up with your implementation progress. Thus, implementation schedule is required to arrive at an estimate of interest during construction period.

Major Considerations for Formulating Implementation Schedule

While working out implementation schedule, bear in mind the following:

- You will like to carry out tasks involving capital expenditure only after the term-loan is sanctioned.
- Some tasks are sequential. For example, machinery can be installed only after it is received. Some tasks are not sequential and can be carried out simultaneously e.g., electrification of factory building and recruitment of manpower.
- Remember, implementation progress is not entirely in your hands. An unhelpful official can hold up your term-loan sanction. A transport strike may delay delivery of machinery by a few weeks. A state financial institution may claim that a loan is sanctioned in 1½ months, but enquiries with loanees may reveal that in most cases, it takes 3 months. It is, thus, important to work out a realistic schedule and to build a sufficient margin of safety.

9.8 COMMON ERRORS IN BUSINESS PLAN FORMULATIONS

We have covered the ways in which you should go about working on various facets of a business plan. If you work accordingly, you are likely to avoid major errors. However, there are some errors which are so widely noticed that we, thought it amounts to repetition and we have chosen to highlight here:

Capacity-Utilization Estimates: Gross Unrealism

Over-optimistic and simplistic assumption with reference to utilization of installed capacity is a pervasive feature of business plans. There are so many entrepreneurs who presume 80% capacity-utilization in the first year, 90% in the second year and 100% in the third year. The assumption is made in complete disregard of existing enterprise-performance, market conditions, competition-level and possible technical snags. The business plan, in such a case, is reduced to financial jugglery. It is exciting to make such an assumption and derive satisfaction from financial-performance projection. But then, the projection is based on a completely false premises. Avoid this temptation.

Capacity Computation: A Miscalculation

The computation of installed capacity is a technical task not always performed competently. There are several finer points-die-changing time, down time, periodic shut-down, capacity of other equipments-which tend to lower the overall installed capacity. An exaggerated statement of overall capacity on account of entrepreneur being unaware of such finer points is rather commonplace. So, pay attention to capacity-calculation.

Market Study: A Neglected Task

Market study continues to be a grey area. It is relatively easy to work out technical arrangement and to make financial-performance projection. You are, in these cases, dealing with specific or quantifiable variables. Market study, in contrast, entails a less structured probe and contending with less definite variables. So, there are entrepreneurs who pass by this component of business plan completely. They cite demographic (population, income, etc.) statistics, present sketchy and inaccurate information on demand-supply position, produce stray opinions and conclude that market is just there waiting to be tapped. This is an attitudinal block. Make sure you do not develop such a block.

Machinery Selection: Serious Errors

This is a subject on which faulty decisions are common. There are machinery suppliers who may never have made a certain kind of machinery, may not have ability to do so and yet undertake to supply such machinery. The results are sometimes disastrous. There are plastic extruders which can scarcely extrude. These are being sold and bought by entrepreneurs. A small entrepreneur does not have the resources to replace or rectify the machinery. So, take care that you choose sound machines.

Technology-Oriented Products: A Shaky Arrangement

There are products which call for sophisticated technology or are not amenable to being produced in the small-scale sector. The entrepreneur is swayed by reported profit margins. He relies on a technician who may have 'worked in comparable enterprise but does not have the capability to line-up complete technology. Alternatively, it is not possible to set up enterprise within stipulated financial resources. In other words, the technical feasibility is not there. The enterprise is fore-doomed to failure.

Project-Pruning and Resource-straining: Safe Limits Exceeded

You have a certain amount of money to invest. You are not in a position to exceed a pre determined financial limit. This is understandable. However: there is an entrepreneurial tendency to accommodate enterprise-parameters within such limit, even if it is not possible to do so. Thus, an entrepreneur may cut down built-up area or exclude some machinery to keep the project cost down-within his own financial limit. He may make most favourable assumption on means of finance (75% of project cost to come as term-loan) while some amount of economy or optimism may be in order, this is sometimes carried out to such extreme lengths as to render the enterprise-proposal technically unviable (because important facilities are missing) or unrealistic (in terms of proposed financial resource plan). It is better not to pursue such an enterprise-idea. So, do not distort technical viability or pin your hope on the best deal from financial institutions to fit the proposal within resources at your disposal.

Project Cost: An Underestimate

The promoters of very small enterprises do not consider P & P expenses and working capital margin. They, consequently, underestimate the project cost and own resource requirement (margin). The others tend to play down magnitude of working capital margin. This is because if the working capital margin is large, financial institution will expect the entrepreneur to raise his own contribution to project cost. Thus working capital underestimates an error, you must guard against.

Location Selection: Some Temptations

There are two major errors which an entrepreneur makes in respect of location selection. First, s/he is so completely swayed by the offer of financial incentives (subsidy, income-tax concession) that s/he does not look into other criteria for location-selection. This sometimes becomes the sole and overriding concern. S/he may thus choose a location which from the standpoint of market-proximity, raw material availability, manpower position and operating cost-structure, is eminently suitable. Then, there are instances of an entrepreneur choosing a location merely because it is his hometown or he owns ancestral land-though it is not an appropriate location. Do not fall prey to these temptations: If you are selecting a location, take a comprehensive view.

Selling Price: Unfounded Optimism

A new enterprise, despite offering comparable quality, may not be able to realize the selling price which established enterprises do. The fact is overlooked. Worse still, entrepreneurs assume a higher than the prevailing price because they believe the quality of their product will be superior. An unrealistic selling price estimate is an error. It is comforting to assume such a price since it will make the enterprise look very profitable. The comfort may be short lived. So, follow a conservative path while estimating selling price.

Cash flow in Initial Years: Poor Detail

The cash flow during implementation period and initial years is not charted out in sufficient detail. You will be able to do this only if you ascertain the disbursement modalities of financial institutions completely and work out a thorough cash-plan with built-in contingencies. They may expect you to spend from your own resources in the first place. It may make direct payment to machinery supplier and reduce your flexibility. There are machinery suppliers and others who may expect advance payments from you. If you have not envisaged such payments under your cash plan, your implementation will grind to a halt.

9.9 SUMMARY

One of the most important steps in the critical path of the establishment of a business is the selection of adequate location for the business as this can be irreversible in nature. The important considerations for selecting a suitable location are given as follows: Market Proximity; Supply of required raw material; Availability of Labour and Skills; Infrastructural facilities; Transportation Networks; Government Policy; Competition; Climate condition; Internet access and Political Conditions.

A business process or business method is a collection of related, structured activities or tasks by people or equipment which in a specific sequence produce a service or product for customers. A business process may often be visualized as a flowchart of a sequence of activities with interleaving decision points or as a process matrix of a sequence of activities with relevance rules based on data in the process. Key Elements of Business Process are: Business Process Automation, Business Process Modelling, Business Process Improvement, Business Process Reengineering, Business process optimization and Business process mapping.

One of the most difficult problems in the new venture creation process is obtaining financing. The various Alternatives for Raising Money for a New Venture are: Personal Financing, Debt Financing, Equity Capital & Creative Sources. The main sources for start-up money for entrepreneurs include: friends, family and other resources, such as savings, credit cards, loans, and investments. Some other creative sources of finance are: Business incubators, Government grants and subsidies, Crowd funding, etc.

9.10 KEY WORDS

Angel Investor: A private, non-professional investor, such as a friend, a relative, or a business associate, who funds start-up companies.

Bootstrapping: Operating a business as frugally as possible and cutting all unnecessary expenses, such as borrowing, leasing, and partnering to acquire resources.

Debt capital: Money raised by taking out loans, which must be repaid with interest.

Equity capital: Cash raised for a business in exchange for an ownership stake in the business.

Venture capital: A source of equity financing for small businesses with exceptional growth potential and experienced senior management.

9.11 SELF-ASSESSMENT QUESTIONS

- 1) What do you mean by a business process? How is it designed? Explain with the help of an example.
- 2) What is Location Layout? What are the factors affecting location decisions?
- 3) How can political and climate conditions play an important role for selection of a location decision?
- 4) What do you mean by business plan? Discuss various elements of business plan?
- 5) What are the sources of funds available for new investors?
- 6) What do you mean by Equity financing? Explain the types of equity financing.
- 7) What do you mean by Debt Financing? Explain the types of debt financing.

9.12 REFERENCES/FURTHER READINGS

Adapted from School of Management Studies, Programme Masters of Business Administration (MBA), Course MS-93 Management of New and Small Enterprises, Block 3, Small Scale Enterprise – Getting Organised, Unit 8, Preparation of Business Plan, p. 35-73.

Topics: Location Layout, Factors affecting location layout, Business process, Deciding about operation, planning and control, Selection of financiers.

Adopted from School of Management Studies, Programme Bachelors of Commerce (B.COMG), Course BCOS-185 Entrepreneurship, Block 2, Business Idea Selection and Feasibility, Unit 9, Business Plan Implementation, p. 189-211.

Bi, S., Liu, Z., & Usman, K. (2017). The influence of online information on investing decisions of reward-based crowdfunding. *Journal of Business Research*, 71, 10–18. <https://doi.org/10.1016/j.jbusres.2016.10.001>

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UNIT 10 MANAGING THE ENTERPRISE

Objectives

After you have studied this unit, you should be able to:

- understand the role of various functional areas of management in establishing a new enterprise
- identify the importance and role of finance, marketing, operations and human resource functions in managing the enterprise

Structure

- 10.1 Introduction
- 10.2 Managing Enterprise's Finance Function
- 10.3 Managing Enterprise's Marketing Function
- 10.4 Managing Enterprise's Operations Function
- 10.5 Managing Enterprise's Human Resource Function
- 10.6 Summary
- 10.7 Keywords
- 10.8 Self-Assessment Questions
- 10.9 References/Further readings

10.1 INTRODUCTION

As different parts of a machine work together to perform a task, an enterprise also performs several functions together to attain its objectives. Because of creating expertise in the enterprises, business activities may be divided into various functional areas, like finance, marketing, HR, operations etc. (Figure 10.1)

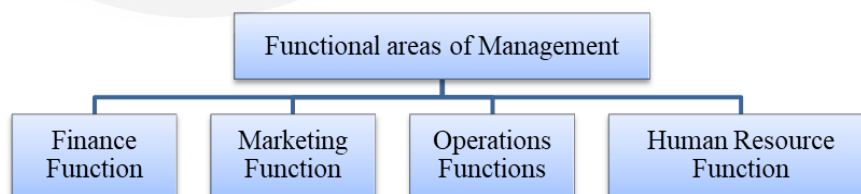


Figure 10.1: Functional areas of management

Source: Author's own output

This division creates efficiency in the business activities that the enterprise is doing. It is also noted that the number of functional areas depends on several factors including the size of business, nature of business, type of market etc.

The finance function plans and obtains funds as per the short and long-term requirements of the enterprise. The obtained fund is invested according to the requirement of the enterprise. Later, the entrepreneur shares the profits with the persons or the agencies which provided the funds to him/her.

Entrepreneurs also perform marketing functions to discover the needs of the customers and supply them with the products and services that meet their needs.

One of the major functions performed by the entrepreneur is to conduct various operations of the enterprise. In this function, entrepreneurs convert inputs into outputs. In other words, it converts various factors of production into goods and services. Operations manage the production, supply chain, procurement, logistics etc. of the entrepreneurial business. The Human Resources department of the enterprise is responsible for recruitment and selection, training and development of the employees working for the enterprise. Lastly, it may be argued that these functions are vital for the proper functioning of an enterprise.

10.2 MANAGING ENTERPRISE'S FINANCE FUNCTION

An entrepreneur uses the finance function to take access to various resources for the enterprise to be used in marketing, operations and HR functions. Financial management is one of the pertinent managerial activities performed by the entrepreneur. In this function, s/he manages the cash outflow and cash inflow of the enterprise.



Figure 10.2: Managerial Functions

Source: Author's own output

The managerial activities include planning, organizing and controlling the financial resources of the enterprise (Figure 10.2). It further includes the creation of finance policies and procedures, oriented toward value creation and wealth maximisation.

An entrepreneur has to take three important financial decisions, financing, investment and dividend and working capital decision. The following pages will throw more light on these financial decisions.

Identification of financial needs and negotiations for funds

Financial needs differ from entrepreneur to entrepreneur and enterprise to enterprise. Entrepreneurs, while looking for funds, are expected to answer the following questions:

- For what purpose do I need money?
- How much money do I need?
- Is the cost of debt and equity affordable?

- What is the goodwill of the enterprise?
- Can I provide a security /mortgage for the loan?
- What are the possible sources of finance?
- Do I need to opt for short-term or long-term financing?

Suppose an entrepreneur wishes to take a loan, s/he may compare the interest rates of various agencies and may take the cheapest one. Sometimes a revolving credit facility may be a fitting option for the working capital requirement of the enterprise. An entrepreneur may start a firm and creates a purpose for which s/he needs money. An estimated capital expenditure amount is needed, which may come from equity or debt finance. Entrepreneurs need to look into the cost of financing too, which also depends on a long-term and short-term horizon of investment.

Negotiations with Venture Capitalists (VCs)

Entrepreneurs may negotiate with VCs with the help of the following steps (Figure 10.3):

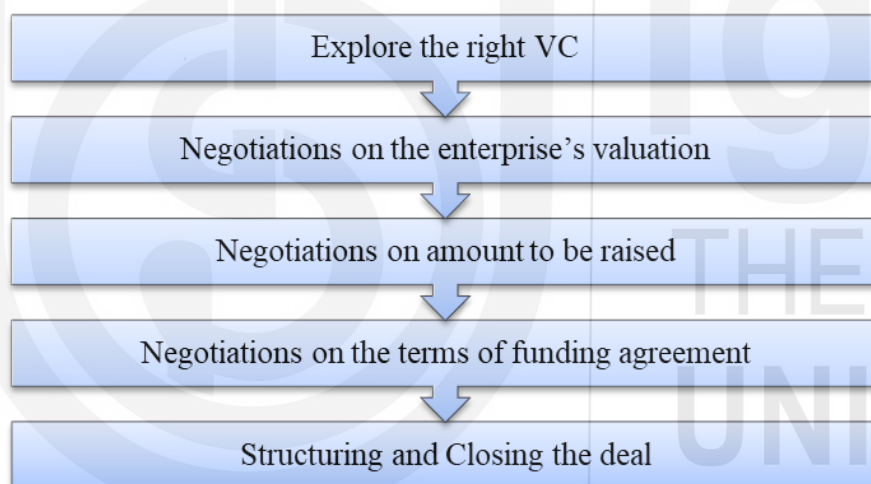


Figure 10.3: Steps in negotiation with VCs

Source: Author's own output

The first step starts before the actual negotiation which is to explore the right VC, whose objectives are aligned with the entrepreneur's objective and goals. Secondly, VCs and entrepreneurs then may arrive at a fair valuation of the enterprise. They may also take external help to find a fair valuation of the enterprise. An entrepreneur may insist the VC provide him / her required amount but VC may also negotiate the amount before agreeing.

Finally, the deal is given a legal structure and is closed.

Designing optimum capital structure

An optimum capital structure is a debt-equity mix or structure of capitalization that maximizes the market value of shares and minimizes the overall cost of capital.

The following factors affect the capital structure:

1. Profitability

Expected profitability determines capital structure. An entrepreneur may perform an EBIT-EPS analysis to calculate the EPSs for an estimated EBIT with various proposed capital structures. Each capital structure may have a different set of debt-equity ratios. Theoretically, a high debt component increases EPS, but profitability affects liquidity position.

2. Liquidity

Inclusion of debt in the capital structure positively affects the profitability but it increases the fixed financial charges. So, the liquidity of the capital structure is also crucial. Liquidity is related to the insolvency of the enterprise. The entrepreneur must try to create a balance between liquidity and profitability.

3. Control

An optimum capital structure also warrants control. The entrepreneur may first decide on the extent of the control and then the makeup of the capitalisation.

Taking capital budgeting decisions

Capital budgeting decisions deal with the projects or investments' cash inflows and outflows. It aims to measure expected returns from the project. Steps in capital budgeting decisions are as follows (Figure 10.4):

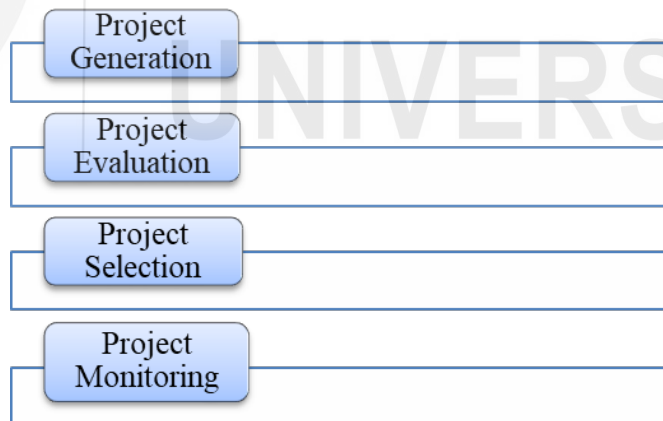


Figure 10.4: Steps in capital budgeting

Source: Author's own output

As the first step in the overall capital budgeting process, proposals/projects are generated. The project may be taken either for expansion or modernisation or for adding a new product line or achieving cost reduction etc.

Capital budgeting involves the evaluation of the projects as a major step. In this step, projects are evaluated for the net benefits that they generate,

concerning risk. This evaluation is done with the help of some established techniques based on discounted or non-discounted cash flow methods. These are (Figure 10.5):

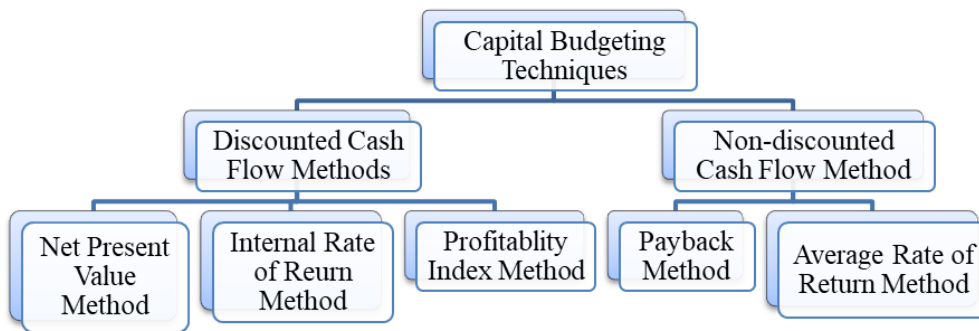


Figure 10.5: Capital Budgeting Techniques

Source: Author's own output

Then projects are selected based on the net benefit that it generates by using any of the above-mentioned techniques. The entrepreneur has to continuously monitor the project for the estimated cash flows and compare it with the actual cash flows.

Sharing Profits or Dividend Payout

An entrepreneur may divide the profits earned to the investors in form of the dividends. Before this division, an entrepreneur may decide upon the payout ratio and frequency of distribution.

Dividend decisions are usually taken based on the following issues (Figure 10.6):



Figure 10.6: Dividend decisions

Source: Author's own output

New entrepreneurs or startups may not think of declaring a dividend in the initial stages and may follow a policy of zero dividend payout. In later stages, the enterprise may put an Initial Public Offer (IPO) and then may follow a policy as per the expectation of the public investors. Enterprises can keep either the percentage to earning or the total amount of dividend stable.

If an entrepreneur thinks that there is ample scope for expansion within the firm, s/he may not declare any dividend and continue to invest in the firm itself and will not pay a dividend for a period of time. At this point, retention

of the profits would be the best policy.

Dividends are normally declared if profits and other funds are available. Entrepreneurs after careful thinking decide the payout ratio, which is a balance between the firm's future investment requirements and the expectations of the finance providers.

Working capital management

Working capital management is the management of the liquidity position of the enterprise on a short-term basis. It deals with the current assets and liabilities of the enterprise. Current assets are those assets that can be used up or converted into cash within a year. Current liabilities are those liabilities that are due for payment within a year. Examples are presented in figure 10.7:

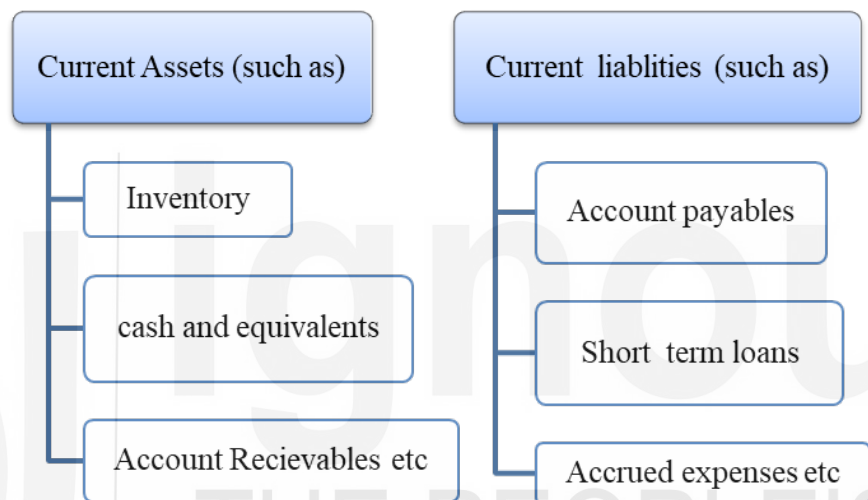


Figure 10.7: Current assets and liabilities

Source: Author's own output

Working capital management deals with the liquidity position of the enterprise if it is following the net concept of working capital, whereas it takes care of financing issues if following the gross concept of working capital. These types of working capital are exhibited as follows (Figure 10.8):

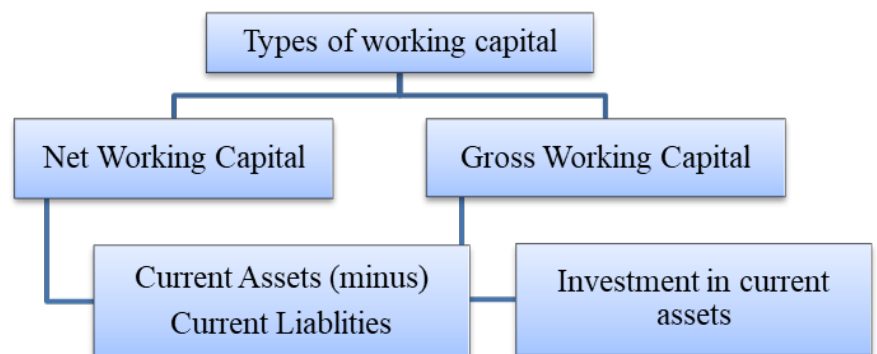


Figure 10.8: Working capital types

Source: Author's own output

Entrepreneurs use working capital to run an enterprise's day-to-day operations and meet obligations in a short time. Without enough working

capital s/he cannot pay its employees, suppliers, interest etc. Entrepreneurs also need working capital to grow as positive working capital creates eligibility for loans etc.

10.3 MANAGING ENTERPRISE'S MARKETING FUNCTION

The American Marketing Association (AMA) defined marketing, in 2017, as follows:

“Marketing is the activity, set of institutions, and processes for creating, communicating, delivering and exchanging offering that have values for customers, clients, partners and society at large”.

It can be also defined as:

“Marketing is the process of planning and executing conception, pricing, promotion, and distribution of ideas, goods, and services to create exchanges that satisfy individual and organizational objectives.”

Entrepreneurs initiate the marketing function with the identification of the needs of the customers and to do this, information on the customer and their preferences is needed. Marketing research becomes a very important function here.

After receiving the needed information, a product or service is developed by the entrepreneur and the team. For this purpose, product designing, durability, quality and cost become important factors.

An entrepreneur may use branding and packaging as a pertinent feature for the future success of the product. Branding creates product recognition and improves the goodwill of the product or service. It further creates a separate identity for the product and service.

Pricing is always an area of concern for entrepreneurs. Pricing depends on the price of competitors, market demand, enterprise policy etc. Apart from this entrepreneurs make its customer aware of the product, it is done through promotional activities. These activities include advertising, personal selling, publicity etc.

The marketing function also includes the distribution of the product up to the point of consumption. This also includes proper management of inventory and a suitable choice of distribution channel. Transportation and warehousing are another set of activities performed by the entrepreneurs in this function.

An entrepreneur is also expected to have a proper and well-defined customer and maintenance service.

Market research and assessing the consumer needs

Entrepreneurs may conduct market research to determine the viability of a new service or product. Information may be collected directly from existing or potential customers. In this process, opinions and feedback from consumers are obtained, analyzed and incorporated into the product or

service. Assessment of consumers' needs and preferences is done in market research. The process of market research involves the following steps:

Step 1: Identification of the Problem

Entrepreneurs may start the research process by identifying the problem or opportunity that s/he may be having. Entrepreneurs may wish to know the reasons for the loss of his/her product share in the market, how customers would react to launching a new product etc. Entrepreneurs decide upon the issue of the research (normally called research problem) to collect the data.

Step 2: Market Research Planning

Research planning aims to answer/explore the research problem or the unexplored opportunity, already identified. It may involve analysis and planning for:

- Goals concerning the product and service
- Analysis of competition
- Customer information
- Possible directions of marketing of product and service
- Possible research design
- A timeline
- A research budget and
- Ethical issues

Step 3: Data Collection

The entrepreneur may initiate data collection in marketing research after the planning stage. Primary data is original data collected by the researcher first-hand, secondary data is already collected and readily available from other sources

Data collection may be of the following types (figure 10.9):

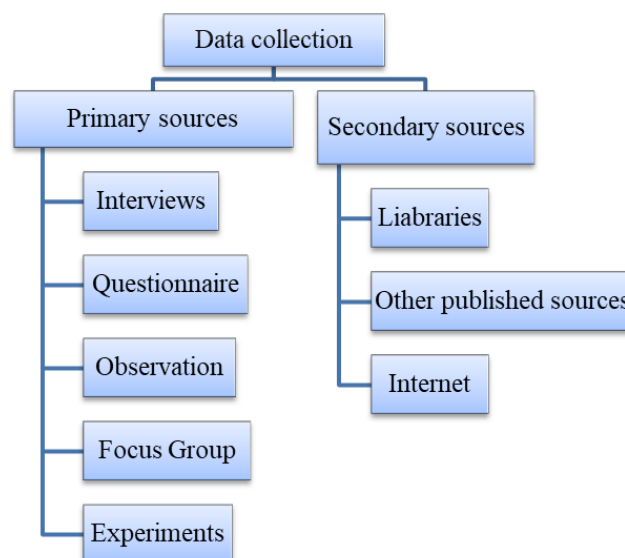


Figure 10.9: Data collection

Source: Author's own output

As per the need, the entrepreneurs may opt for the methods of data source and methods of collection. S/he may also take a note of qualitative vs. quantitative data and collect data accordingly.

Step 4: Data Analysis

In this step, the entrepreneur or the research person appointed by the entrepreneur analyses the data collected in the previous step. Qualitative and quantitative data or a mix of both is put to test and a conclusion is drawn regarding the research problem, as stated in step one. Large data is summarised and presented in tabular form. An entrepreneur may opt for statistical testing for data analysis, to estimate the significance level of the results also.

Step 5: Reporting Results and Action Taken

After the research work is completed, the entrepreneur may want to keep documentary evidence of the research and the written report. Entrepreneurs may take guidance from these reports. The results and goals initially put are examined.

Then entrepreneur may start the action on the decision taken based on the results. Strategies, advertisement campaigns etc. are designed based on the results of the research done. One point, an entrepreneur must not miss, is the changing environment of business. Results and strategies may not give desired results if the business environment is changing fast.

Choosing a Marketing Mix for Product and Service

Choosing a correct marketing mix is a priority for the entrepreneur, which is a laid down set of marketing tools and tactics to introduce or promote a product or service in the existing or a new market. With a proper marketing mix, an entrepreneur may position a product or service at the right place, price and time before the customers.

The components of the product marketing mix, which consist of 4Ps. An entrepreneur may plan a marketing strategy based on 4Ps. The number of Ps may be increased for service marketing as follows (Figure 10.10):



Figure 10.10: Service Marketing Mix

Product

An entrepreneur may create a product or service to satisfy customer needs and wants. To market it effectively, it's important to develop a differentiated product or a service from competing ones and put it in the right segment of the market.

Pricing

An entrepreneur should know the price that consumers can pay for the product or service else s/he can opt for cost-plus pricing by charging a margin over all the costs, including research and development, manufacturing, marketing, and distribution costs.

Entrepreneurs cannot easily find out the cost of services as it depends more on the qualitative aspects and the goodwill of the service provider. Like in a restaurant, the customer is also charged for ambience and other services too besides the cost of food.

Place

Entrepreneurs' success also depends upon the place where the product or service is sold or provided. s/he may sell routine products, such as soaps in many stores but premium products only in select stores. Online or offline or both is also a matter of choice for him/her. For services, visibility of the setup also determines organizational growth.

Promotion

Promotion campaigns include advertising, sales promotion, personal selling, and public relations. An entrepreneur should carefully draft and disseminate information of other 3Ps in promotion P to the target customers. Choice of medium and frequency of communication is also important.

For service providers, online and direct marketing are the best ways to promote services.

People

The entrepreneur himself with other employees is the epicentre of the organization. Everybody work towards the achievement of goals and company vision, which depends heavily on the people. Quality of services also depends on the best of talents working with the entrepreneur.

Process

Through the service process, service is delivered to the customer. An entrepreneur may think of delivering services most efficiently to the customers. Today with much competition around, entrepreneurs must deliver services quickly, with the highest possible quality.

Physical Evidence

To make the service tangible and measurable entrepreneurs may look or provide physical evidence. It further provides the experience of the service

entrepreneur is offering.

Physical evidence assures the new customer as he has not purchased anything from the entrepreneur. For example, in an online business, the website carries the physical evidence of the service, in form of testimonials from the customers.

Developing suitable products

Entrepreneurs may develop a product as per the requirement of the customer. New product management includes the following steps (figure 10.11):

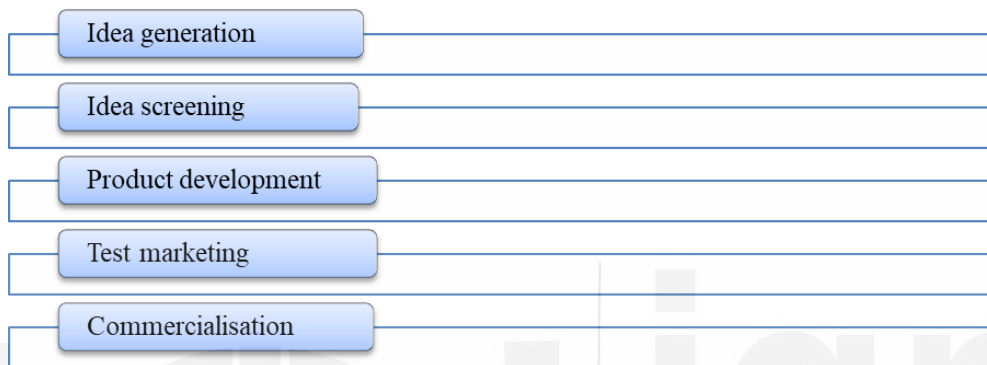


Figure 10.11: Product Development

Idea generation should be a continuous process in entrepreneurship for the development of new products and modifications to old products. Market research helps entrepreneurs to generate new ideas. Later, the ideas are screened for feasibility. In this step, lesser attractive ideas are removed. This removal should be based on objective considerations.

The selected idea or ideas should be tested on a customer base; their feedback can be incorporated into the ideas or the product.

A feasibility study ensures product success. It will further ensure that the product under development has the potential for profit generation and is viable for the enterprise. In the next step, the actual product is produced and later the whole concept is tested through test marketing. Under the commercialisation step, the product is introduced to the customer in the market.

Adopting apt pricing policy

The pricing process determines what the entrepreneur will receive in exchange for the product supplied by the entrepreneur. Entrepreneurs can set the prices of his/her products and services, independently. This price may be based on the costs of the product, perceived value, its demand, competition etc. On the other hand, pricing strategy is used to achieve strategic goals of the enterprise like increasing sales in an area by decreasing the price.

The following factors affect pricing decisions (Figure 10. 12):

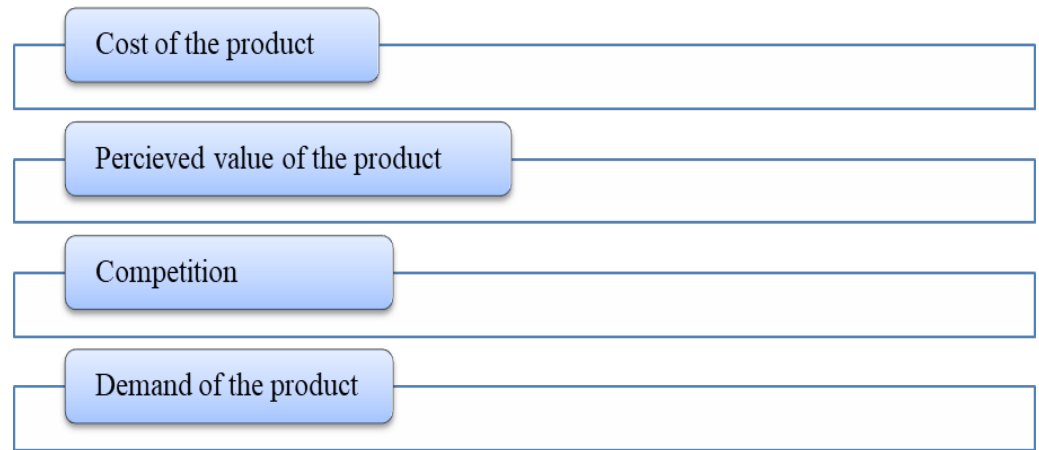


Figure 10.12: Pricing Policy

Source: Author's own output

Developing or adopting suitable channels for distribution

An entrepreneur may adopt a distribution channel to transfer goods and services to the customer. The distribution channel is the chain of intermediaries through which this transfer is done. Channels include wholesalers, retailers, distributors etc. In direct distribution, the entrepreneurs can directly sell to the customers (figure 10.13).

Different distribution channels are as presented as follows:

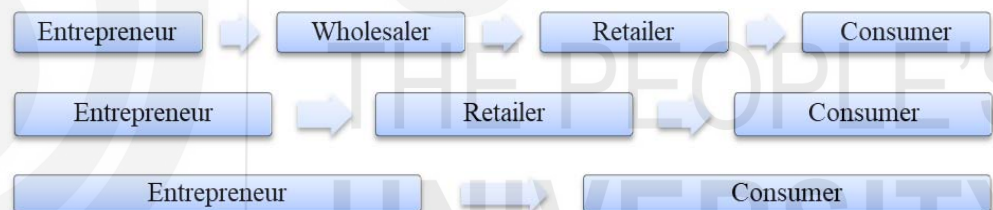


Figure 10.13: Distribution Channels

Distribution channels provide scope to the entrepreneur to adjust the number of stops before the product reaches the consumer. An effective distribution channel is a requirement for efficient and effective marketing.

Selecting the modes of promotion of the products and services

An entrepreneur may consider a set of marketing approaches to optimize promotional efforts and inform the target customers about the product and services. Various components of the promotion mix are as follows (Figure 10.14):

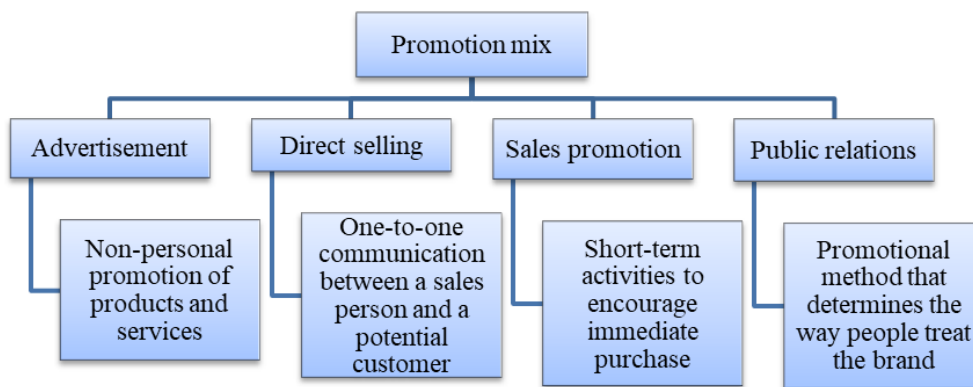


Figure 10.14: Promotion Mix

The entrepreneur's job is to find the right promotion mix for the product. It is also noted sometimes that product, pricing, and distribution Ps can go waste if the promotion mix isn't properly planned by the entrepreneur.

Activity 1

Explain the concept of marketing mix and discuss its components.

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10.4 MANAGING ENTERPRISE'S OPERATIONS

The entrepreneur uses operations management to maximize efficiency within the organization by administrating business issues of the enterprise efficiently. With efficient operations management organization capably converts inputs like materials; labour etc. into outputs in an effective manner. An entrepreneur/operations manager manages various organizations' processes to create equilibrium in revenues and costs, thus achieving optimum profits.

Enterprise in this function is involved in the acquisition of materials, and effective utilization of labour to create output according to customer expectations. Delivery of goods to customers has emerged as an important area in operations. The entrepreneur manages the supply chain process by controlling the inventory's movement, production, sales and distribution at reasonable prices.

Entrepreneurs need to plan the processes, forecast the demand and optimise resources before delivering a product to the customers. They may follow a repeatedly continuous process of production. The important issue is always the bottlenecks that create inefficiencies in the operations process. To maintain maximum efficiency, hindrances must be removed.



Figure 10.15: Foundations of operations management

Another pertinent issue is the maintenance of quality in the production process. Quality can attract and provide satisfaction to the customers. Cost control and profitability also form the foundation for efficient operations management.

Location and layout of the plant

A successful entrepreneur understands that plant location and layout is pertinent for creating efficiency in the processes. The right location and layout will create sufficient access for the customers and workforce. It would be easier for them to transport inventory and other stuff if the location is feasible. Location often creates a competitive advantage for the entrepreneurs as they may formulate a strategy around their manufacturing enterprise.

Location choices are for a long time and cannot be changed easily. An erroneously selected location may have continuous operational weaknesses in the future.

Though, the following factors affect the location decisions:

- 1) **Closeness to the raw material source** to ensure a continuous supply of raw material and to save transportation costs.
- 2) **Closeness to market** also reduces the cost of transportation and reduces the damage to the finished products. Final customers also get finished good earlier. Closeness to the market affects the market share of the enterprise.
- 3) **Accessibility of skilled labour** at a reasonable wage also influences plant location decisions. This is more appropriate for labour-intensive enterprises.
- 4) **Availability of productive resources (water, power etc.)** also affects the plant location, which further reduces the cost.
- 5) **Environmental conditions** may be critical for some industries. Some products need a dry environment, some require a humid. So, depending on product features location may differ or a suitable location may be selected by entrepreneurs.
- 6) **Incentives** from various agencies, like tax holidays, and loan offers due to a specific location may influence an entrepreneur to prefer one location over another.

- 7) **Proximity to ancillary/spare parts units** also influences the decision of plant location.

These factors need to be considered before choosing a location, while factors which affect the plant layout are:

- 1) **Management policies** may have an impact on deciding plant location. Sometimes an entrepreneur may have a plan for expansion, which restricts the entrepreneur to having a select layout for the time being. Besides this, the number of departments may also decide the layout.
- 2) **Plant location**, topography, climatic condition, size, the flow of work etc. influence its layout plan.
- 3) **The nature of commodity and process** affects the type of layout. An entrepreneur may select a product or process layout as needed. Hazardous processes need to have a different layout than normal processes.
- 4) **Quantum of production** may determine the layout of the facility. Types of production are:

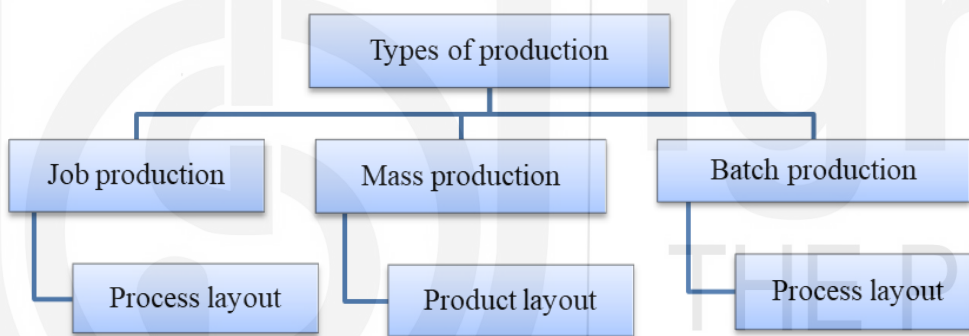


Figure 10.16: Types of production and layout

- 5) **Available space** is one of the reasons for an entrepreneur to decide the layout. Product layout requires lesser space; on the other hand, more space is needed for process layout.
- 6) **Maintenance of equipment** requires proper spacing between them. The plant layout should take care of repairs and maintenance issues.

Materials management

A manufacturer entrepreneur spends a significant portion of his time and money on materials management. A minor saving due to efficient materials management can lessen the manufacturing cost to a significant extent. Materials management involves managing and controlling various types of material, its costs, their movement, timings of purchase etc. in the enterprise.

Functions of materials management are as follows:

- 1) Procurement of raw materials
- 2) Receiving and warehousing
- 3) Storage and inventory control

- 4) Internal and External transportation
- 5) Disposal of scrap
- 6) Clearance of surplus and obsolete materials.

For the entrepreneur, the basic objectives of materials management are the efficient supply of materials with optimum and minimum spending on them.

Overall objectives of material management are:

- 1) To reduce the cost of materials.
- 2) To procure materials, whenever required, of desired quality, at the lowest possible price.
- 3) To reduce investment in inventories.
- 4) To receive, handle and store materials efficiently in a cost-effective way.
- 5) To simplify and standardize the whole process.
- 6) To train the workforce on various aspects of materials management.

Production Planning and Control (PPC)

Entrepreneurs may assimilate the production planning and control system for efficient operation in an organization.

Features of production planning and control are as follows:

- By using PPC proper scheduling of the machine items is possible, which results in optimum utilization of production capacity.
- It further tries that inventory level is maintained at optimum levels at all times.
- It also ensures that production time is also kept at an optimum level.
- With PPC, the excellence of the product is continuously kept.

Production planning and control are needed for:

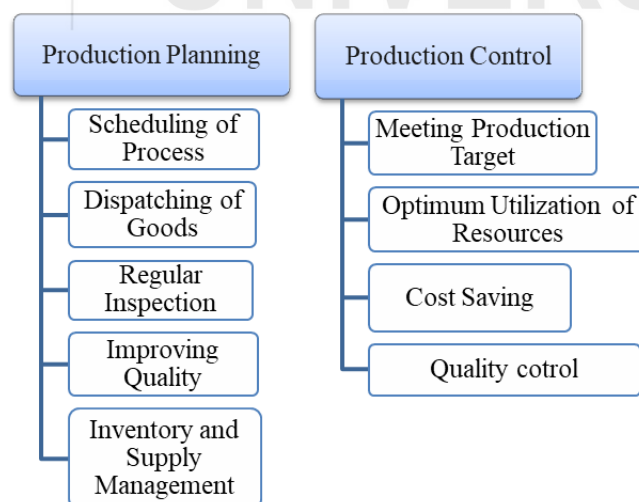


Figure 10.17: Production Planning and Control

Source: Author's own output

Production Planning

Production planning deals with important issues like, what and when to

produce and how much to produce. Planning is pertinent to ensuring the precise quantity and quality of materials and their availability throughout the production process. With efficient planning, an entrepreneur can produce timely and regularly, can cut investment in inventory and further lessen the cost of production.

The process of production planning is as follows (Figure 10.18):

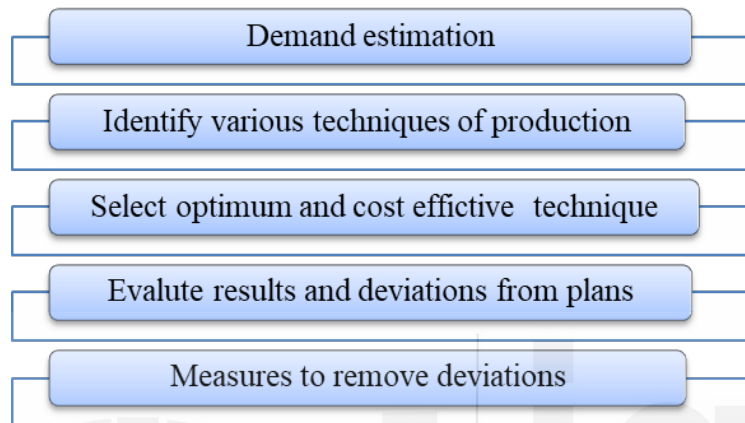


Figure 10.18: Production Planning Process

Source: Author's own output

Production Control

Production control helps an entrepreneur to attain an optimal production system to accomplish production targets as laid down in planning. Control facilitates a smooth flow in the overall production process. An efficient control system control wastage of resources, hence cost is reduced. Maintaining quality is achieved through a control process.

1) Inventory Control

Inventory control ensures the entrepreneur that the right amount of supply remains available in the enterprise to meet customer demand on time. Inventory control deals with the acquisition of material, reorders, shipment, warehousing etc. which result in customer satisfaction, loss prevention, cost control, high inventory turnover etc. It can avoid issues like stock-out or over-stocking.

Through Inventory control, entrepreneurs may evade the financial loss due to purchasing excessive inventory and the loss due to stock-outs both. An enterprise may also incur losses due to spoilage, excess stock and storage costs, losing track of inventory in the warehouse etc., which may be reduced or completely avoided with efficient control.

Select inventory control techniques are Just-in-time, classifications like FSN (Fast moving, Slow moving & Non-moving), VED (Vital, Essential, Desirable) and ABC, calculating Economic Order Quantity and re-order point etc.

2) Cost Control

An entrepreneur may opt for inventory management software to control costs and save time. Cost control leads to higher profitability and growth.

The following measures can control costs:

- Avoid Spoilage
- Avert Decay and Obsolescence
- Create a balance between over and under stocking/purchasing
- Digitalization of the process
- Professional and skilled workforce

3) Quality Control

For small businesses, maintaining strict quality control is very challenging. Quality control maintains a desired level of quality in a product or service. Some factors affect the quality of product, like the quality of raw materials, nature of machines, labour skills, plant's working conditions etc. Efficient control of these factors affects the quality of the product.

The quality control process involves (Figure 10.19):

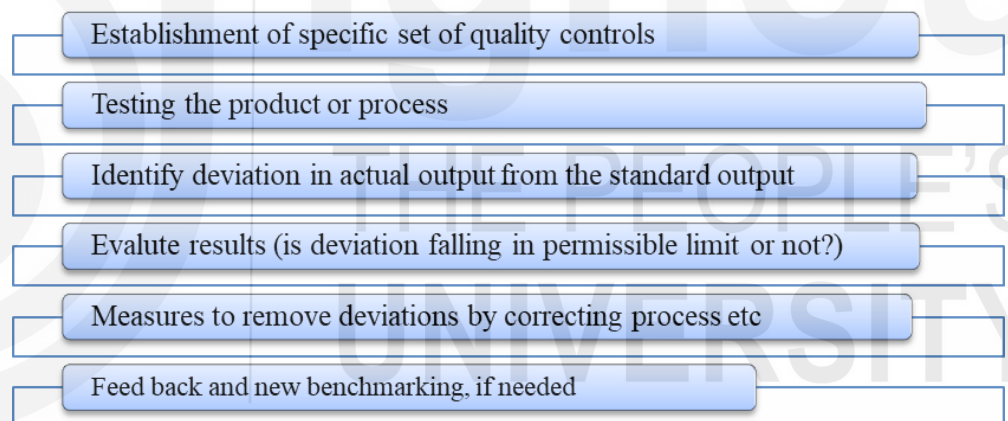


Figure 10.19: Quality Control Process

Source: Author's own output

An entrepreneur may adopt many techniques for quality control, such as flow-charting, histogram, Pareto chart and Pareto analysis, run charts, scatter diagrams, statistical sampling, inspection etc.

10.5 MANAGING ENTERPRISE'S HUMAN RESOURCE (HR) FUNCTION

In economics theories, land, labour, capital and entrepreneurship are the factors of production. Labour or human resource is an important factor. An entrepreneur uses the term "human resource" for the individuals or workforce of the organization, who perform the various task given by the entrepreneur. All are expected to perform for achieving the common goals and objectives of the enterprise. HR department finds screens, recruits and trains human

resources, besides performing several other employee-benefit programmes in the enterprise.

Manpower Planning

Entrepreneurs do manpower planning, in which s/he essentially works for coordinating, motivating and controlling the various human resources in the enterprise.

Planning is indispensable for the enterprise, without which an organisation cannot progress. It matches the supply of qualified manpower to the accessibility of jobs in the enterprise.

Steps in Manpower Planning

1) Evaluate current manpower

Entrepreneurs need to forecast the manpower requirements but it is essential to assess current manpower first. An entrepreneur must analyse the number of departments and employees working in it.

2) Forecasting manpower needs

Entrepreneurs must be aware of all the factors that affect the manpower needs. Commonly used manpower forecasting can be done either by doing the workload analysis in the enterprise or by doing trend analysis or by taking the advice of the experts or by using any mathematical model like regression.

3) Framing employment programs

Later, the entrepreneur can frame employment programs, in which the current status of human resources is compared with the required status. Recruitment, selection and placement policies and plans are placed in action in this step.

4) Framing training programs

Training programs are kept to improve the presentation skills of the persons. It also aims to enhance the knowledge and capabilities of the human resources of the enterprise.

Recruitment and selection process

Recruitment and selection are integral acts to be performed by the entrepreneur. Recruitment involves creating an inventory or pool of potential candidates and inviting them to apply for a position in the enterprise, whereas the selection process selects the most suitable candidate from the pool.

Entrepreneur undertakes recruitment and selection to create a working team. It is expected that a proper recruitment and selection process is adopted to tap the best possible human resources. In modern-day's enterprises, employee turnover is a problem area, recruitment and selection policies may work as an instrument to decrease turnover.

The process involves:

1) Evaluating the hiring requirements

- 2) Prepare job description
- 3) Sourcing the candidates from various sources
- 4) Evaluating the candidates, who applied
- 5) Interview
- 6) Select the most suitable candidate

Training and Development

For an entrepreneur, training and development of the workforce are very important. It improves the skills, confidence and efficiency of the employees. It helps in learning new ideas and understanding to advance the performance.

Training is a program, which upgrades the abilities, skills, knowledge and competencies of the workforce. Training is given to the employees to bridge the gap between the existing and expected skills to improve their performance in the enterprise.

A development program prepares the workforce to perform a future job. It is a learning opportunity for them to get new skills and get ready for the upcoming works and challenges.

Though training and development are considered two different activities that are run side by side to enhance the skills of the workforce.

The entrepreneur may impart different training to employees at different levels. S/he may initiate training programs for executive/entry-level employees and skilled workers, like job training programs, technical training, Internship training, job rotation etc.

Supervisors or managers working in the enterprise may be trained with expert lectures, group discussions, learning with real case studies, role plays etc.

Motivation and Stress Management

Motivation and stress management are continuous processes to be adopted in the enterprise. An entrepreneur must understand that human resources need the motivation to fulfil a task with full zeal. An entrepreneur may push a person to act in certain ways by using motivational techniques and by managing stress.

Continued stress disturbs the functioning of an employee. With stress management entrepreneurs may support a person in controlling their level of stress.

Types of motivation are:

Extrinsic Motivation

In extrinsic motivation, the organisation motivates an employee to undertake a task efficiently to achieve organisational goals. This motivation is an external force not generated internally like intrinsic motivation. It includes financial rewards, bonuses, oral and written appreciation, promotion, demotion etc.

Intrinsic Motivation

Employees having intrinsic motivation are self-driven in achieving the objectives of the enterprise and for themselves. Intrinsic motivators are desires to achieve goals, social acceptance etc.

Positive Motivation

An entrepreneur may offer positive stuff or rewards for accomplishing a task, which is categorised as positive motivation. An employee may feel motivated by financial paybacks, promotions, appreciation etc. which are positive inspirations by nature.

Negative Motivation

Fear and negativity also motivate and lead the workforce on the desired path. An entrepreneur may use fear, warnings and threat to get the work completed. Here, individuals get negative motivation through the possibility of demotion, dropping remunerations and benefits etc.

The stress of the employees can be reduced in the following few ways:

- 1) Efficient and regular feedback
- 2) Realistic goal setting for employees
- 3) Reasonable employee perks and benefits
- 4) Suitable well-being policy for employees
- 5) Creating an environment of self-motivation
- 6) The effective conflict resolution mechanism

Supervision and Control

An entrepreneur may also act as a supervisor in the organization to improve the enterprise's performance. Entrepreneur wishes to see the workforce go with the plan and follow the schedule. It is done by directing and controlling them as supervision is concerned with the following points:

- 1) To understand, are human resources working in agreement with the laid down schedule, plans and policies of the enterprise.
- 2) To provide a link between lower and top-level management.
- 3) To provide direction to employees if they are deviating from the given directions and
- 4) To help them to complete the assigned task with the expected efficiency.

Entrepreneur's control refers to control of the behaviour of the employees and their performances. Various control measures are used to achieve organizational goals, such as:

- 1) Regular performance appraisals
- 2) Suitable working policies
- 3) Evaluation of deviation from policies

4) Employee training to fill the deviations

Ensuring Health and Safety

An entrepreneur has a legal duty and obligation to provide a safe, secure and healthy environment in the organization and to work towards the welfare of the employees.

Due to legal implications, entrepreneurs need to pay reasonable attention to the basic health and safety considerations of the employees. Theoretically, health and safety are connected.

Health is the general state of well-being, which includes physical well-being, emotional and mental well-being too. Whereas safety is an act of protecting the physical well-being of an employee, including the risk of an accident caused due to either machinery failure or fire or by any other means.

Health and safety can be improved by adopting the following measures:

- 1) An entrepreneur may nurture a safety culture in the organization by seeking cooperation from employees and supervisors to ensure workplace safety.
- 2) S/he must ensure that the enterprise has adopted best practices for health and safety.
- 3) Encourage the workforce to report unsafe conditions and practices
- 4) Honouring the employees who are concerned about their well-being and the well-being of others.
- 5) An entrepreneur may counsel employees on various issues of occupational health and workplace safety, like organizing workshops to train about first aid etc.
- 6) Records of injuries, illnesses and workers' compensation and other losses may be maintained in the enterprise.

Activity 2

List down various activities you will perform if you are starting a small café in a recently build a shopping mall in south Delhi. Later classify all those activities as:

- Finance activities

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- Marketing activities

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- Operations activities

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- HR activities

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10.6 SUMMARY

In view of creating expertise in the enterprises, business activities may be divided into various functional areas, like finance, marketing, HR, operations etc. An entrepreneur uses the finance function to take access to various resources for the enterprise to be used in marketing, operations and HR function. In this function, she/he manages the cash outflow and cash inflow of the enterprise. Entrepreneurs initiate the marketing function with the identification of the needs of the customers and to do this, information on the customer and their preferences is needed. An entrepreneur may use branding and packaging as a pertinent feature for the future success of the product. Pricing is also an area of concern for entrepreneurs. Pricing depends on the price of competitors, market demand, enterprise policy etc. Apart from these entrepreneurs make its customer aware of the product, it is done through promotional activities. These activities include advertising, personal selling; publicity etc. Marketing functions also include the distribution of the product up to the point of consumption. Another job is to find the right promotion mix for the product. It is also noted sometimes that product, pricing, and distribution Ps can go waste if the promotion mix isn't properly planned by the entrepreneur. An entrepreneur uses operations management to maximize efficiency within the organization by administrating business issues of the enterprise efficiently. With efficient operations management organization capably converts inputs like materials; labour etc. into outputs in an effective manner. Entrepreneurs may assimilate the production planning and control system for efficient operation in an organization. An entrepreneur uses the term "human resource" for the individuals or workforce of the organization, who perform various tasks given by the entrepreneur. All are expected to perform for achieving the common goals and objectives of the enterprise. HR department finds screens, recruits and trains human resources, besides performing some other employee-benefit programmes in the enterprise.

10.7 KEYWORDS

Recruitment: Recruitment involves creating an inventory or pool of potential candidates and inviting them to apply for a position in the enterprise,

Selection: Selection process selects the most suitable candidate from the pool.

Pricing process: The pricing process determines what the entrepreneur will receive in exchange for the product supplied by the entrepreneur.

Capital budgeting: It involves the evaluation of the projects as a major step. In this step, projects are evaluated for the net benefits that they generate, concerning risk.

10.8 SELF-ASSESSMENT QUESTIONS

- 1) What is financial management? What are various finance functions?
- 2) Explain different objectives of financial management.

- 3) What is working capital and why is it important for a start-up?
- 4) What is the cost of capital? Why is it important for the initial life of an enterprise?
- 5) Define capital structure? What is an optimal capital structure?
- 6) What is a dividend policy? List the factors affecting dividends.
- 7) What is marketing? Why marketing is important for entrepreneurs?
- 8) What are the factors that influence plant location?
- 9) State the difference between product and service marketing mix.
- 10) What is human resource? Explain the role of HR managers in small firms.
- 11) Write a note on worker's safety. (you may take the help of various online resources)

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